

India Internet Commerce Report - Deep Dive

Joel Modestus

LinkedIn Profile: [Click here](#)
Email: joelrockfort@gmail.com

Disclaimer

Views expressed are completely personal and may or may not reflect views of my employer

This is a personal project and no company resources were used in its preparation

All data are from public sources or estimated from public sources like company financial reports, press reports, IPO prospectus, filings with MCA etc.

A lot of care has been taken in estimations and charts. Any errors are regretted

None of this should be construed as investment advice and should be used primarily for informational purposes only

Contents

- | | | | |
|-----------|--|------------|---|
| 4 | Lessons from an Internet Commerce Operator
Strategic Realities and Challenges in Internet Commerce | 127 | Food Delivery
Growth, Unit Economics, Global Takeaways and more |
| 23 | India Macro and Consumption
Tailwinds, Challenges, Credit and Consumption and more | 143 | Mobility
Rapido Disruption, Profitability and more |
| 52 | Quick Commerce
Growth, Profitability, Unit Economics, Blinkit, Instamart and more | 154 | Vertical E-Commerce
Fashion, Beauty, Travel, Pharma, Auto, Home Services and more |
| 97 | Horizontal E-Commerce
Trends, Categories, Meesho, Unit Economics, Challenges and more | 196 | D2C Brands
Challenges, Trends and more |

Contents

4 Lessons from an Internet Commerce Operator
Strategic Realities and Challenges in Internet Commerce

23 India Macro and Consumption
Tailwinds, Challenges, Credit and Consumption and more

52 Quick Commerce
Growth, Profitability, Unit Economics, Blinkit, Instamart and more

97 Horizontal E-Commerce
Trends, Categories, Meesho, Unit Economics, Challenges and more

127 Food Delivery
Growth, Unit Economics, Global Takeaways and more

143 Mobility
Rapido Disruption, Profitability and more

154 Vertical E-Commerce
Fashion, Beauty, Travel, Pharma, Auto, Home Services and more

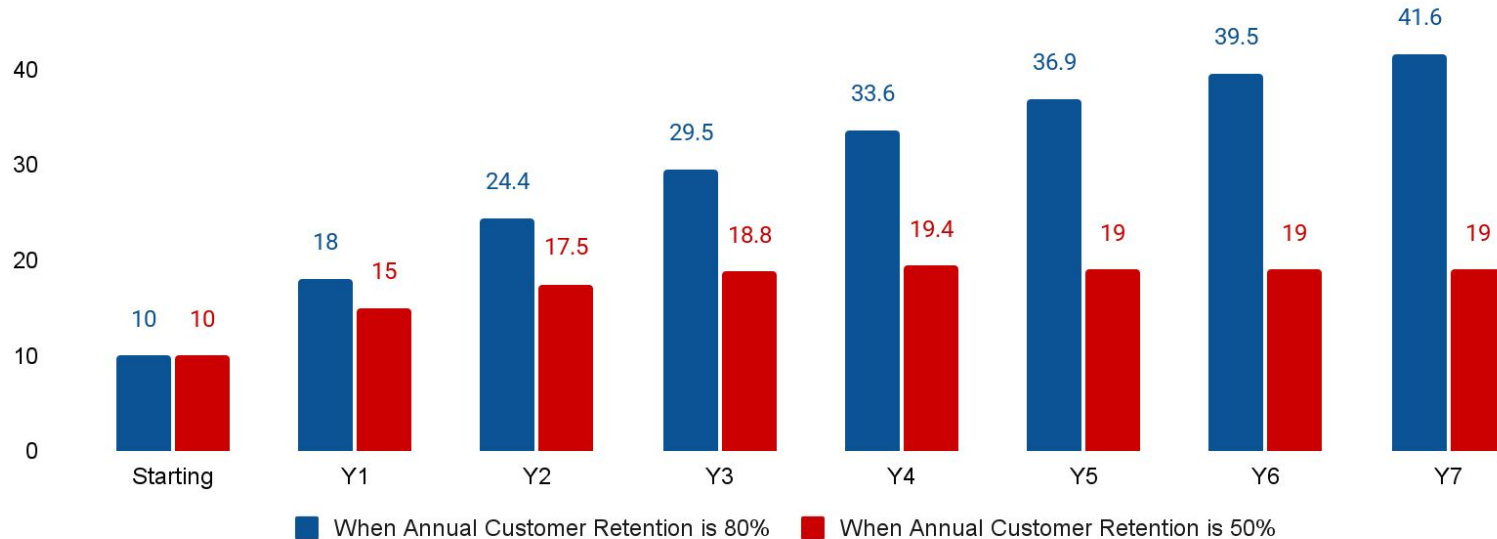
196 D2C Brands
Challenges, Trends and more

A Few Lessons and Observations as an Operator

Acquiring customers easy but retention is very hard: Impact of Retention on Growth becomes very stark after a few years

Assume two platforms each acquire 10 mn new customers annually. Platform 1 retains 80% of its annual customers. Platform 2: retains 50% of its annual customers. What will be the annual transacting customer base over the years?

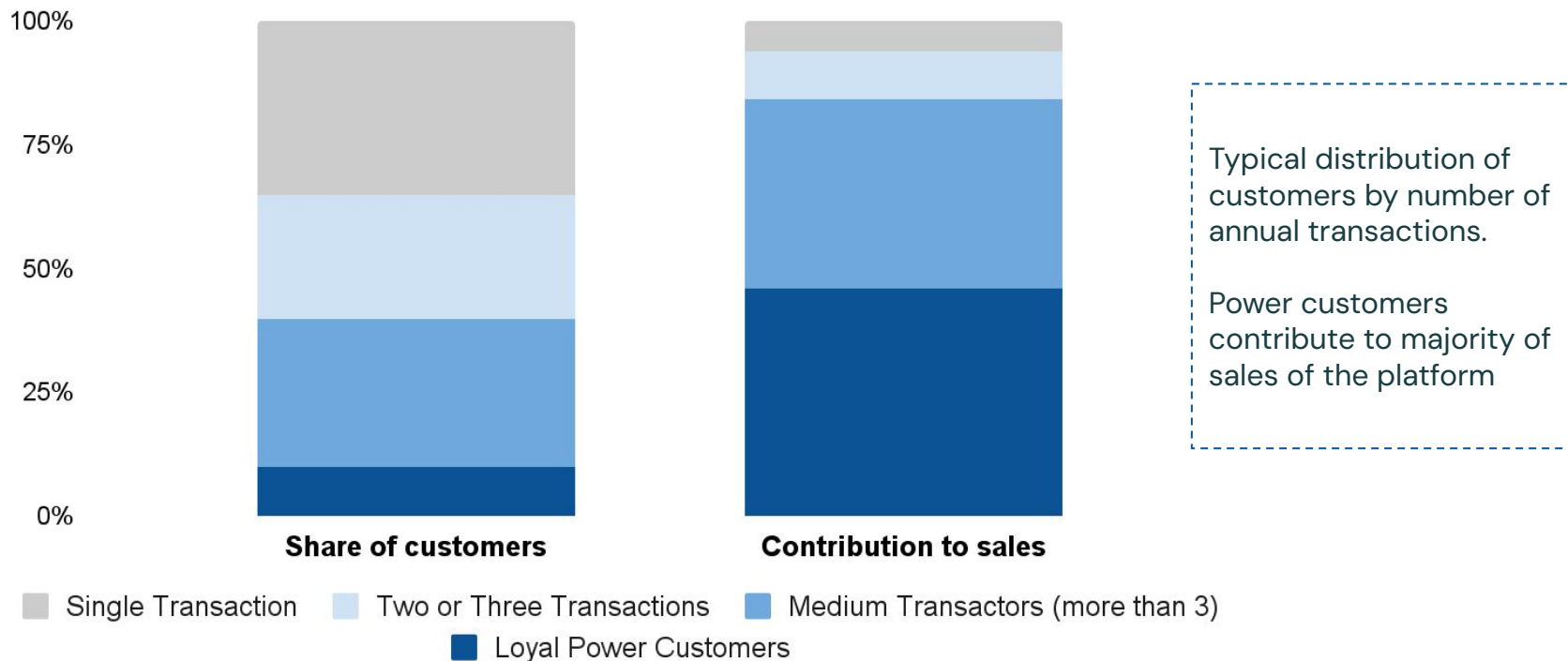
Platform 2 growth evaporates after Year 4 even if they acquire 10mn customers a year



Note: Above graph is just an illustration of two platforms under two different retention scenarios

Acquiring customers easy but retention is very hard: Retention of Power Users is critical – contribute to significant share of sales

Typical Power Customer Dynamics in a Platform



Note: Data just an Illustration of typical power user/customer dynamics and can vary depending on category

Acquiring customers easy but retention is very hard: Loyalty programs help retention and are viable due to operating leverage

Illustration of Fashion Platform P&L

Indexed per customer	Without Loyalty	With Loyalty
Revenue per customer	100	200
(1) Gross Margin 50%	50	100
(2) Loyalty Discount 10%	0	10
(3) Other Variable Costs (3) (fulfillment, marketing etc.)	25	50
(4) Contribution Profit = (1) - (2) - (3)	25	40
Contribution Margin % of Revenue	25%	20%
Fixed Costs (5)	15	15
EBITDA per customer (6) = (4) - (5)	10	25
EBITDA margin % of Revenue	10%	13%

Loyalty programs hope to multiply per customer revenue.

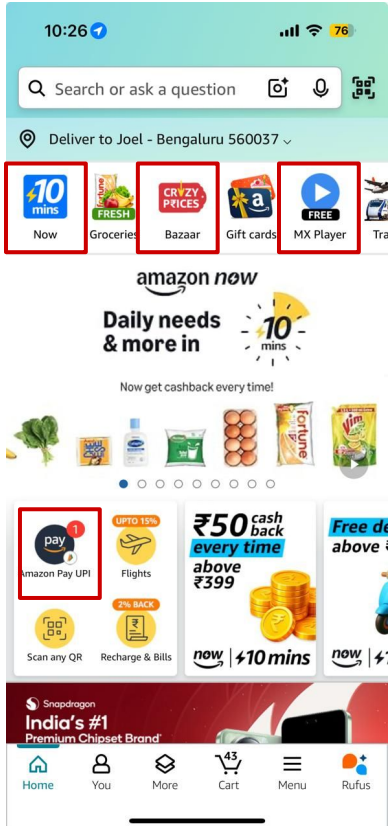
Even after discounts, the EBITDA per customer will be much higher with Loyalty.

This is because of Operating Leverage: the fixed costs remain same on higher revenue.

Source of magic!

EBITDA jumps 2.5x on 2x revenue even after 10% discount

Getting distribution in new offerings is tough even with a good market position: Amazon struggles to get traction for its many offerings



Even with such a high visibility on app and tens of millions of daily users, it is tough to get adoption for many of these

Common Challenges

Customers are not aware of your proposition

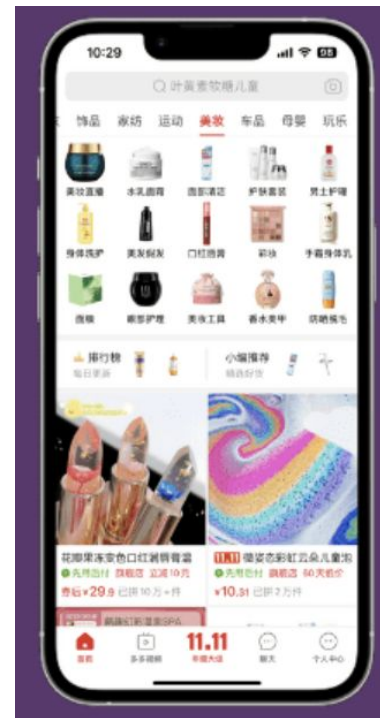
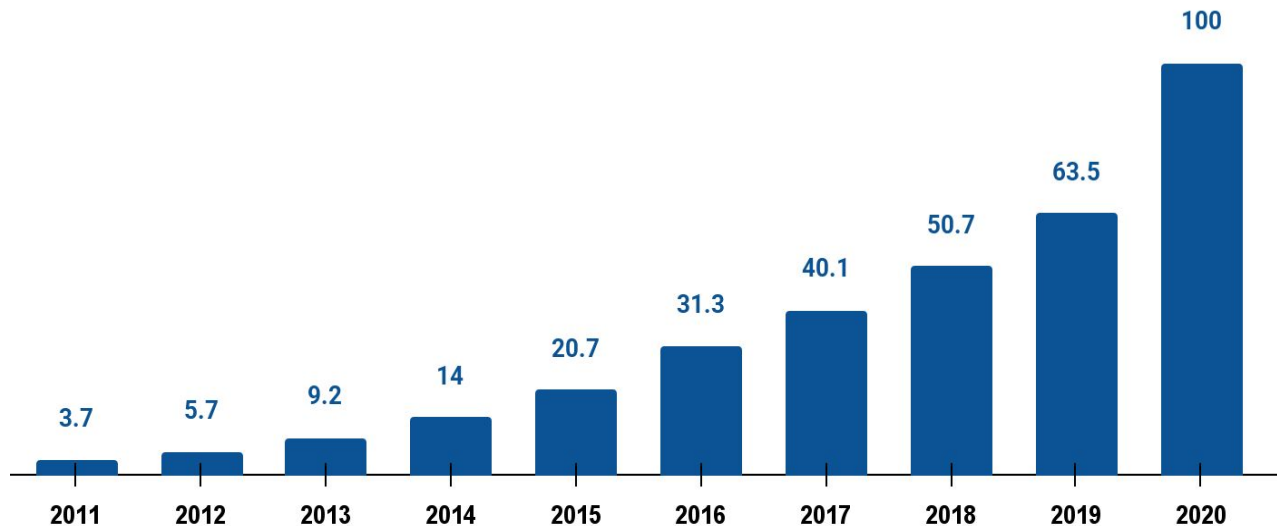
Customers remember you for something else

Customers aware but don't think of you (consideration) when they order

Reaching customers is too expensive

Ecosystem development by pioneers helps new players: In China, Alibaba catalyzed growth of third party logistics which later helped Pinduoduo

China express parcel delivery volumes in billion



Pinduoduo

Ecosystem development by pioneers helps new players: E-Commerce leaders in India drove logistics ecosystem that enabled future players like Meesho

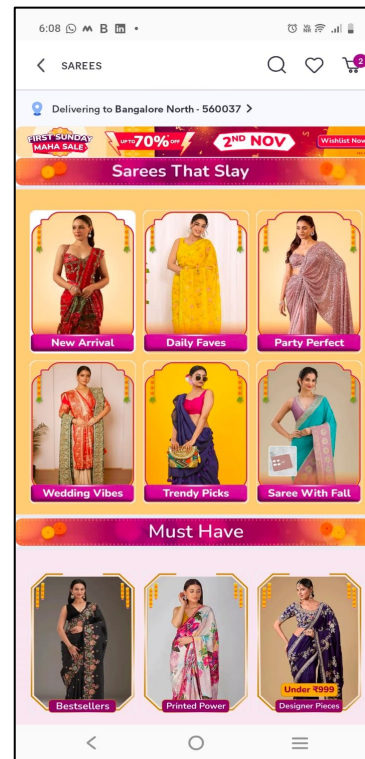
Delhivery (logistics player)
scale in 2021 (when it went
public)

17,500 pincodes
(of 20,000)

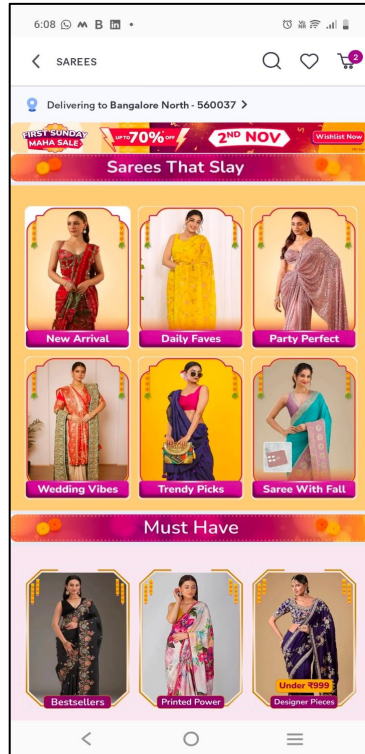
1.2 Billion express parcel
volume

11,000 network partners

Meesho was able to
leverage *Delhivery* and *Ecom
Express* to scale its reach in
an asset-light manner



Need to make conscious tradeoffs: Meesho does not offer good speed but it comes with the benefit of better value



Meesho's seemingly 'poor' service like slow delivery is core to its performing well on price vs. competition

The Benefits of Slower Speed → Better Value

Batch multiple orders together and get lower cost per shipment

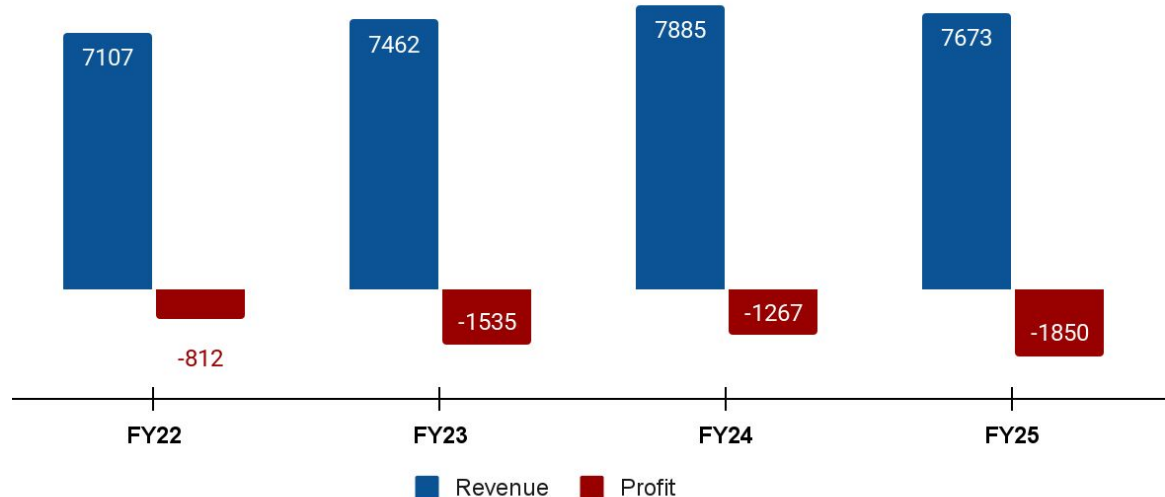
Don't have to replicate inventory across FCs (lower working capital)

Reduce number of Fulfillment centers (lower Capex)

Increase utilization of supply chain assets (lower fixed cost per order)

Inflexible prior strategic choices deter a forceful response: BigBasket is struggling due to Quick Commerce disruption

BigBasket Revenue and Profit in Rs. Crore (only B2C)



BigBasket has pivoted to Quick Commerce and has arrested declines but yet to see growth

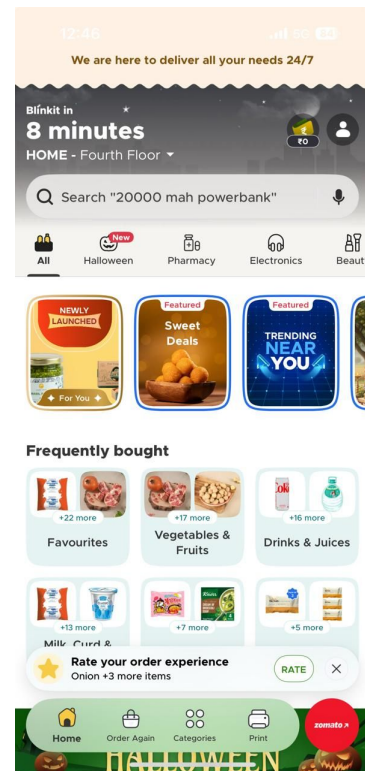
As per press reports, company executives (Feb 2025, Financial Express), **80% of orders are coming from BB Now**, its Quick Commerce arm

The company has around 700 dark stores (mid-2025) with plans to take it to 1000+ year end.

The challenges of BigBasket illustrates how tough it is to get 'consideration' from customers

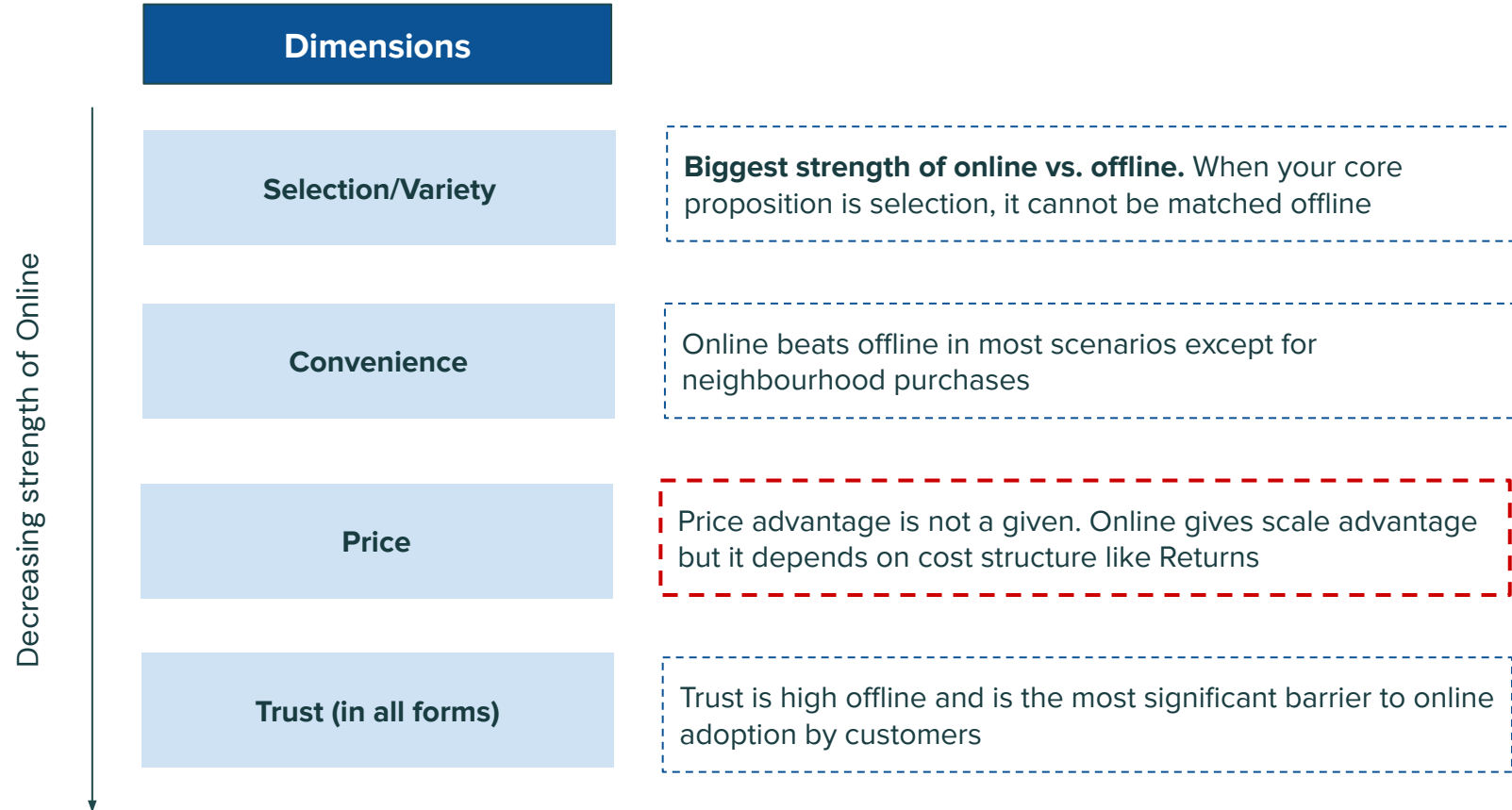
Inflexible prior strategic choices deter a forceful response: Prior choices like Supply chain model explains why BigBasket struggles to respond

BigBasket Model	New Requirement
Fewer stores (Larger radius)	Many Stores (Small radius)
Batched Delivery	Single parcel
Weekly replenishment	Daily Replenishment
Planned workforce	On-demand workforce
Large Selection	Small Selection
City-level pricing	Store-level pricing

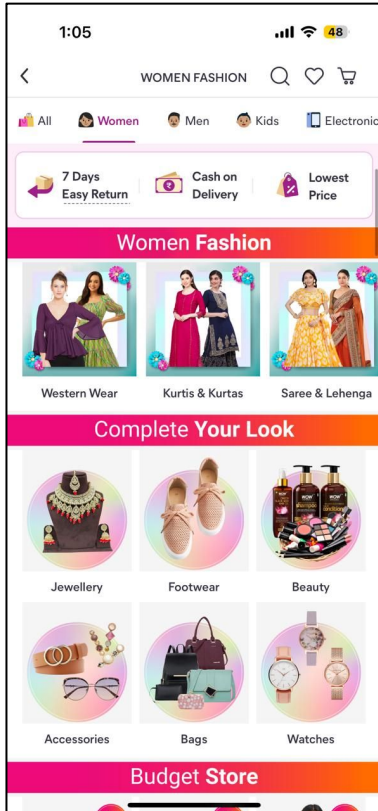


Extremely tough to respond to a new model when you have invested a ton of capital in the existing model

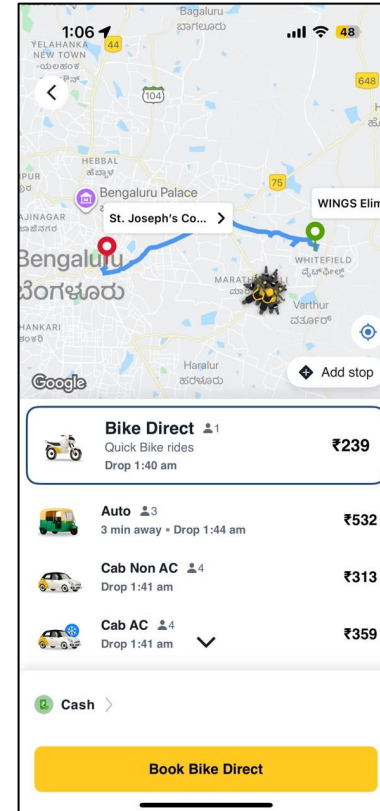
Clear value proposition vs. offline is not a given: Price advantage depends on cost structure advantage



Clear value proposition is not a given: Do not ignore the seller value proposition – can present threats and opportunities

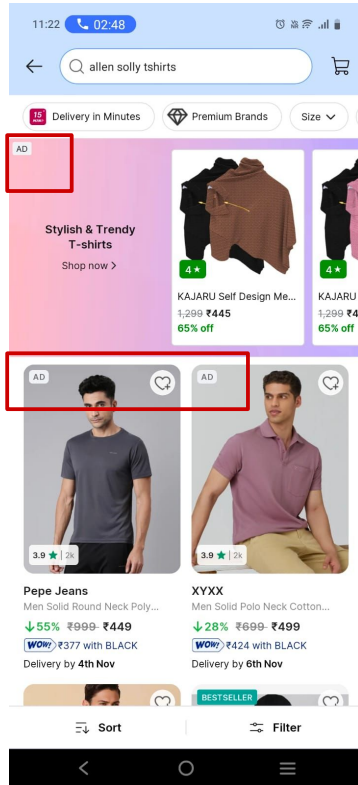


Meesho was able to unlock supply of new sellers and discontented sellers on e-commerce through their zero commission model

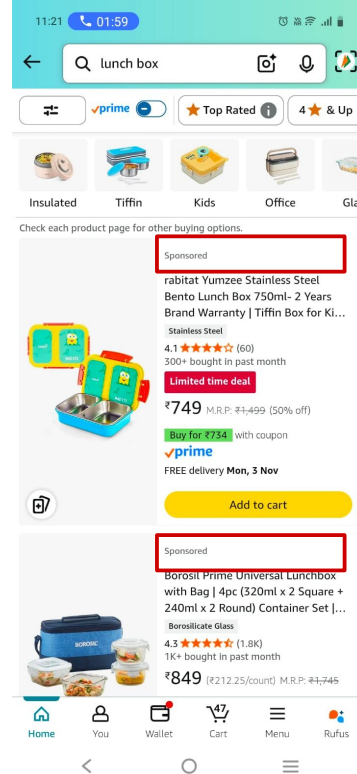


Rapido was able to unlock supply of new drivers and attract discontented drivers from Ola-Uber duopoly

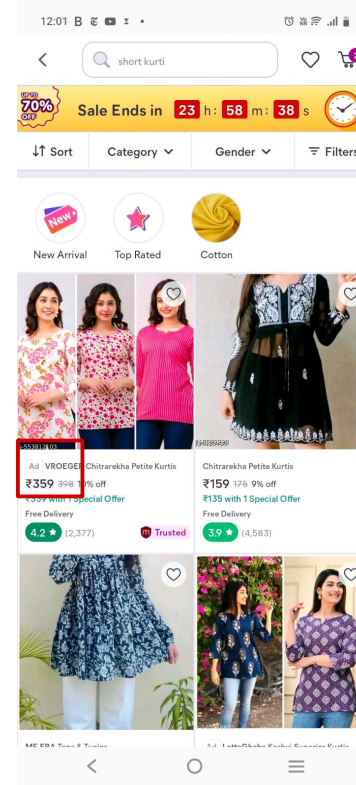
Need for an alternate profit model: Core Business has very thin margins – make profitability from other means like Advertising



Flipkart



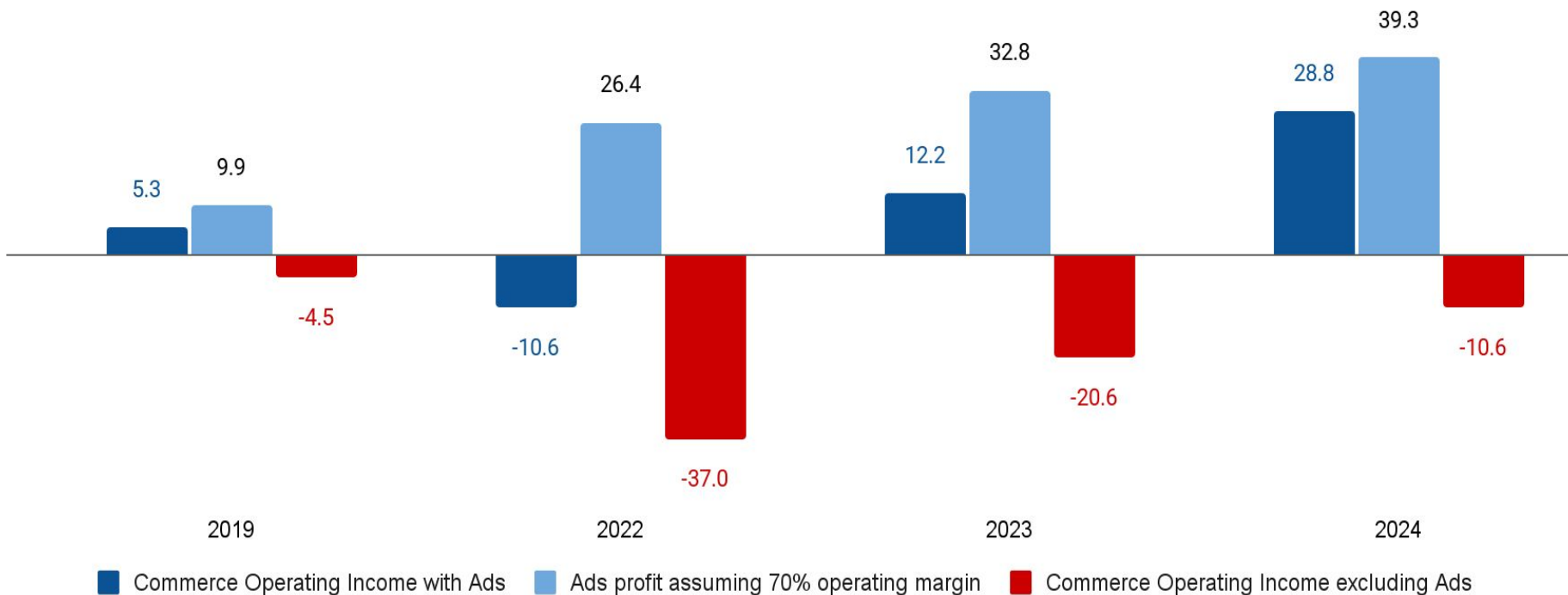
Amazon



Meesho

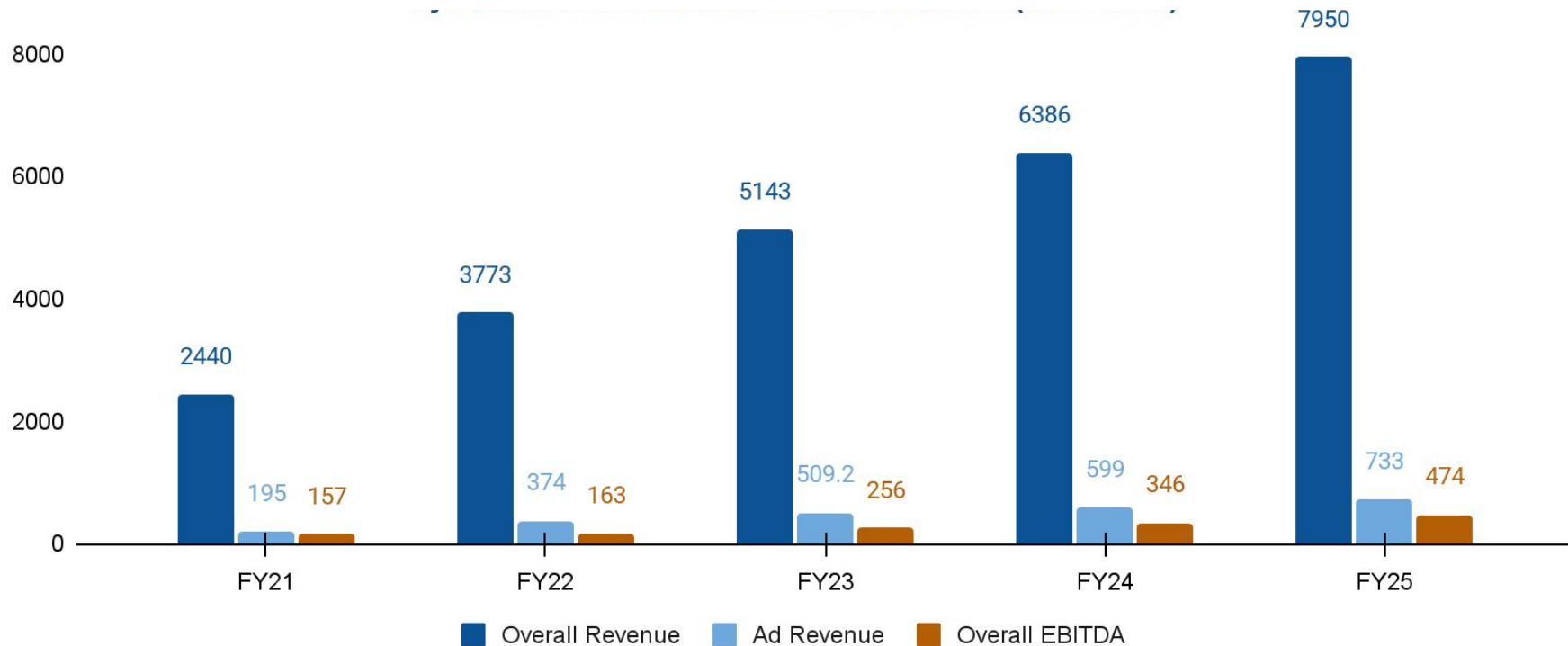
Need for an alternate profit model: Advertising Revenue is what makes Amazon's (global) E-Commerce profitable

Amazon operating income with and without Ads revenue



Need for an alternate profit model: Nykaa Ad Revenue helps to push its P&L to Profit

Nykaa Revenue, Ads Revenue and EBITDA (Rs. Crore)

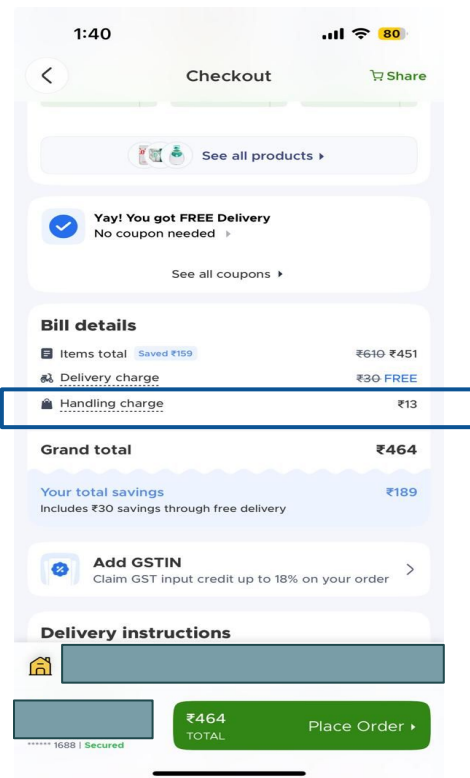


Need for an alternate profit model: Most of contribution profit in Quick Commerce comes from Platform Fee

Blinkit P&L Estimates from Financial Reports

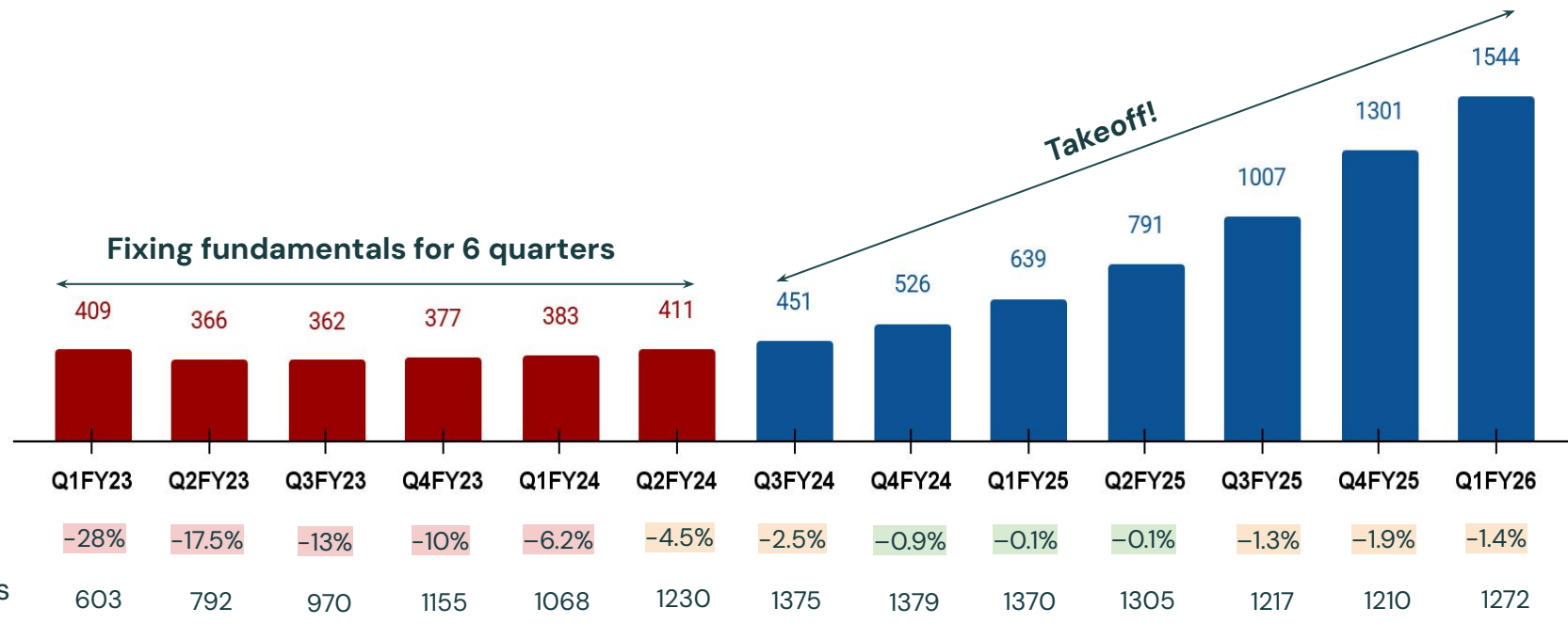
In Rs. Crore unless otherwise mentioned	Q1 FY26
Gross Order Value (GOV)	11821
Net Order Value (NOV)	9203
Revenue/Gross Profit	2400
Contribution Margin	360
Contribution Margin % of NOV	3.90%
EBITDA	-162
EBITDA % of NOV	-1.8%
Platform Fees (avg per order) in Rs.	12
No. of orders in Crore	17.7
Platform Fee Revenue in Rs. Crore	212
Contribution Margin w/o Platform Fee	148
EBITDA w/o Platform Fee	-374

~60% of contribution profit comes from Platform Fee



Fixing unit economics first can help scale quickly: Blinkit took a year pause in store expansion to correct unit economics before expanding

Number of Dark Stores (Blinkit)



The Three Dimensions of Disruption in Internet Commerce (illustrated with more recent examples)

Great Value

Offer customers meaningful value/price differential vs. current alternatives



Huge selection at entry price points



Cheaper Generic substitutes of branded pharma

Unlocking Supply

'Unlock' a lot of new supply/sellers who can cater to needs of customers



Unlock huge supply of blue collar professionals



Bringing new sellers and selection online



Unlocking more drivers online

Removing Friction

Remove big friction in a key customer element (eg. Speed, Trust, Affordability etc.)



Removing friction of time



Removing friction of lab visit (home collection)

Contents

4 Lessons from an Internet Commerce Operator
Strategic Realities and Challenges in Internet Commerce

23 India Macro and Consumption
Tailwinds, Challenges, Credit and Consumption and more

52 Quick Commerce
Growth, Profitability, Unit Economics, Blinkit, Instamart and more

97 Horizontal E-Commerce
Trends, Categories, Meesho, Unit Economics, Challenges and more

127 Food Delivery
Growth, Unit Economics, Global Takeaways and more

143 Mobility
Rapido Disruption, Profitability and more

154 Vertical E-Commerce
Fashion, Beauty, Travel, Pharma, Auto, Home Services and more

196 D2C Brands
Challenges, Trends and more

India's economy looks attractive with structural tailwinds

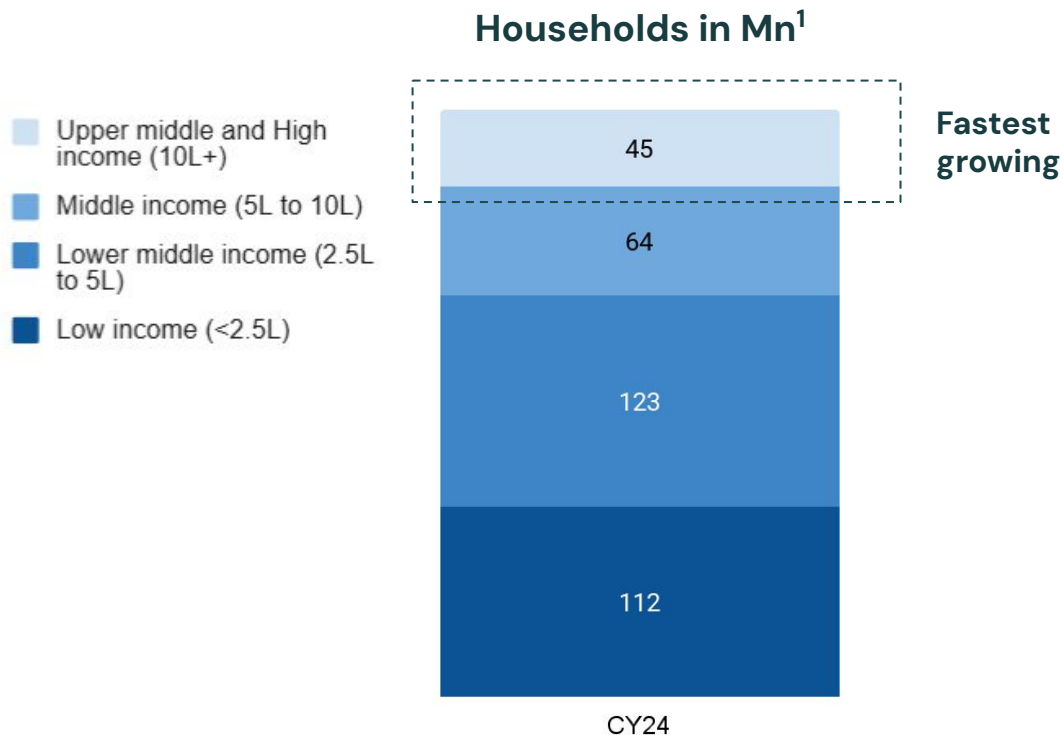
India's macro is on the cusp of breakout

 GDP (2025)	\$4+ trillion
 GDP Growth Rate	6.5%
 Stock Market Capitalization	\$4.3 trillion
 Population	1.46 billion
 Youth (15–29 years)	~400 million
 Software Developers	5 million
 Middle Class Population	432 million

India's infra and tech enablers are tailwinds

 99% 4G Coverage	 510mn DigiLocker Users
 900mn Internet Users	 200mn Demat Accounts
 20bn+ monthly UPI Txns.	 6bn+ annual Parcels
 700mn Smartphone Users	 4 mn+ Daily Q-Comm orders
 2.2bn monthly Aadhaar Authentications	 15mn GST Registered Taxpayers
 430mn monthly e-KYC	 China+1 Opportunity

India's middle and affluent class is growing steadily and can be expected to be a significant driver of consumption



Why the no. of households in middle and affluent class can keep rising

Demographics advantage
(median age of 29)

Meaningful high-income hiring
(eg. 1800 GCCs employing 1.9mn)

Meaningful Manufacturing push
(1 Lakh+ crore in PLI receipts)

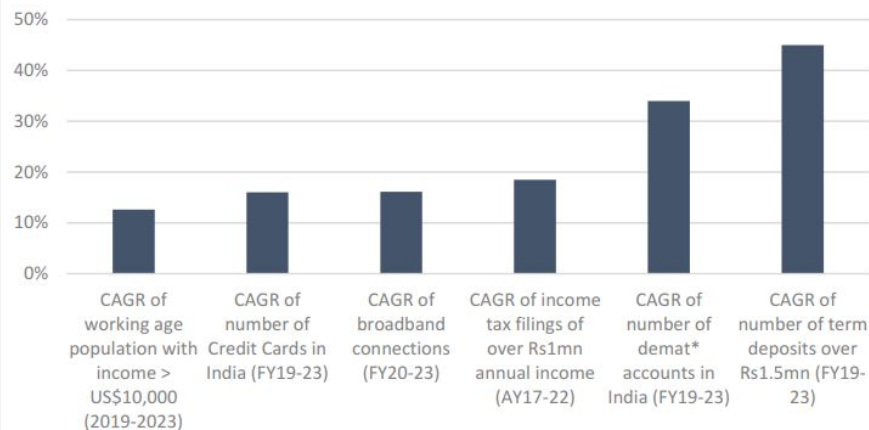
Continued Infrastructure push to
result in higher productivity

Consumption boost through
income tax and GST relief

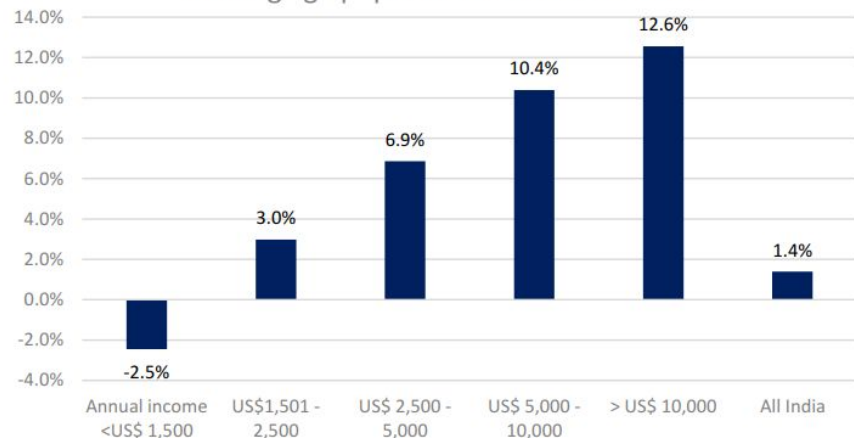
There is clear evidence of increase in number of people in higher income segment

Goldman Sachs (2024 report) expects India's affluent class to grow in the double digits CAGR next few years

High growth of Affluent consumers in India



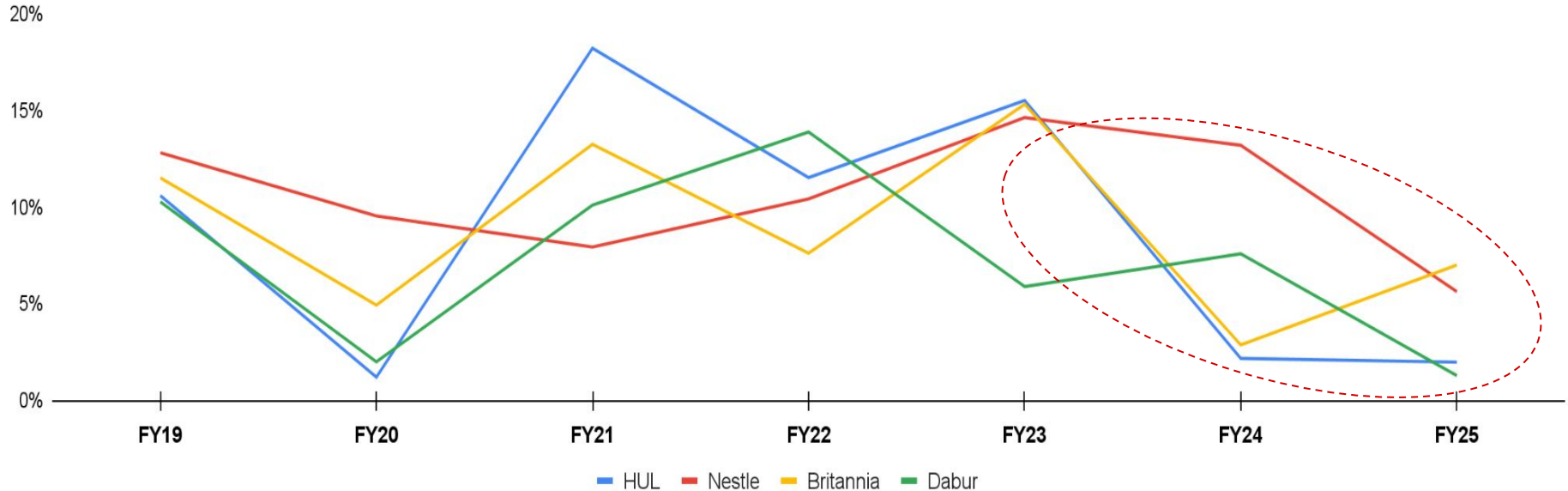
Working age population CAGR 2019-2023



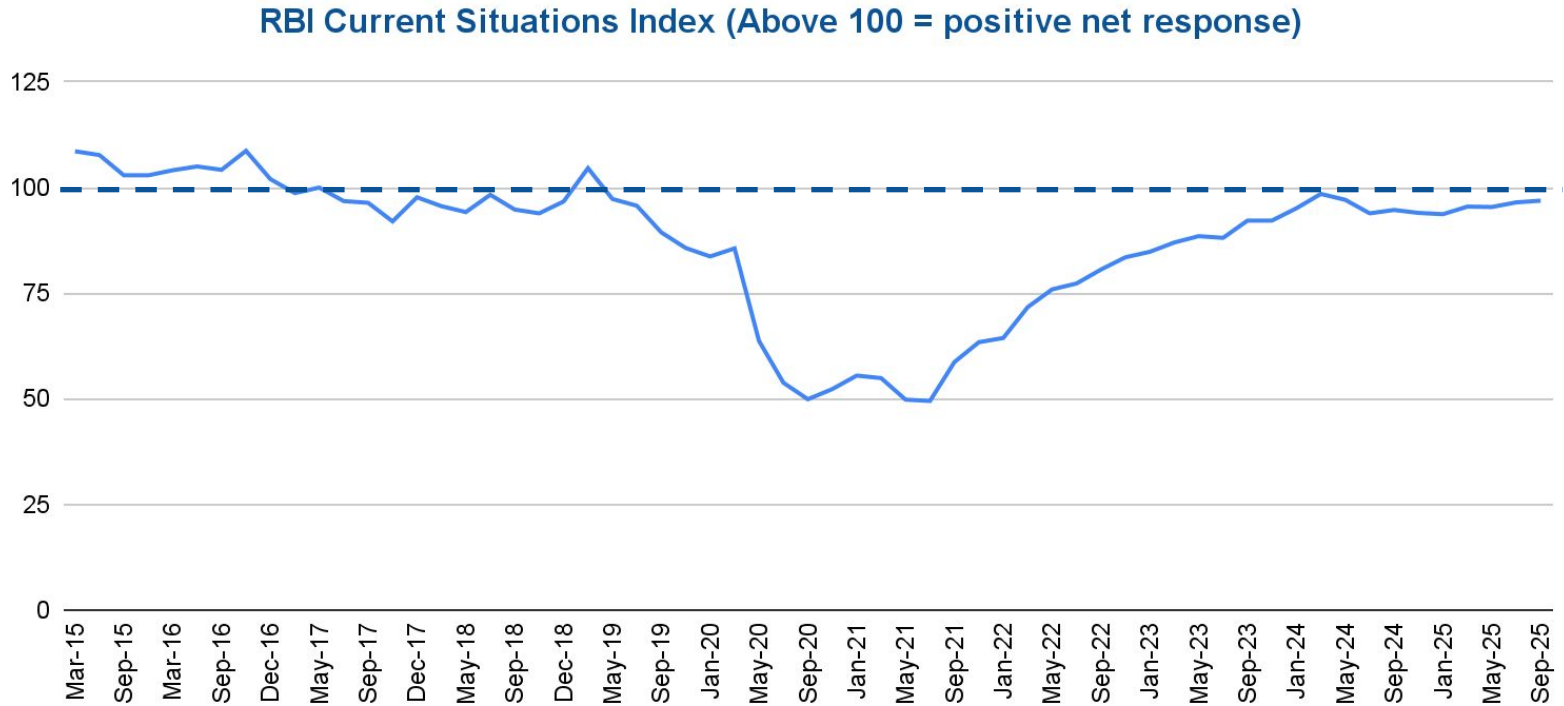
But there has been an unmistakable slowdown in consumption in the last two years

Top FMCG companies revenue growth exemplifies consumption slowdown of the last two years

Top FMCG Companies Annual Revenue Growth YoY%



RBI Consumer Confidence surveys indicate negative net response but improving consumer sentiment



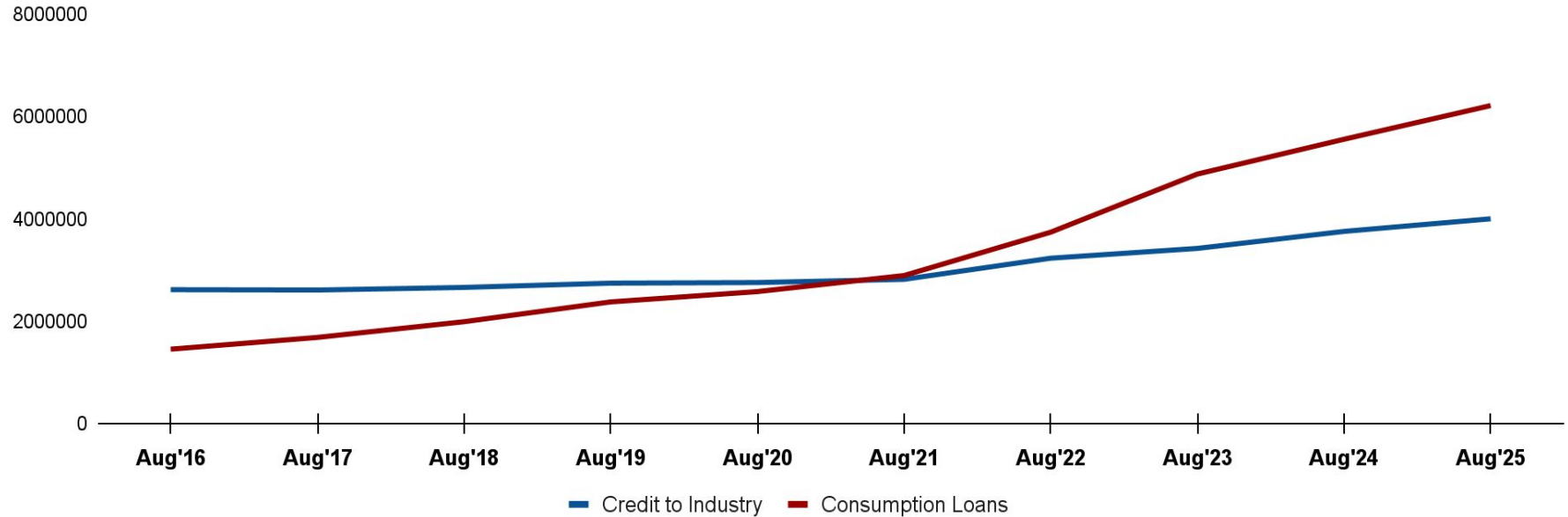
Why has this happened? One underrated driver could be the explosion of consumption credit and subsequent slowdown in the last 12 years

Huge expansion of personal loans from 2014 – 2023 could have boosted consumption

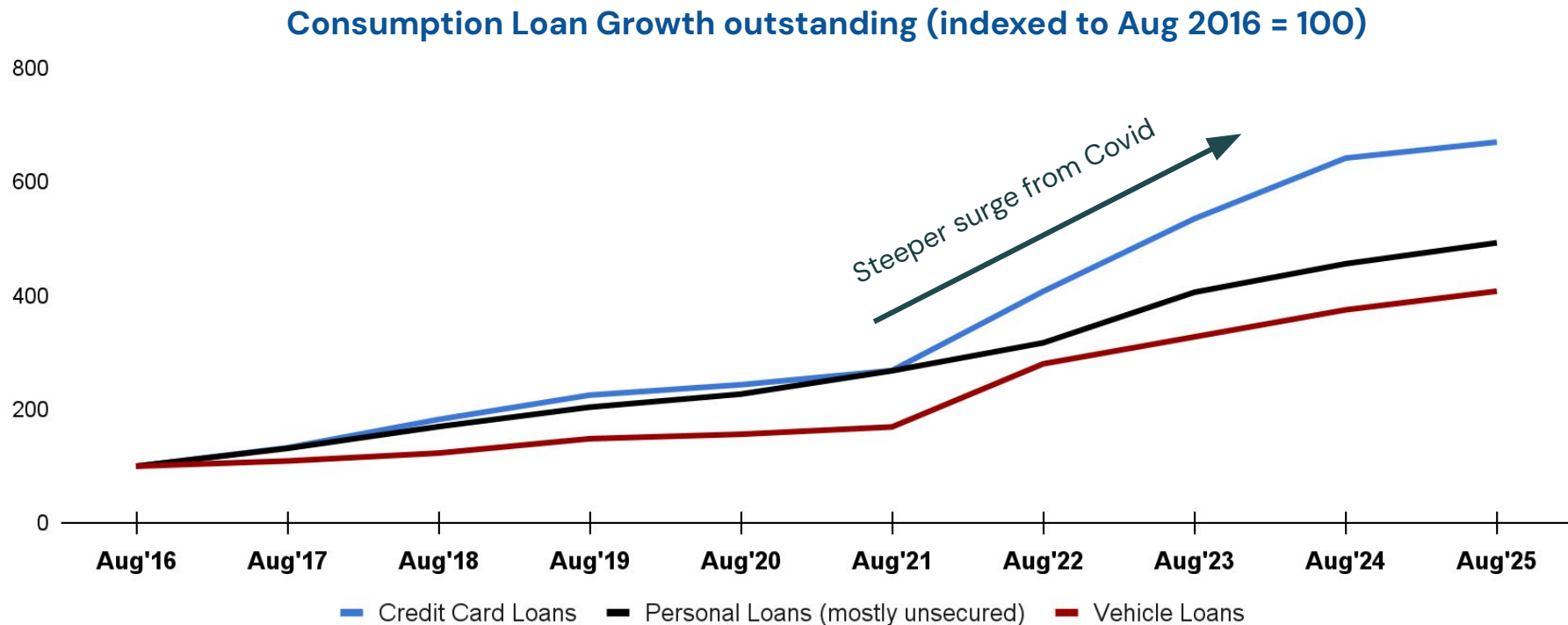
Slowdown from Dec 2023 to now could be impacting consumption

Personal Loans have far outpaced Credit to Industry and has boosted consumption

Loans Outstanding – Credit to Industry vs. Consumption Loans (Rs. Crores)



Especially from Covid, there has been a huge surge in personal loan categories

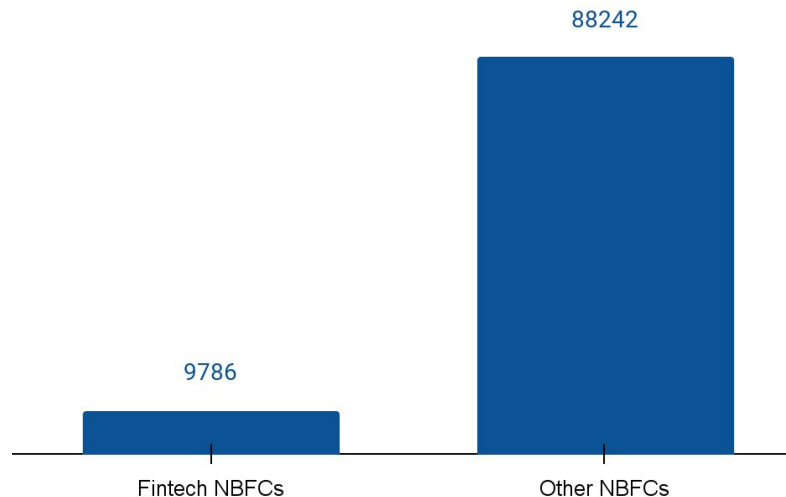


One reason for the steeper surge since Covid is due to the rise of digital lending especially from newer NBFCs/Fintechs

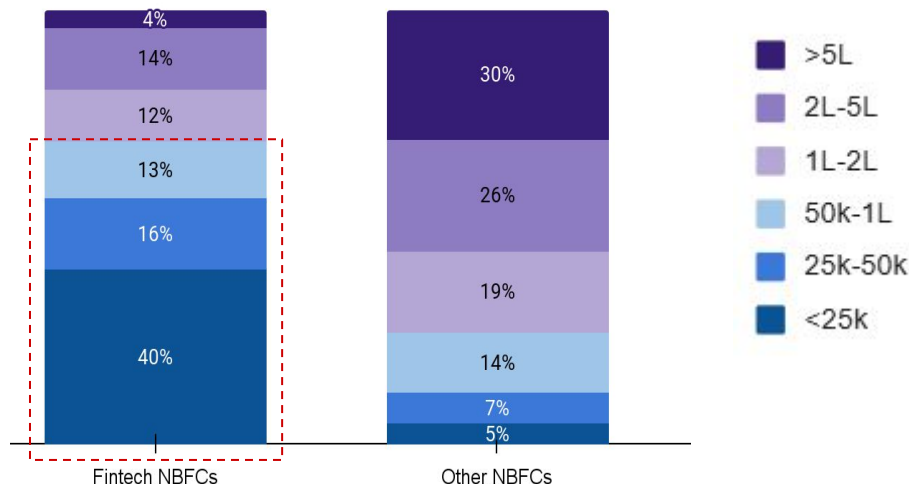
These Fintechs have significantly expanded unsecured credit in small ticket loans

Fintech NBFCs (i.e. digital lenders) offer very low ticket sizes which legacy NBFCs don't usually offer

Average loan ticket size in Rs. (FY25)

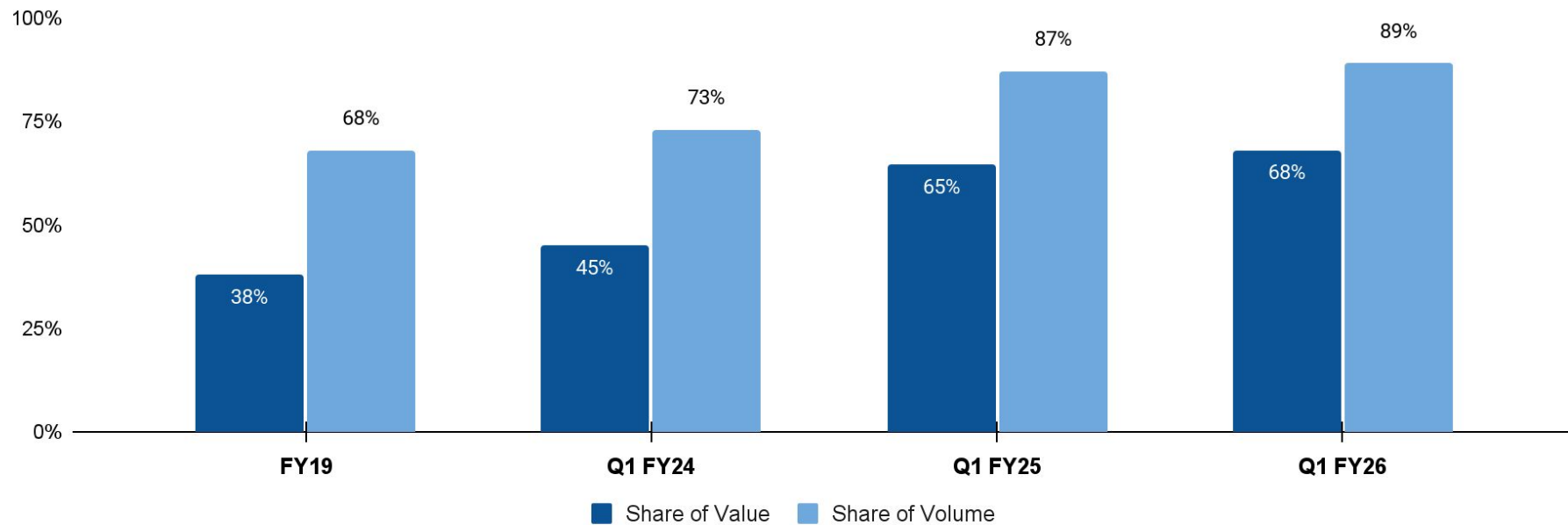


Ticket Size Contribution to Loans (FY25)



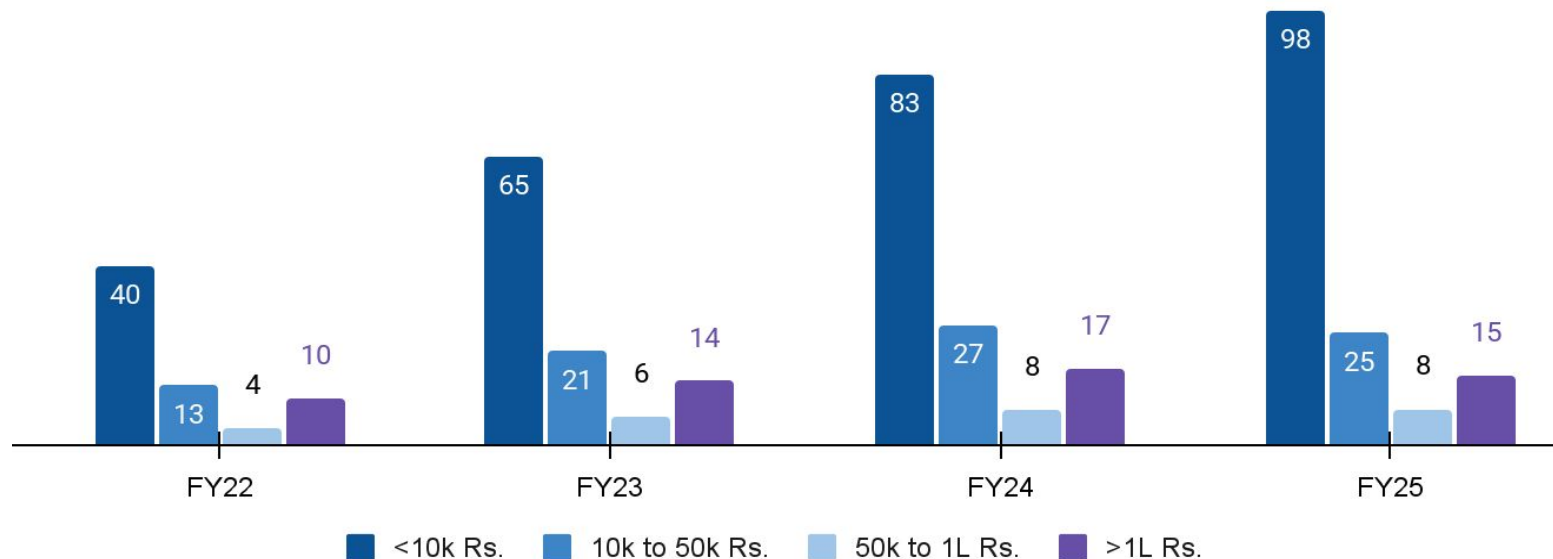
... as a result they completely dominate small ticket size personal loans

Fintech NBFC Share of Originations vs. Other NBFCs in Personal Loans < 1L rupees



Most of the volumes of loans in Personal Loans come from very small ticket sizes – offered by Fintech NBFCs

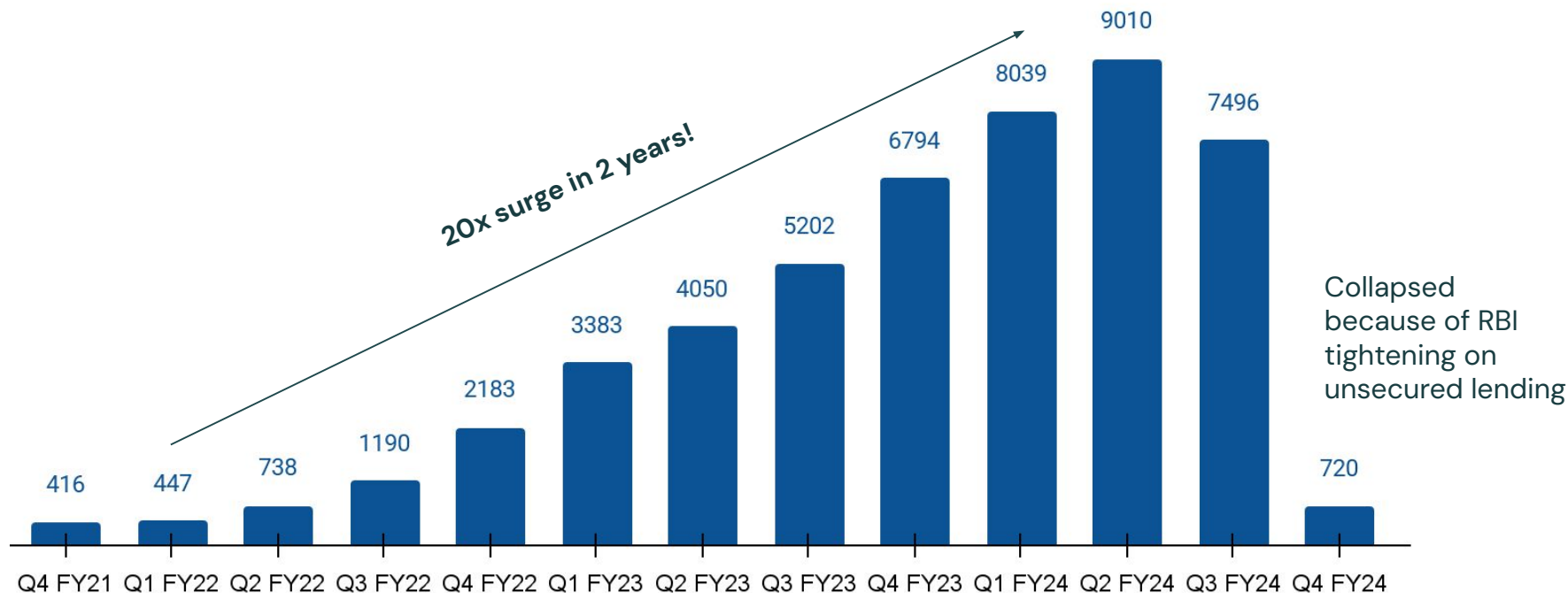
Personal loan originations volume by ticket size



Paytm's lending growth shows the extent of rise of digital lending

Paytm loan distribution shows how digital lending drove personal loan growth surge from Covid (and likely supported consumption)

Paytm Postpaid Loans (small ticket sizes) Distributed per quarter (Rs. Crore)



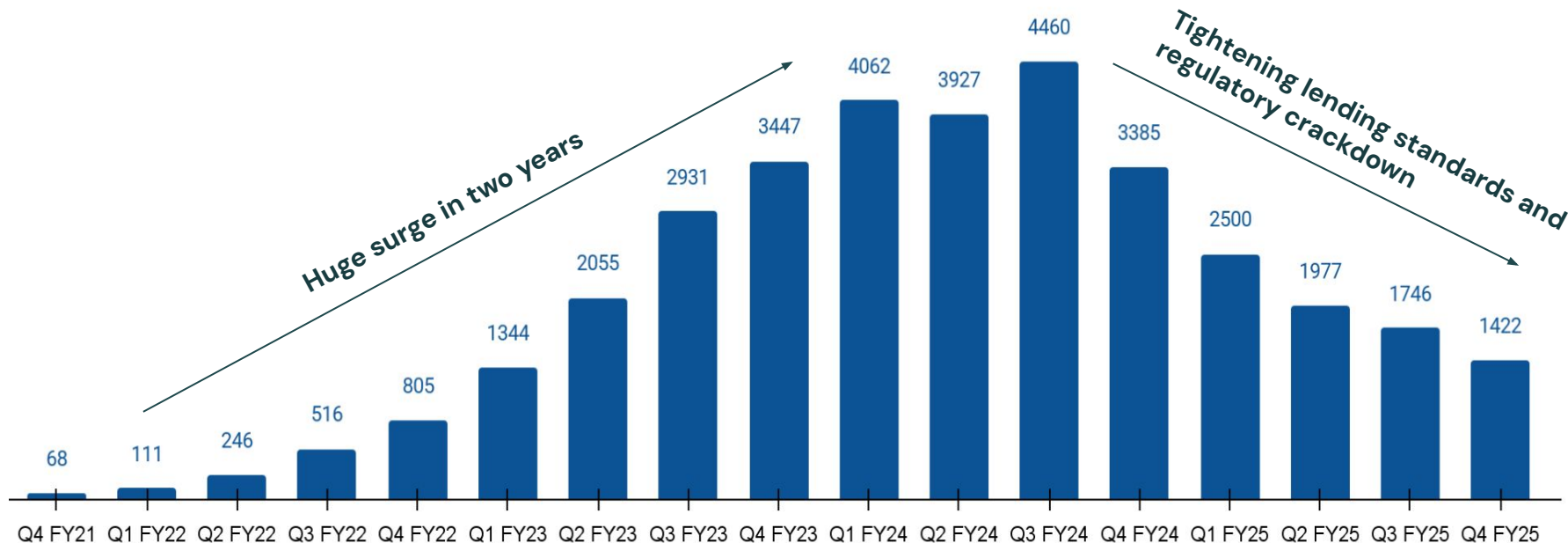
But personal loan growth has been falling in the last 18 months:

- Tougher RBI stance on credit lending especially unsecured personal loans**
- Customers running low on savings**
- Slower wage growth and job creation**

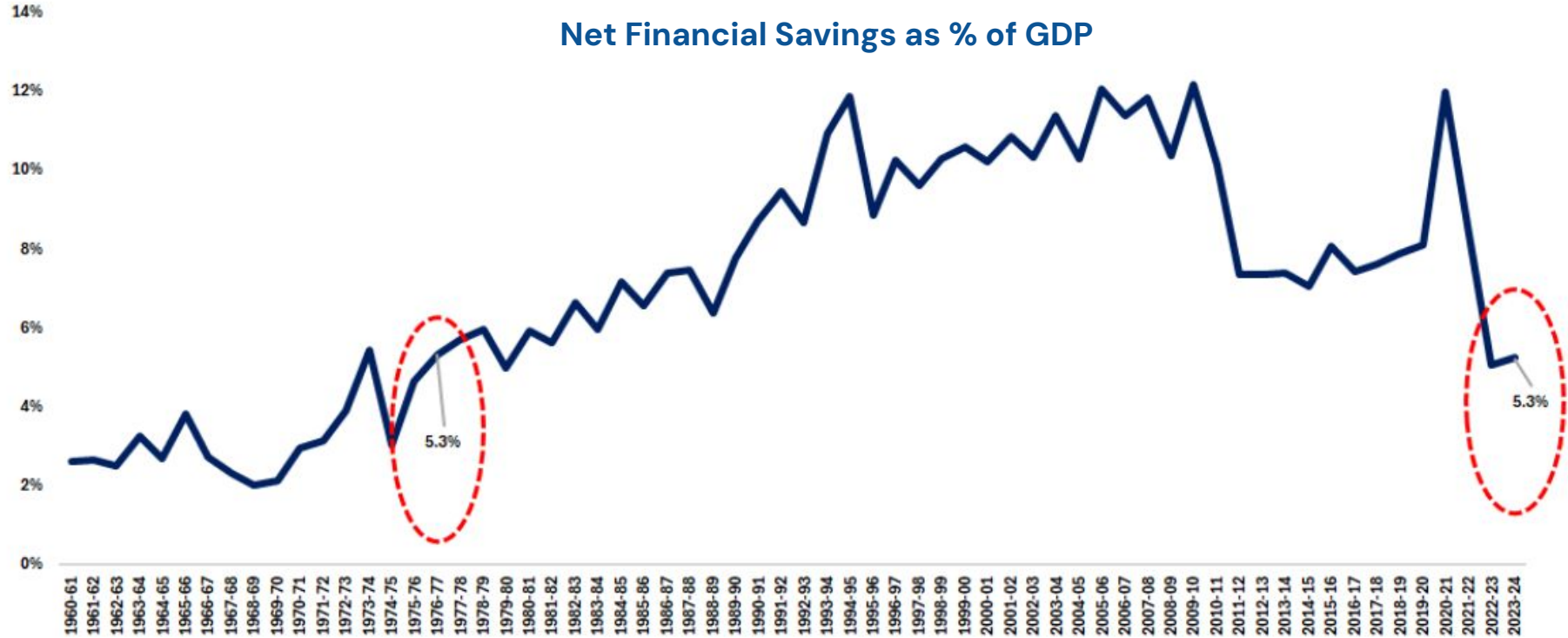
All are causing a moderation in loan growth. This could have impacted consumption

Tightening on unsecured lending in the last year could have had an impact on consumption (illustrative – Paytm)

Paytm Personal Loans (mid-ticket sizes) Distributed per Quarter in Rs. Crore

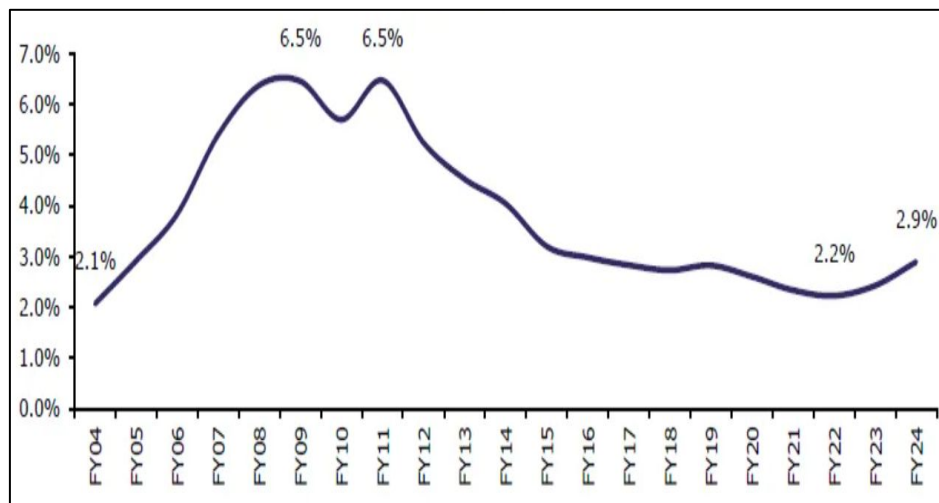


Net Financial Savings (as share of GDP) hit the lowest in several decades

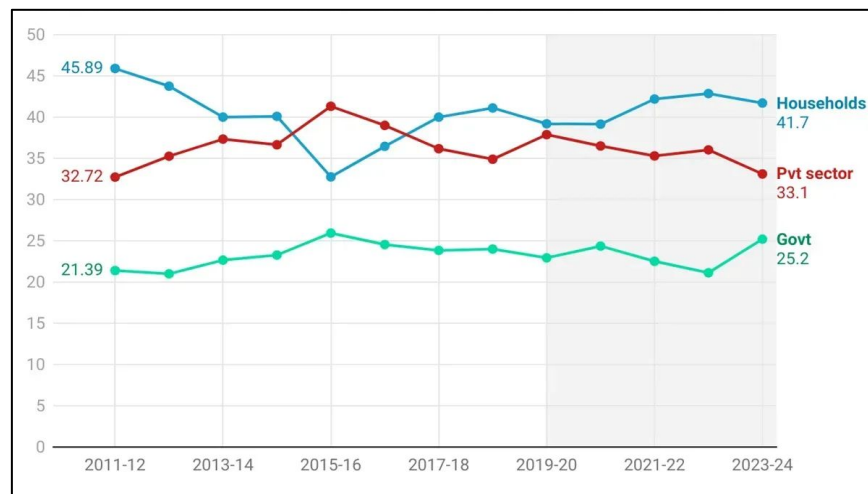


Private Sector Capex (impacting job creation) in long stagnation. Yet to see good revival

Private capex as share of nominal GDP



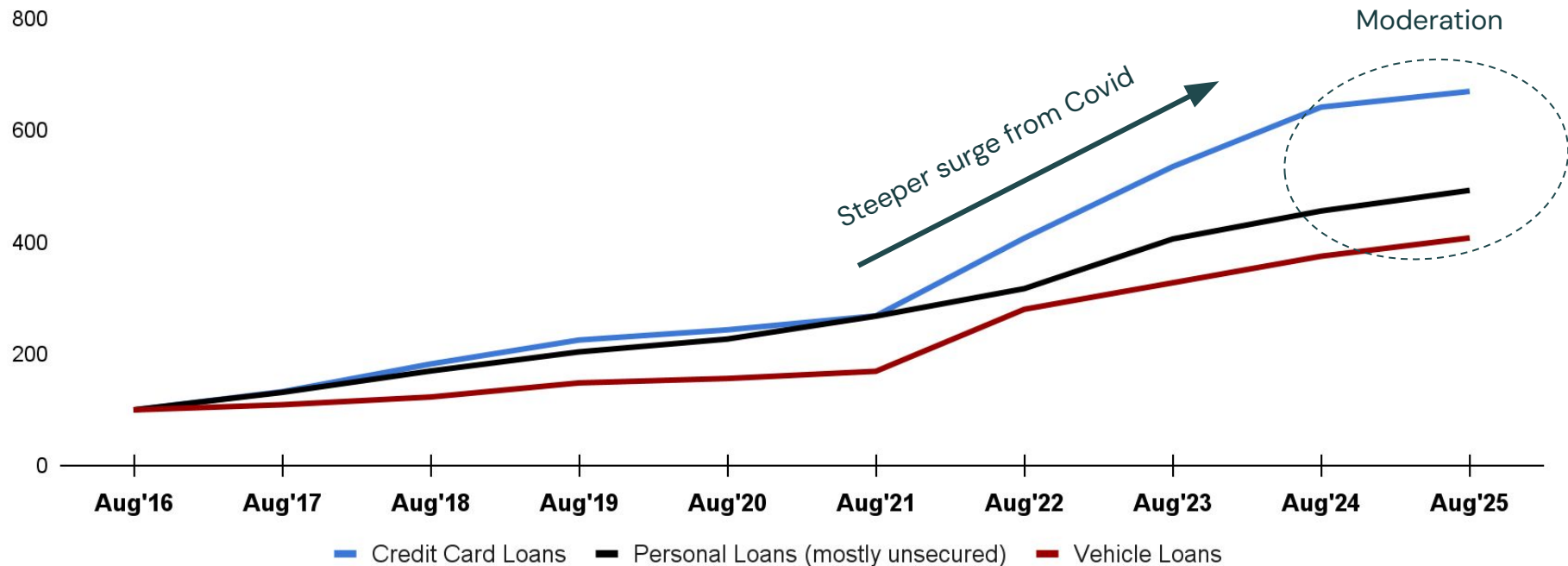
Contribution to Total Investment (%)



“Slow credit growth and private investment appetite may restrict acceleration in economic momentum” – Finance Ministry (July 2025)

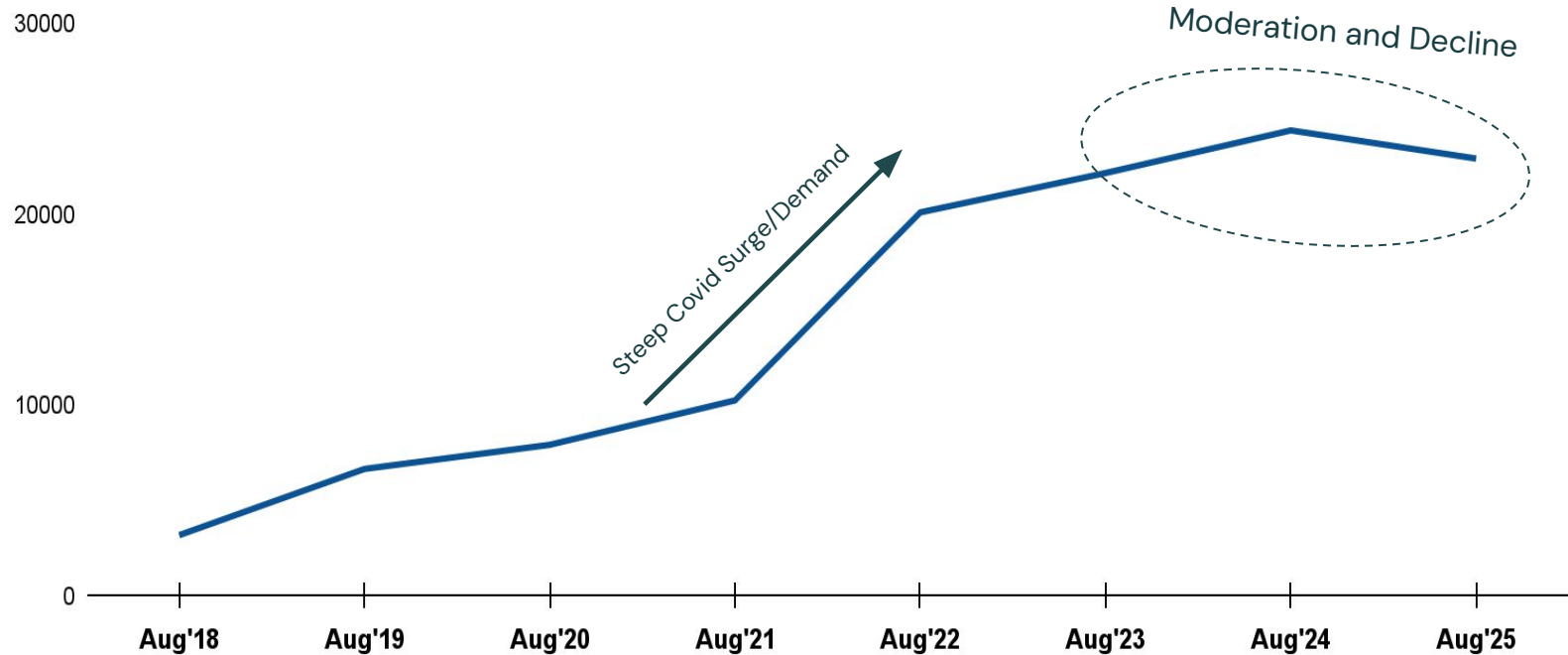
There is a moderation in Consumption loans in the last year. Are customers deleveraging?

Consumption loan growth outstanding (Indexed to 2016 Aug = 100)



Consumer Durables credit growth illustrate the credit deleveraging and consumption slowdown

Consumer Durables Loans Outstanding (Rs. Crores)



But there are Tailwinds for Consumption Revival

1

Clear slowdown and moderation in Inflation

2

Significant tax reliefs in income tax and GST

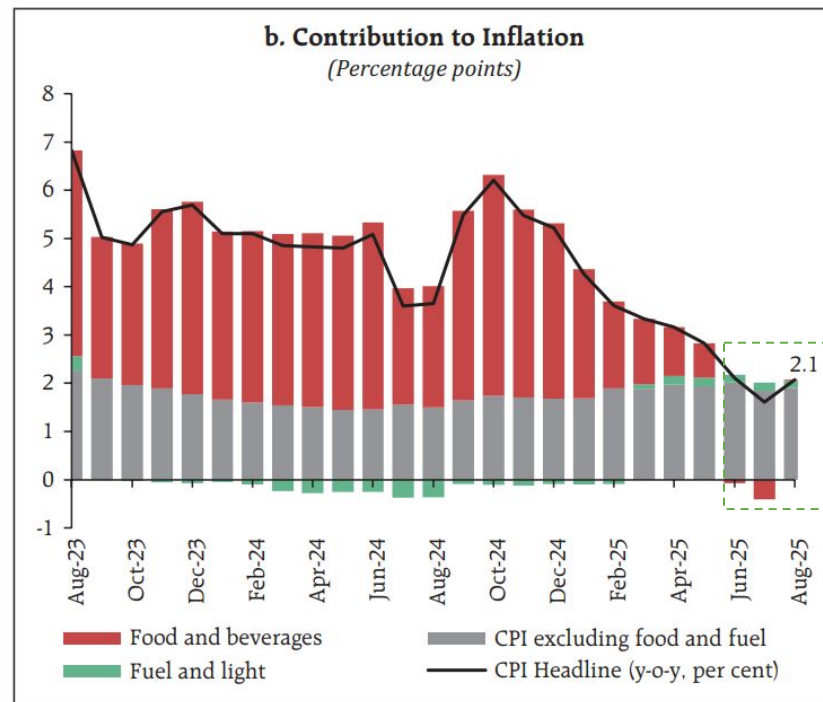
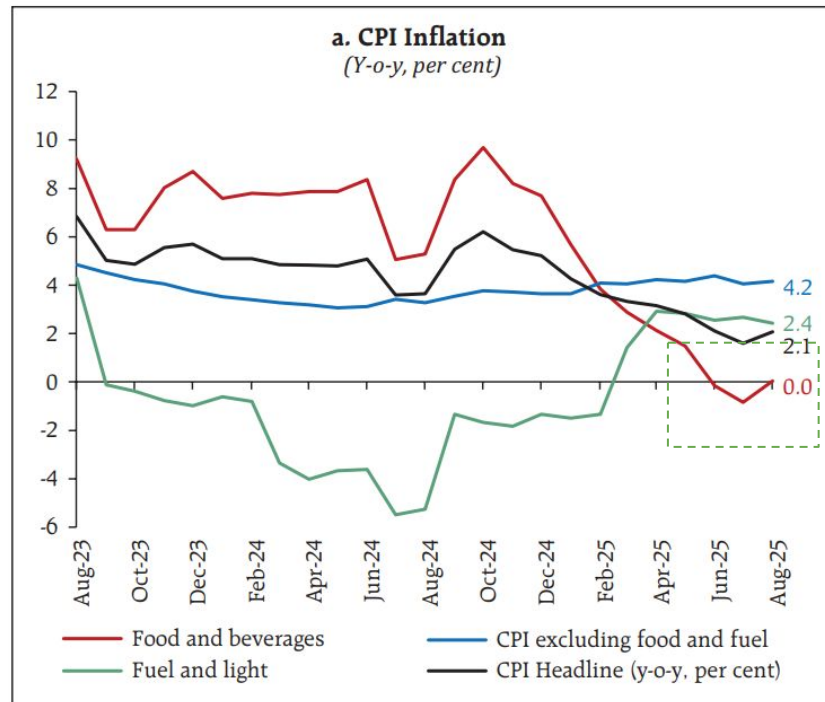
3

Structural growth enablers: Infrastructure, Digital and healthy bank balance sheets

4

India is a talent and labour force destination: GCCs, China+1

Inflation slowdown is a tailwind for consumption. Food inflation has come down significantly



Discretionary categories will get a boost due to GST relief (and from savings on essentials)



6–7% price correction
(for items < Rs.2500)



7–8% price correction



6–7% price correction



7–8% price correction



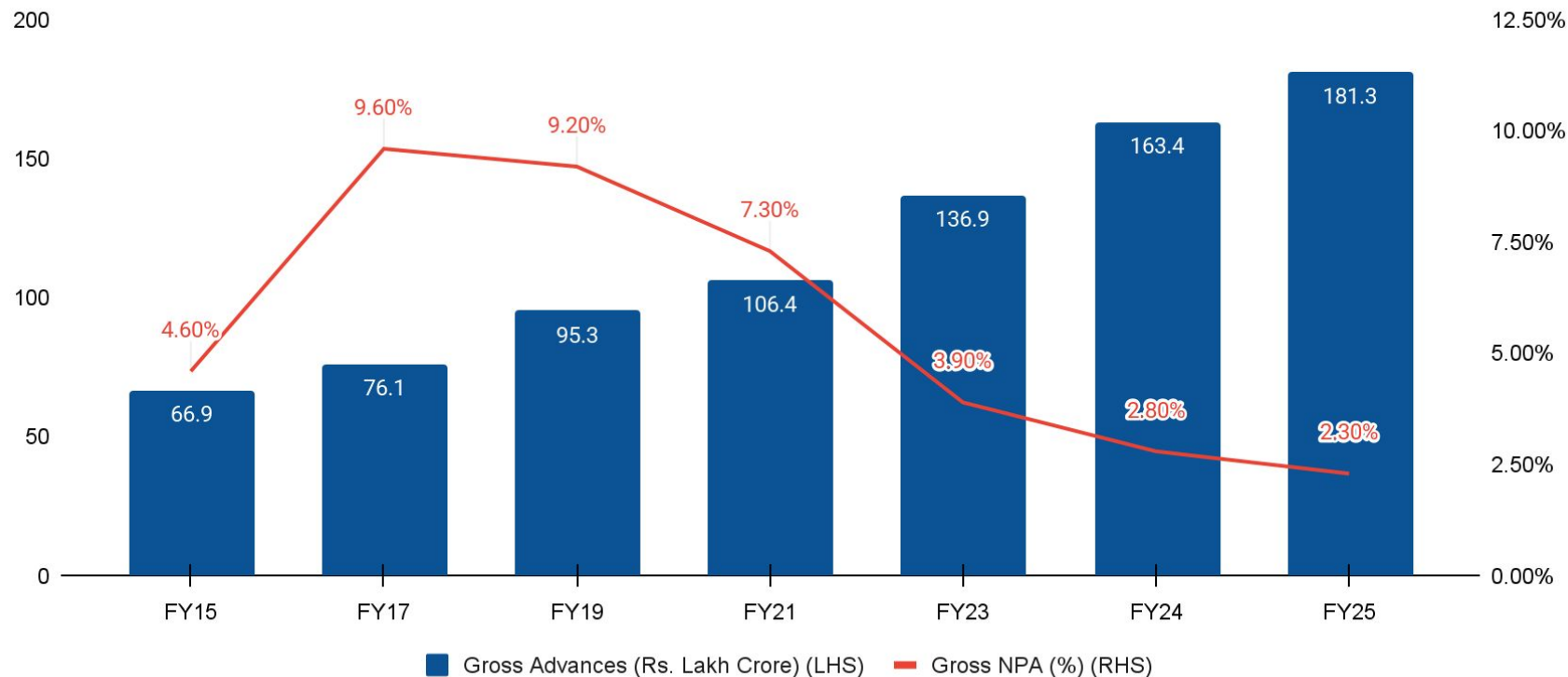
6–7% price correction



5–9% price correction
(depending on size)

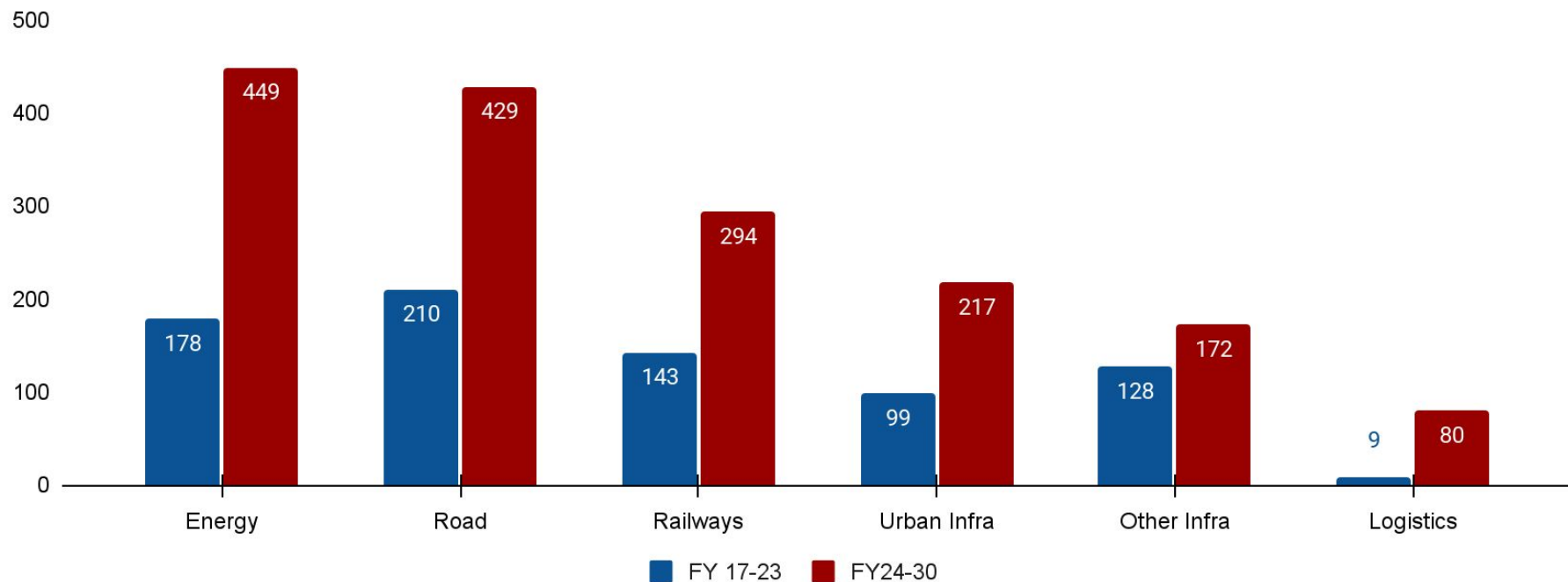
Bank NPAs are at a very healthy level and can support credit growth

India Bank Loan Advances and NPA Trend



Government Infra spending is expected to meaningfully increase in FY24-30 vs. FY17-23. Can be a growth enabler

FY 17-23 and FY 24-30 Government Investments in \$billion



GCC Boom shows Quality and Attractiveness of India's white collar labour force; Can lift incomes and consumption

Companies from Multiple sectors are opening GCCs in India

BENGALURU, May 30 (Reuters) - JPMorgan Chase (JPM.N)  plans to grow its headcount in India by 5%-7% annually over the next few years, a senior executive told Reuters, as the Wall Street bank doubles down in one of the hottest markets globally for talent to support international operations.

The New York-based lender  already employs about 55,000 people, about a fifth of its global workforce, across five Indian cities for functions ranging from technology and human resources to operations and compliance.

Airbus to have 5,000 direct employees in India in couple of years

"We have wanted for a long time to expand Amgen's presence in India and that time has come. Amgen is investing an initial \$200 million in this centre in 2025 and plan to make additional significant investments in future years," Bradway said.

The site in Hyderabad city is expected to  have a workforce of about 2,000 by year-end, with around 300 employees already working there, said Som Chattopadhyay, national executive for India at Amgen.

Commodity trader Cargill to add 500 jobs to its Indian global centres in 3 years

Global Capability Centers (GCCs) are seeing a boom in India with about 1800 currently operating,

Expected to go above 2500 centers by 2030 and expected to employ more than 2.5 million people

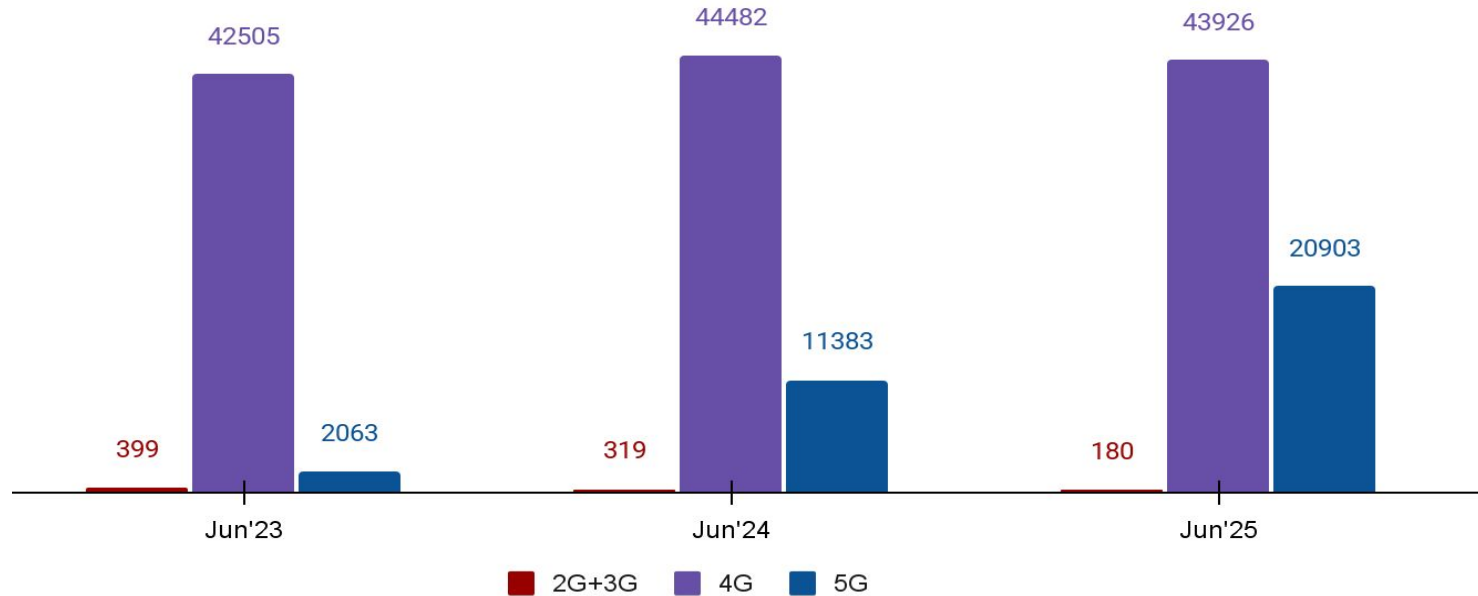
Hiring by GCCs have far surpassed IT Services hiring. About 1L of the 1.2L jobs created in tech sector this year are from GCCs

More than 40% of office space demand in the next two years is expected to come from GCCs

GCC hiring can lift incomes for many to join the affluent bracket and can lift consumption further

Exploding 5G Usage removes friction for internet access (and internet consumption)

Wireless Data Usage (in PB)



Contents

4 Lessons from an Internet Commerce Operator
Strategic Realities and Challenges in Internet Commerce

23 India Macro and Consumption
Tailwinds, Challenges, Credit and Consumption and more

52 Quick Commerce
Growth, Profitability, Unit Economics, Blinkit, Instamart and more

97 Horizontal E-Commerce
Trends, Categories, Meesho, Unit Economics, Challenges and more

127 Food Delivery
Growth, Unit Economics, Global Takeaways and more

143 Mobility
Rapido Disruption, Profitability and more

154 Vertical E-Commerce
Fashion, Beauty, Travel, Pharma, Auto, Home Services and more

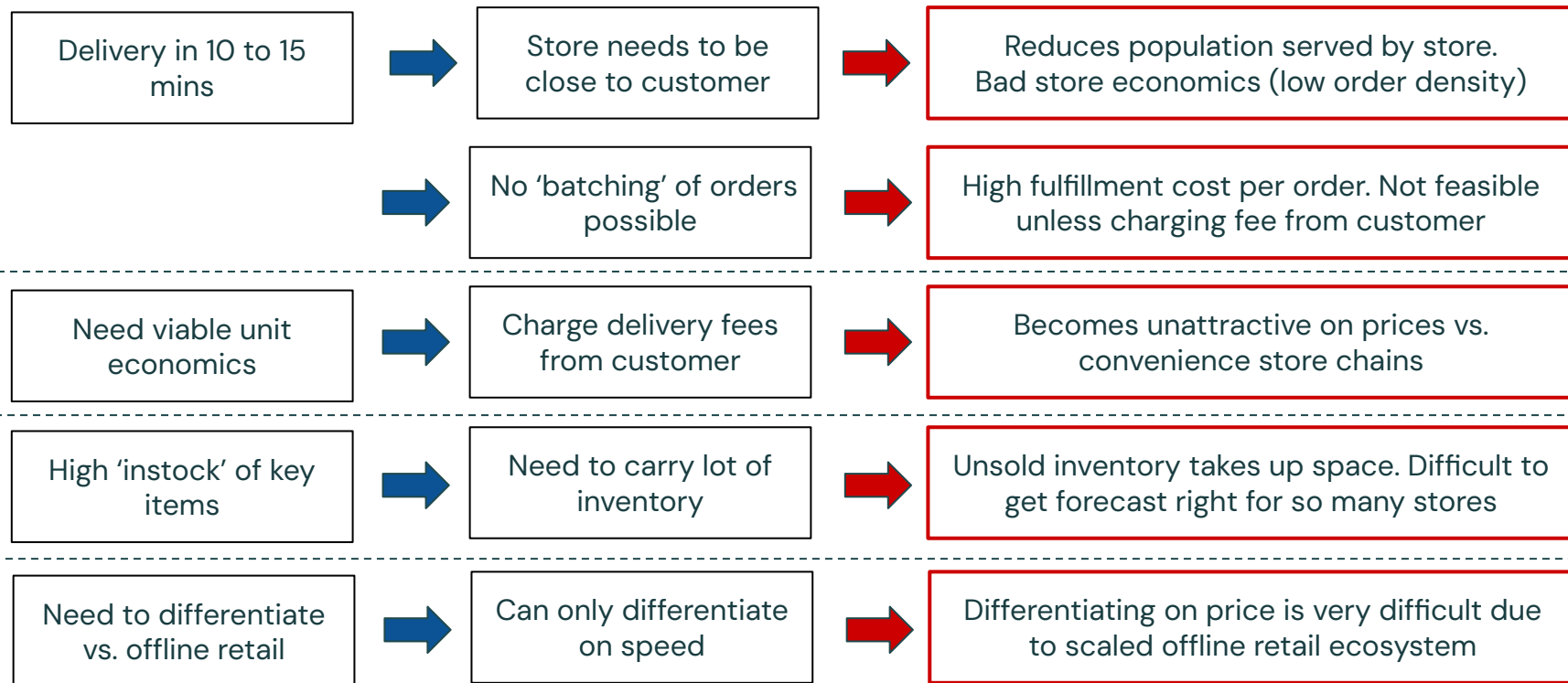
196 D2C Brands
Challenges, Trends and more

Why Quick Commerce seems to work in India but not in most other countries?

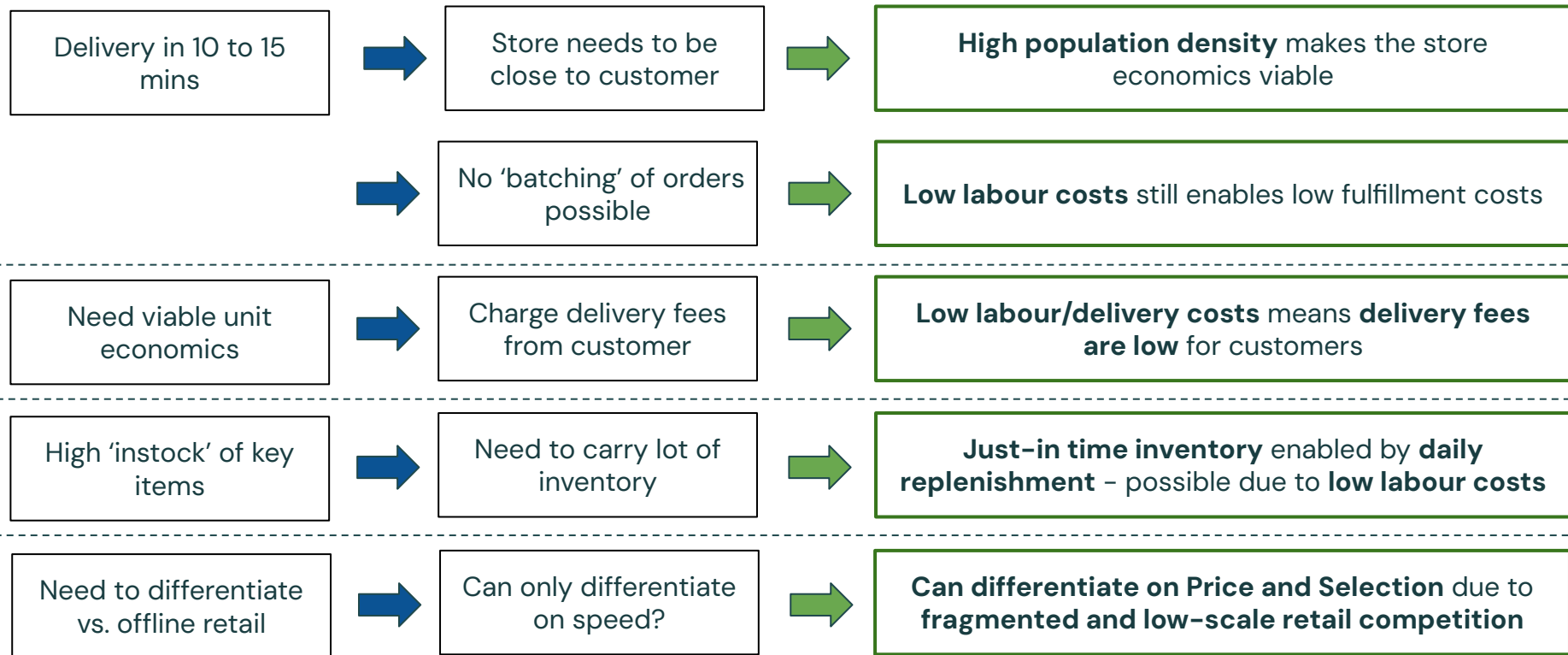
Quick Commerce originated in other countries but saw spectacular flameouts



Globally, why Quick Commerce was hard to get right – because there are inherent challenging tradeoffs



Why Quick Commerce works in India – population density, low labour costs and sub-scale retail ecosystem help address challenges



Why Quick Commerce works in India – population density, low labour costs along with sub-scale existing retail ecosystem are key

Subscale and Fragmented Retail Ecosystem

Sub-Par Selection in Offline Retail



Better Value Proposition vs. Local Convenience Stores

High Population Density

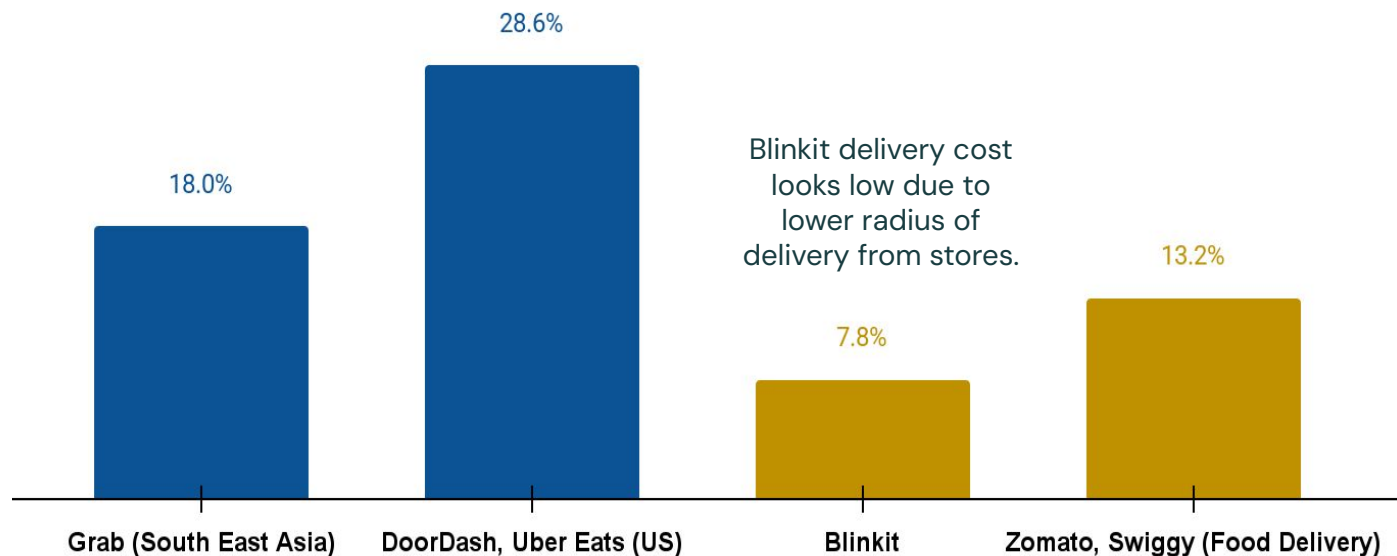
Low cost of Labour



Feasibility of Operations

Lower Labour Costs in Unit Economics enable viability of Quick Commerce

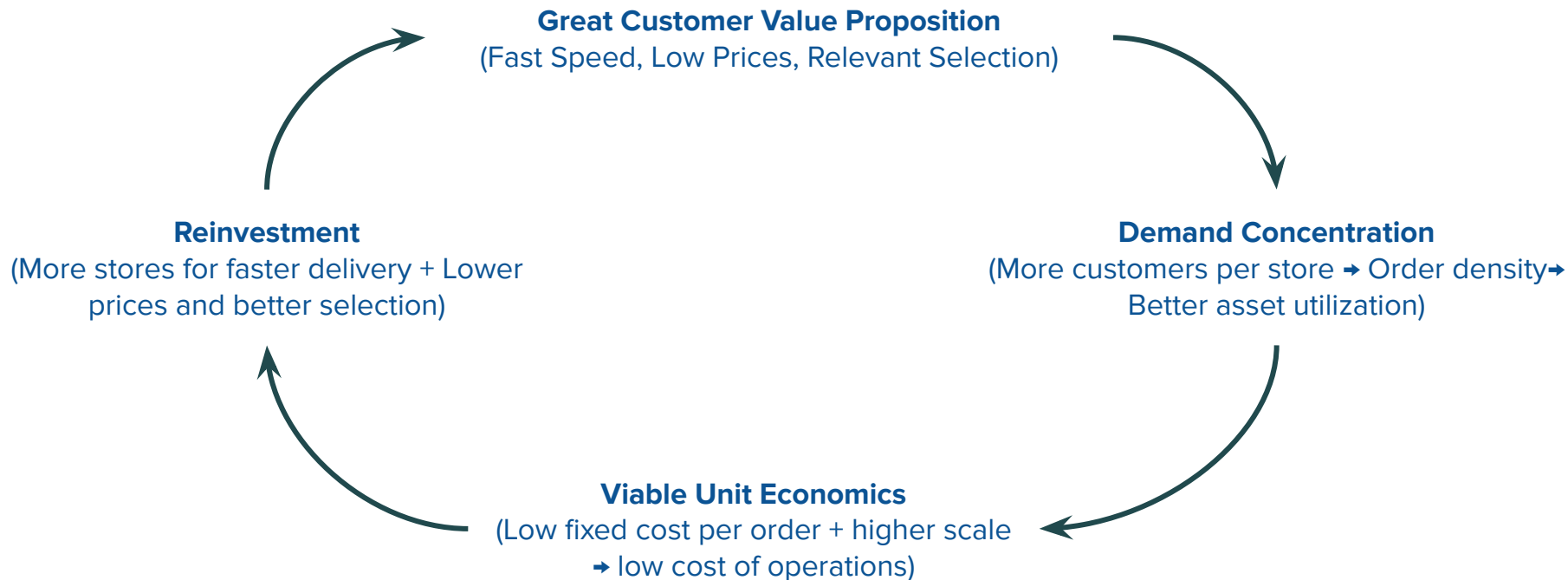
Delivery Cost Share of AOV (%) – Comparison with Global Platforms



Note: This only estimates delivery cost to the platform. Grab, DoorDash and Uber Eats pass on the costs to customers by charging high delivery fees to customers. Delivery partners in US also get tips from customers

Blinkit delivery cost looks low due to lower radius of delivery from stores.

The Quick Commerce Flywheel in India



**Grocery Quick Commerce in India (where Blinkit, Zepto, Instamart operate)
has strong value proposition**

Quick Commerce Grocery hits the sweet spot between DMart and Neighbourhood markets

Value Proposition Advantage of Quick Commerce Grocery

Compared to Dmart (Grocery Modern Retail)

**Far better convenience
(delivery in 10 minutes)**

**No need to build large basket and stock
up (improves cash flow for customer)**

**Better Selection – more number of
categories and brands**

**Competitive Prices in smaller packs for
short term consumption**

Compared to Kirana, Neighbourhood supermarket

**Better prices. Direct sourcing and
economies of scale**

**Much better selection and width of
categories**

**High availability and round the clock
delivery**

**Highly reliable convenience and
doorstep delivery**

Quick Commerce Prices are quite competitive on small/medium packs vs. DMart. Customer can stretch the rupee by not buying big baskets



Fortune Mustard Oil 910g

Blinkit

Rs. 191

Dmart

Rs. 195



Amul Pure Ghee 500ml

Blinkit

Rs. 295

Dmart

Rs. 295



Lizol 1L Surface, Floor Cleaner

Blinkit

Rs. 200

Dmart

Rs. 205



Fortune Sunflower Oil 800g

Blinkit

Rs. 132

Dmart

Rs. 131



Aashirvaad Atta 1Kg

Blinkit

Rs. 72

Dmart

Rs. 63



Maggi 560g

Blinkit

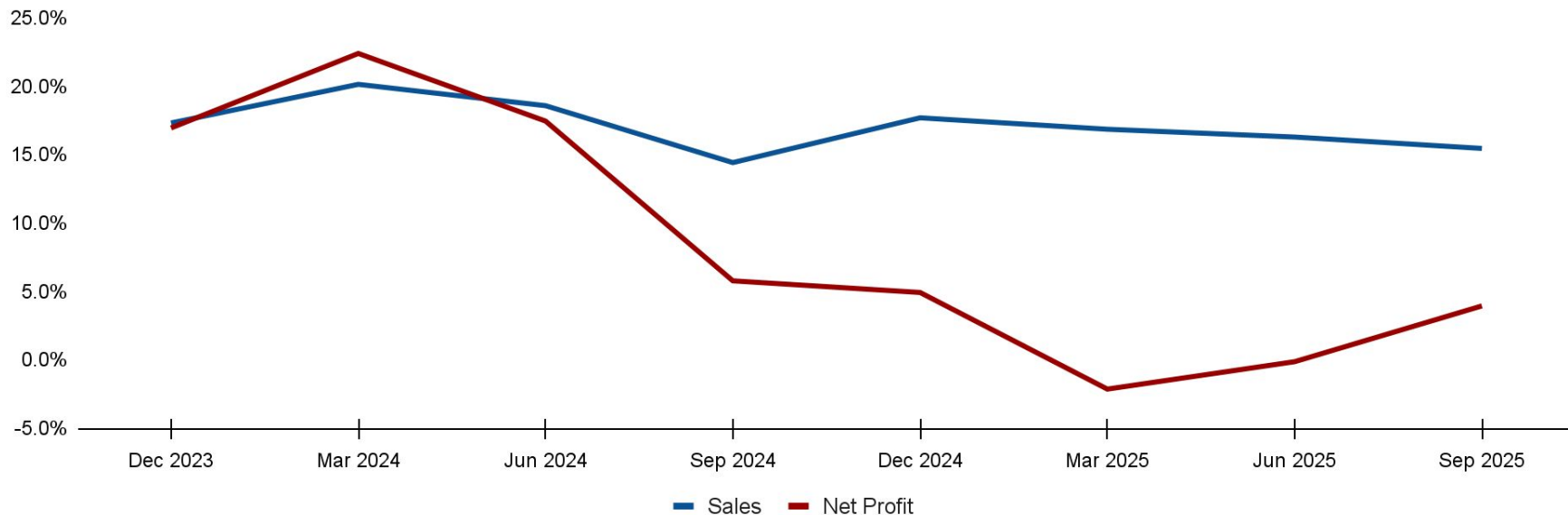
Rs. 107

Dmart

Rs. 100

DMart (India's largest Grocery retailer) is likely already being hurt by Quick Commerce

DMart Revenue and Profit Growth YoY%



Some of the core assumptions in DMart's profit formula are under threat

DMart Business Model	Key Assumptions in Profit Formula	Threats to the Assumptions
No frills warehouse stores and Lean Supply Chain	High sales volume per store	Quick Commerce can take customers away by pricing competitively on essentials
Mostly larger pack selection - low per unit price	Large bill size per customer (about Rs. 1700 per bill)	With Quick Commerce customers do not need to buy upfront and can buy in smaller quantities
Essential Selection - Very high inventory turnover	25% contribution from Apparel and General Merchandise	Competition from Zudio and other alternatives. This mix is already under stress
Faster payments to brands in exchange for discounts		
Owens the stores - no rental expense		
Good mix of High Margin Apparel, General Merchandise		

Private Label play gradually emerging in Quick Commerce to cater to price and quality needs of customers

All major Platforms have private label selection in Staples to cater to price

Instamart has launched 'Noice' brand for Quality in Packaged Foods

Blinkit app interface showing private label products. The top row features 'Whole Farm Premium Cumin Seeds / Jeera S...' (100g, ₹37, 70% OFF), 'Whole Farm Premium Kabuli Chana (Big Size)...' (500g, ₹84, 50% OFF), and 'Whole Farm Premium Coriander Seeds...' (200g, ₹54, 40% OFF). The bottom row shows 'Whole Farm Premium Saunf Seeds (Sompu)' (200g, ₹67, 62% OFF), 'Whole Farm Premium Kolhapuri Jagge...' (900g, ₹21, 21% OFF), and 'Whole Farm Premium Red Chilli Whole (Me...)' (100g, ₹73, 57% OFF). A 'View cart' button with 5 items is visible at the bottom.

Blinkit

Zepto app interface showing private label products. The top row features 'Daily Good Kurnool Sona Masoori Steam Rice' (1 pack (10 kg), ₹585, SAVE ₹415) and 'Daily Good Sona Masoori Steam Rice' (1 pack (10 kg), ₹556, SAVE ₹444). The bottom row shows 'Daily Good Almond / Badam | California' (1 pack (100 g), ₹120, SAVE ₹10) and 'Daily Good Ponni Steam Rice' (1 pack (26 kg), ₹1277, SAVE ₹13K). A 'Shop for ₹99 to unlock FREE delivery with dailly' banner is at the bottom.

Zepto

Instamart app interface showing private label products. The top row features 'Supreme Harvest Groundnut' (1 kg x 2, ₹304, 42% OFF) and 'Supreme Harvest Marathi Moggu' (50g, ₹52, 42% OFF). The bottom row shows 'Supreme Harvest Cashew Whole (SW)' (100g, ₹304, 42% OFF) and 'Supreme Harvest Doosa Rice 1 kg' (1 kg, ₹52, 42% OFF). A 'FREE DELIVERY on orders above ₹199' banner is at the bottom.

Instamart

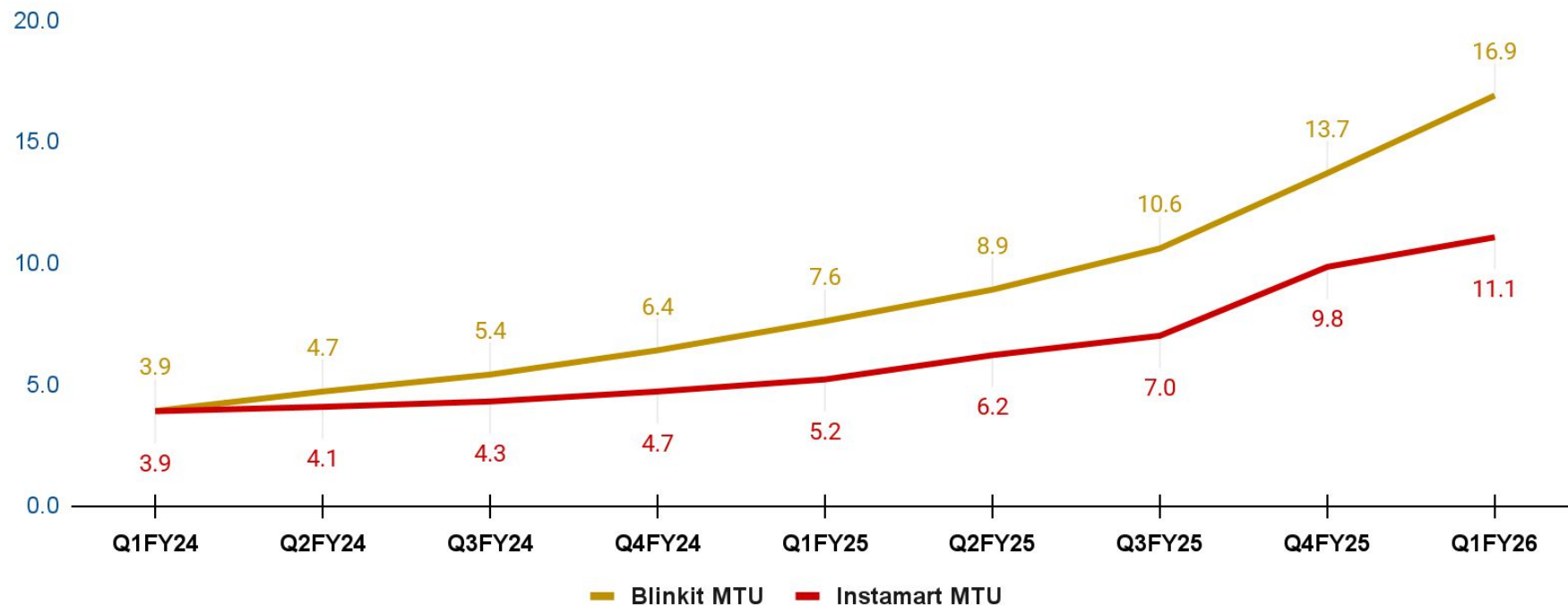
Instamart app interface showing Noice brand products. The top row features 'Noice Salted Potato Hot Chips (Homestyle Waf...' (100g, ₹75, 11% OFF), 'Noice Homestyle Shankarpali (Sweet & Salty) (...)' (150g, ₹66, 12% OFF), and 'Noice Masala Khara Boondi (No Palm Oil Namke...' (100g, ₹54, 3% OFF). The bottom row shows 'Noice Spicy Potato Hot Chips (Homestyle Waf...' (100g, ₹75, 11% OFF), 'Noice Chocochip Cookies (Zero Palm Oil Biscuits)' (80g, ₹66, 12% OFF), and 'Noice Mini Bhakarwadi (No Palm Oil Namke...' (100g, ₹54, 3% OFF). A 'FREE DELIVERY on orders above ₹199' banner is at the bottom.

Instamart

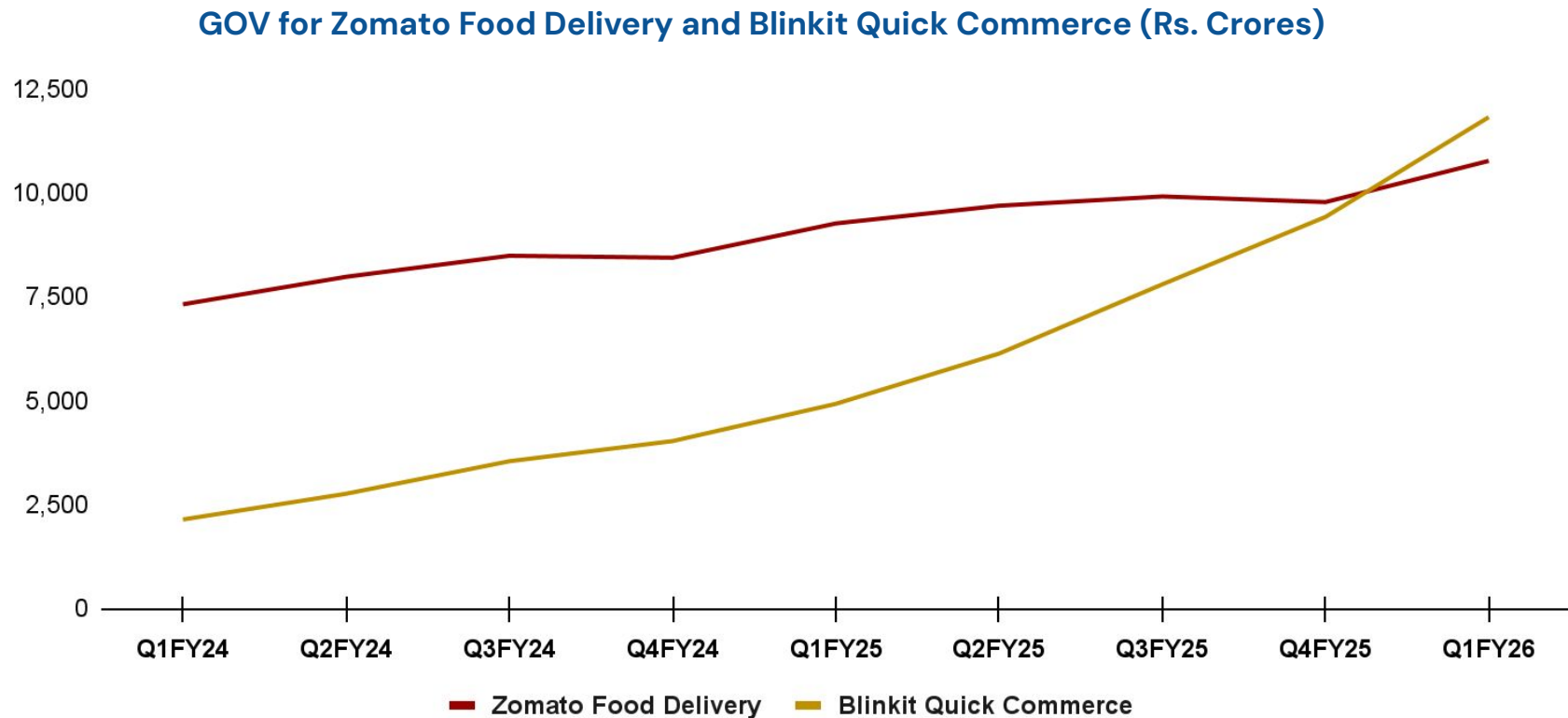
Growth in Quick Commerce has exploded in the last 2 years

Monthly Transacting Users have exploded in the last two years

Monthly Transacting Users in Million (Blinkit and Instamart)



Quick Commerce GOV (Gross order value) has fast overtaken Food Delivery GOV – Eternal (Zomato)



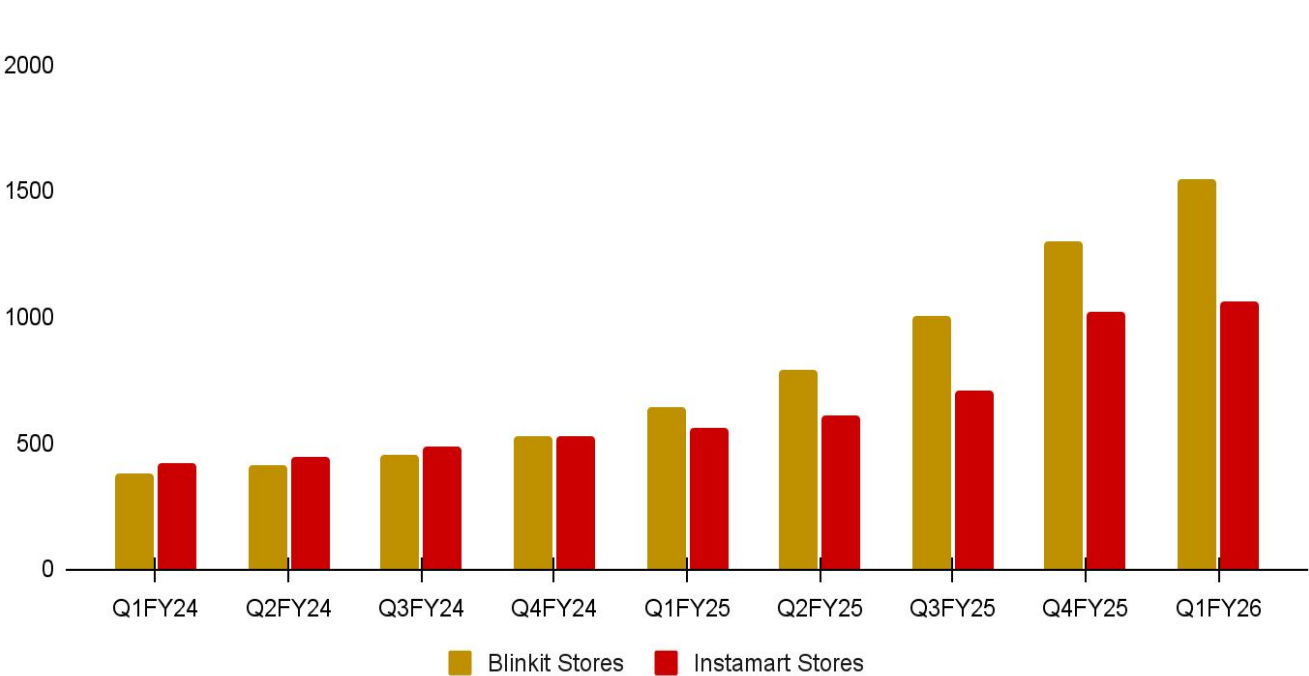
Platforms seeing Good Repeat and Retention from customers

Swiggy Instamart Cohort GOV/Spend Trend (indexed to Q4'FY24) in retained customers over the quarters

Quarter	Q0	Q1	Q2	Q3	Q4	Q5	Q6
Q4'FY24	100%	240%	303%	322%	304%	346%	414%
Q1'FY25	105%	287%	308%	292%	333%	401%	
Q2'FY25	121%	289%	280%	320%	387%		
Q3'FY25	124%	261%	297%	361%			
Q4'FY25	126%	261%	316%				
Q1'FY26	140%	311%					
Q2'FY26	161%						

Store Expansion pace has been very rapid

Blinkit and Instamart Dark Store Count



The city expansion has been very fast as well.

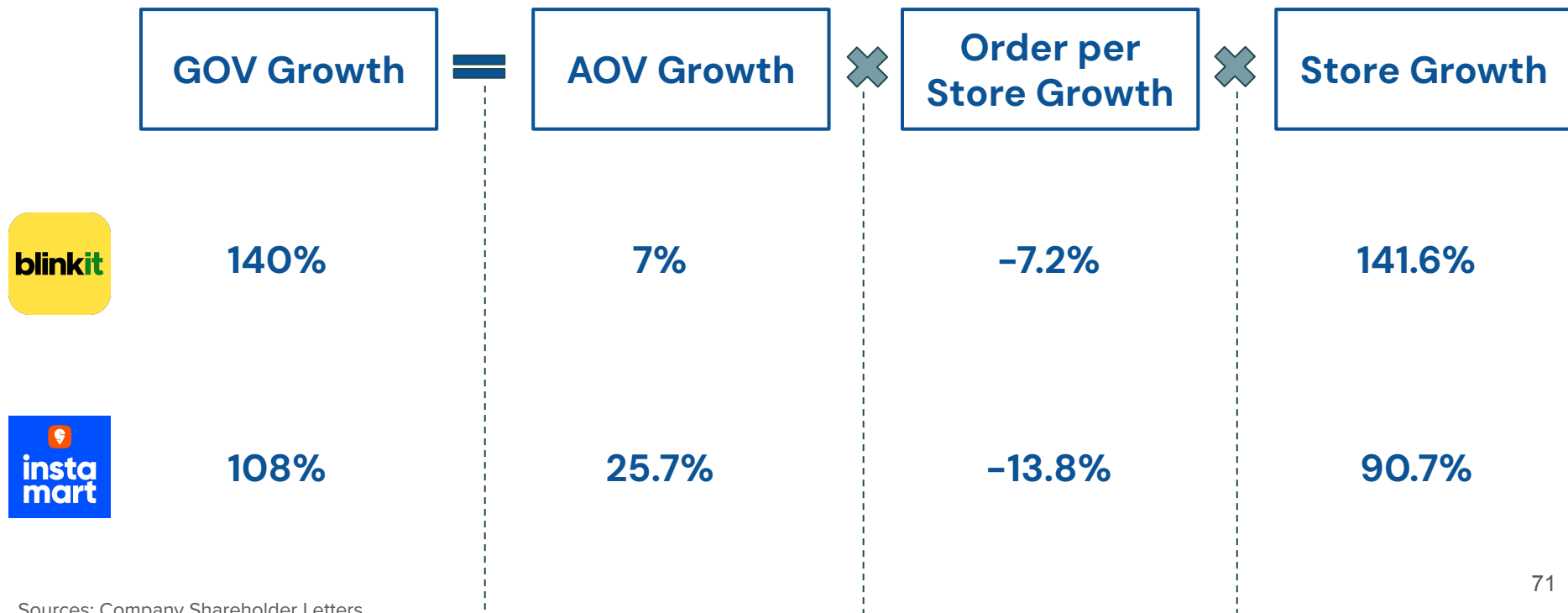
By end of March 2025, Blinkit went to 100+ cities compared around 30 cities in March 2024

Instamart went from 27 cities to 124 cities during the same period

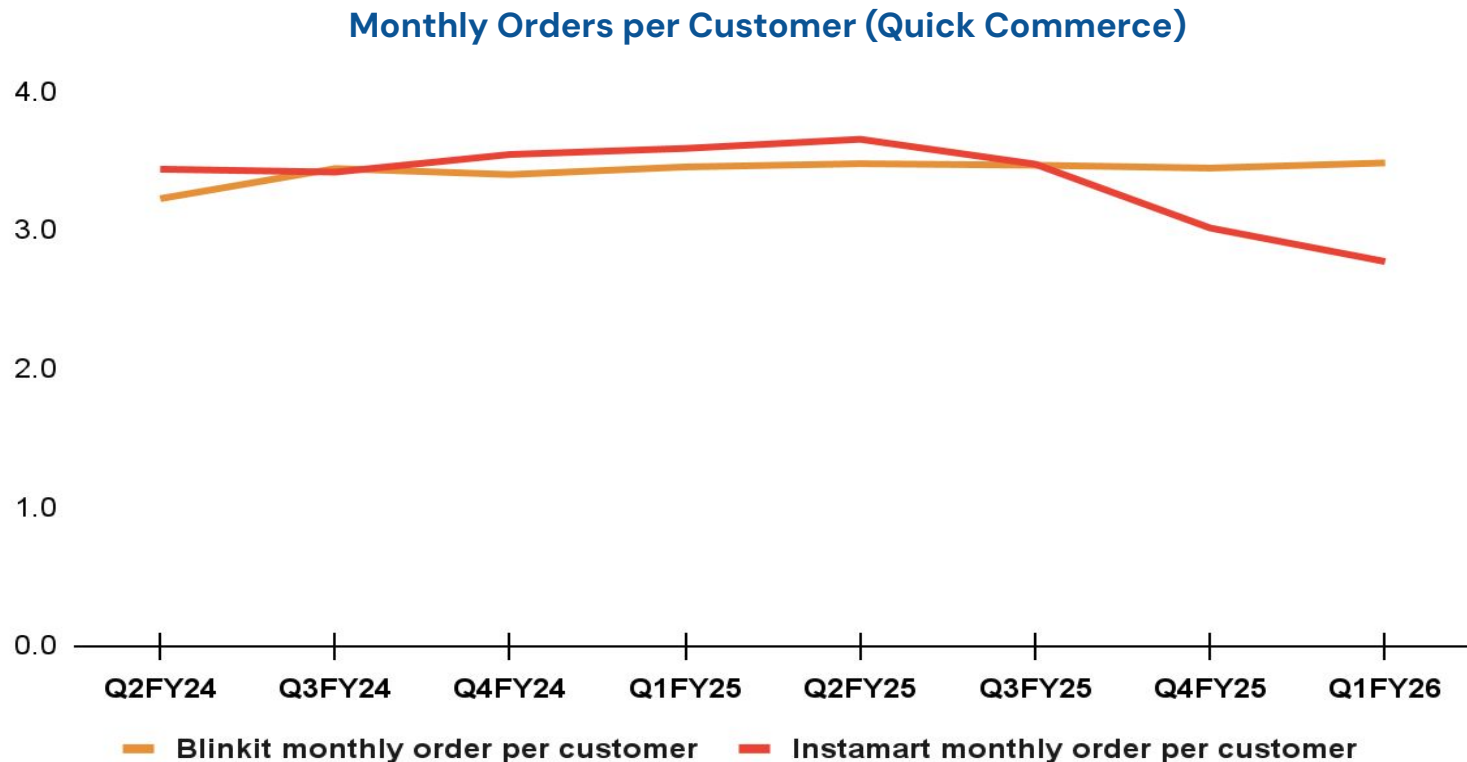
Blinkit has a target of 2100 stores by March 2025

In Recent Quarters, most of the GOV growth for top Quick Commerce players has come from store expansion

Numbers are for Q1 FY26



Monthly Order Frequency – inching up slowly for Blinkit. Instamart falling (likely due to lower frequency from new stores)



The big question is - what about profitability?

Sustainable Quick Commerce economics depends on a few big factors

Simplified view

High enough AOV
(average order value)

Sufficient Product
Margins and Ad Revenue

Gross Margins

Low Wastage
(Dairy, Fruits and Vegetables)

Category is
20-30% of
volume

Low fulfillment and
replenishment costs

Contribution Profit

High Orders per Store
(Low Fixed Costs)

Most difficult
to crack

Other Fixed Costs

Operating Profit

The Sustainability/Profitability Equation for Quick Commerce

Do More of...

- ↑ **Store utilization led by Orders/store** due to **high number of customers served by store** and **high repeat of customers**
(led by consistent value proposition on price, selection, availability and speed)
- ↑ **Average Order Value (AOV)** (led by selection relevance, discovery and basket offer design)
- ↑ **Ads revenue as share of Gross Order Value (GOV)**
- ↑ **Mix of higher margin items** (non-staples FMCG, general merchandise etc.)
- ↑ **Inventory turnover** (led by better demand forecasting)

Do less of...

- ↓ **Fulfillment Cost or Delivery Cost**
- ↓ **Discounting per order** (led by relevant selection and better procurement)
- ↓ **Wastage of Perishables like Milk, Fruits, Vegetables** (led by better demand forecasting)
- ↓ **Customer Acquisition Cost (CAC)** (led by high ROI marketing initiatives and)
- ↓ **Store Ops cost** (led by optimized processes and automation)

Illustrative – Key Drivers of Profitability in Quick Commerce

Illustrative Unit Economics P&L (Blinkit Q1 FY26)

Unless specified – % of AOV	P&L
Average Order Value (AOV)	669
(1) Gross Profit/Take Rate	20.3%
– Gross Margin ex. Ads and Delivery/Platform Fee	13.30%
– Ads % of AOV	4%
– Delivery Fee	2%
(2) Incentives to customer, delivery partners	1.50%
(3) Fulfillment Cost	8.50%
(4) Other Variable Cost (contract labour, store ops etc.)	7.20%
(5) Contribution Margin = (1) – (2) – (3) – (4)	3.1%
(6) Fixed Costs	4.5%
EBITDA Margin (5) – (6)	-1.4%
EBITDA in Rs. per order	-9.4

Drivers of Profitability

Design **high enough AOV** – big driver but not easy to crack. Low discounts can aid Gross Margins – likely in place for mature stores.

Product Mix is crucial for Gross Margins. D2C Brands, Private Label, Non-Staples, General Merchandise can scale gross margins.

Low wastage/losses in Milk, Dairy, Fruits and Vegetables, Meat also crucial for Gross Margins.

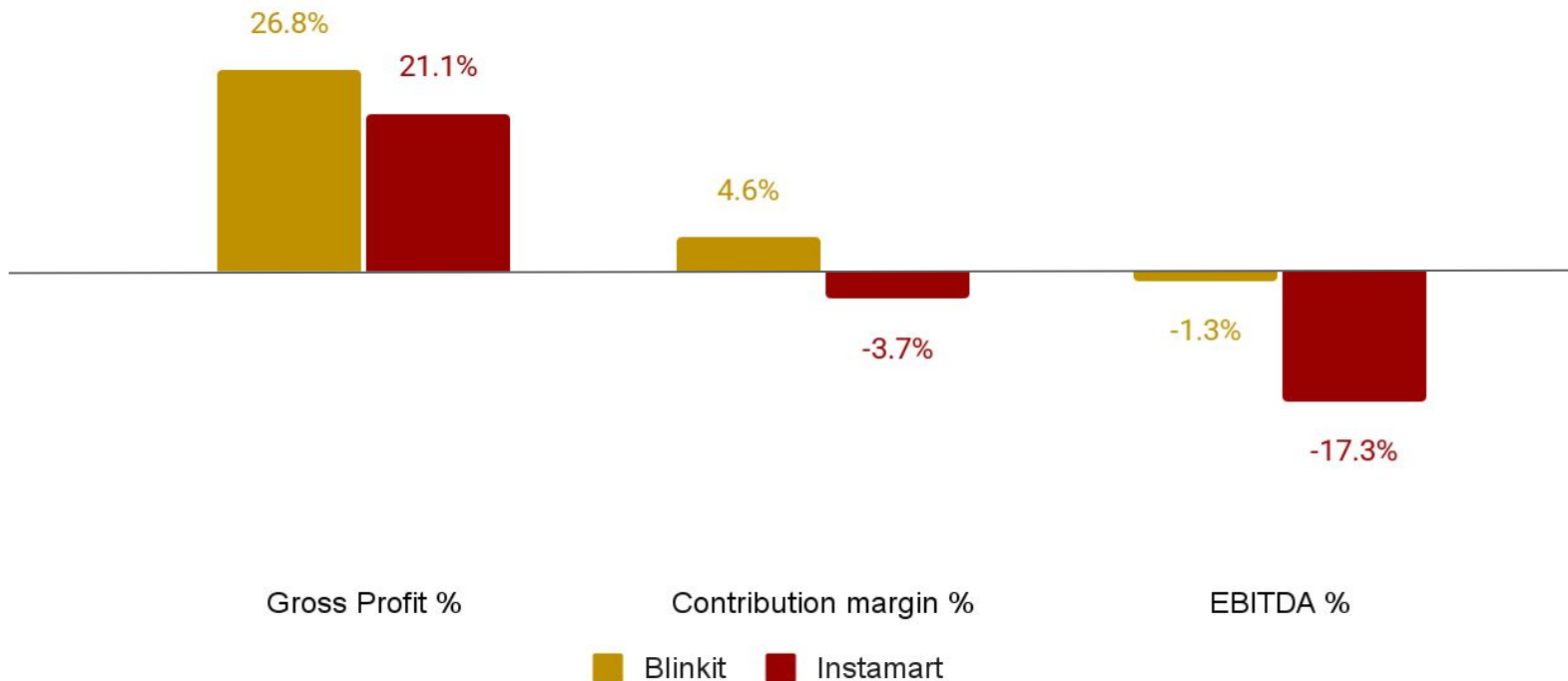
Ads revenue is exciting and can potentially go to 5%+ GOV with scale and unlocking innovative formats

Fulfillment cost in absolute terms unlikely to come down but in % terms will show improvements with higher AOV. Same goes for other variable costs.

Fixed costs can come down with operating leverage with more orders per store.

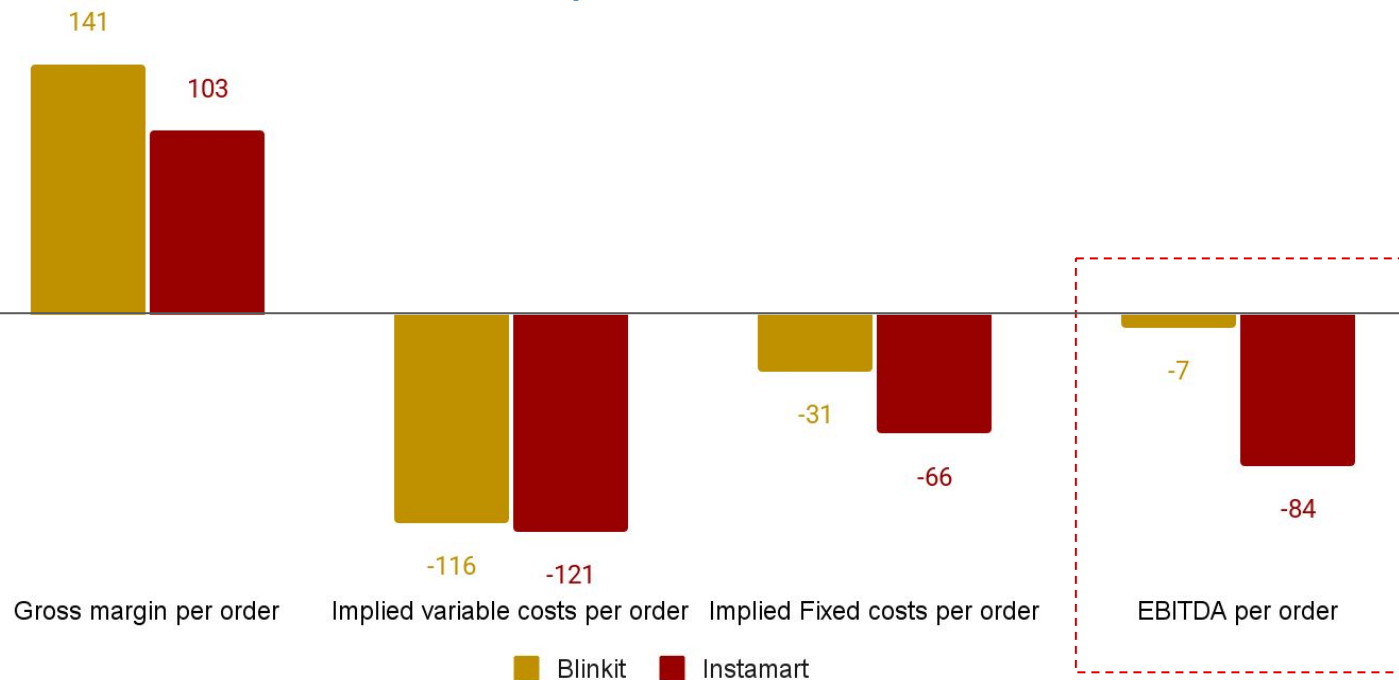
Blinkit close to profitability while Instamart has a lot of catching up to do. Needs higher take rate and operating leverage

Blinkit and Instamart Margins as % of Net Order Value (Q2 FY26)



Profitability – Blinkit vs. Instamart – Unit economics shows the very big difference

Blinkit and Instamart per-order economics in Rs. (Q2 FY26)



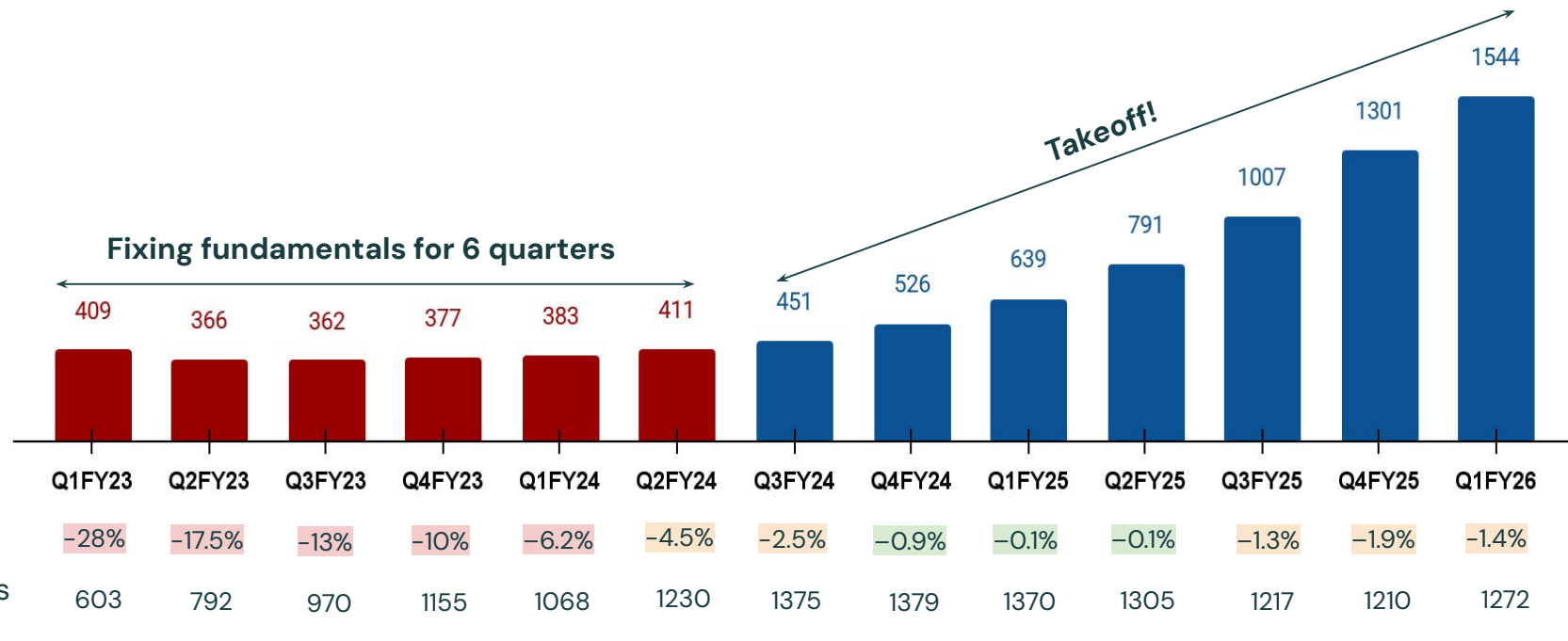
Blinkit financials seem quite attractive at the moment vs. Instamart and also illustrate the challenge of this business

You need sufficient revenue/gross margin – low discounting, good ads revenue, charge delivery fees from customers

Higher orders per store is crucial to bring down the Fixed cost per order

Blinkit took a year long pause in its store expansion to correct economics before expanding further

Number of Dark Stores (Blinkit)



Challenge for Swiggy Instamart (and potentially Zepto) – it might be difficult to fix store profitability at scale

With rapid expansion of stores in industry, it might be difficult to solve for profitability at scale

At Store count →	~410	~410	~450	~520	~600	~1000 to 1000
Blinkit EBITDA was	-28% (Q1 FY23)	-4.5% (Q2 FY24)	-2.50%	-0.90%	-0.10%	-1.30%
Instamart EBITDA was		-17.90%	-18%	-13.20%	-10.60%	-16%

Note: % of GOV

Blinkit was able to get the profitability under control before it scaled even further

Blinkit investing in growth while largely keeping profitability under control

Swiggy Instamart faces a challenging in solving for profitability while at scale

Average Order Value is important for profitability. Deterioration significantly affects profitability

	Deterioration	Current	Improvement
<i>All in Rs. unless specified</i>	AOV 1	AOV 2	AOV 3
AOV	569	669	769
Revenue	116	136	153
– Commission and Ad Revenue	99	116	133
– Delivery Fee	20	20	20
Variable Cost	114	115	116
– Dark store/replenishment/other variable	48	48	48
– Delivery/Last mile	57	57	57
– Discounts	9	10	11
Contribution profit	5	21	37
Contribution profit % of GOV	0.9%	3.1%	4.8%
Fixed cost	30	30	30
Adjusted EBITDA	-25	-9	7
EBITDA % of GOV	-4.4%	-1.3%	0.9%

Why increasing AOV is a challenge

Challenge: The customer propensity for Quick Commerce is to 'top up' – buy something that is missing 'right now' – Milk, Vegetables, Bread, Curd, Atta, Chips, Ice Cream, Beverage and so on...

Hence the order value is naturally constrained.

Companies use 'Carrots' and 'Sticks'
Sticks – small cart value, delivery fee
Carrots – discounts on larger basket sizes; Bank Offer on larger basket sizes

Companies are trying to incentivize Large Basket Sizes (AOV) with discounts...

Zepto 'Supersaver' with savings on larger basket sizes

Cart

Free Delivery auto applied on this order

Bill summary

₹564.27 **₹445.27**

Incl. all taxes & charges **₹119 Saved**

Item Total

₹524 **₹435**

Handling Fee

₹9.99

daily Delivery Fee: Free

₹30 **FREE**

GST on Fees

₹0.28

To Pay

₹564.27 **₹445.27**

Total Savings

Including ₹30 on delivery fee **₹119**

Cart

Yay! Saved **₹221** on this order with **Super Saver**

Bill summary

₹654.16 **₹433.15**

Incl. all taxes & charges **₹221.01 Saved**

Item Total

₹514 **₹427**

Handling Fee

₹50 **₹5.99**

Late Night Fee

₹35 **FREE**

Surge Fee

₹25 **FREE**

Delivery Fee

₹30 **FREE**

GST on Fees

₹0.16

To Pay

₹654.16 **₹433.15**

Total Savings

Including ₹30 on delivery fee **₹221.01**

Swiggy 'Maxxsaver' Savings

8:42

Search for 'Eggs'

All Maxxsaver Diwali Gifts Diwali Party Fresh

Deals on most loved brands

Aashirvaad Multigrains Atta

5 kg

17% OFF

₹335 **₹331**

₹401 **MAXSAVER**

Aashirvaad Select Sharbati Atta

5 kg

16% OFF

₹339 **₹335**

₹401 **MAXSAVER**

Supreme Harvest Groundnut (Raw...)

500 g

39% OFF

₹87 **₹80**

₹132 **MAXSAVER**

Sona Ma Economy

25 kg

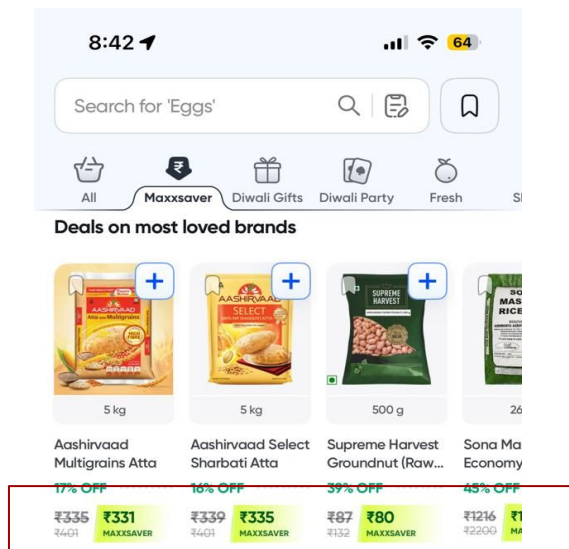
45% OFF

₹1216 **₹710**

₹2200 **MAXSAVER**

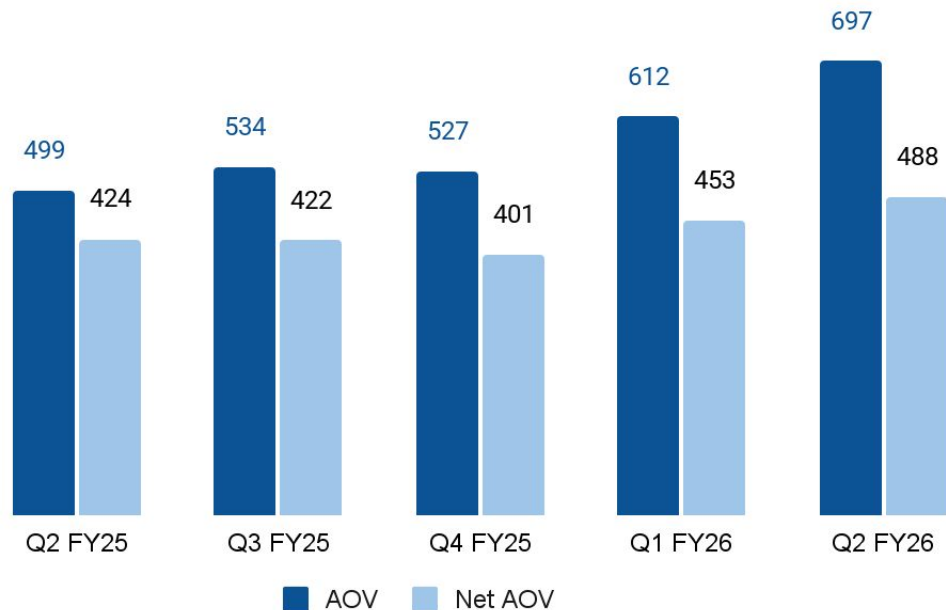
82

... Swiggy is seeing good improvement

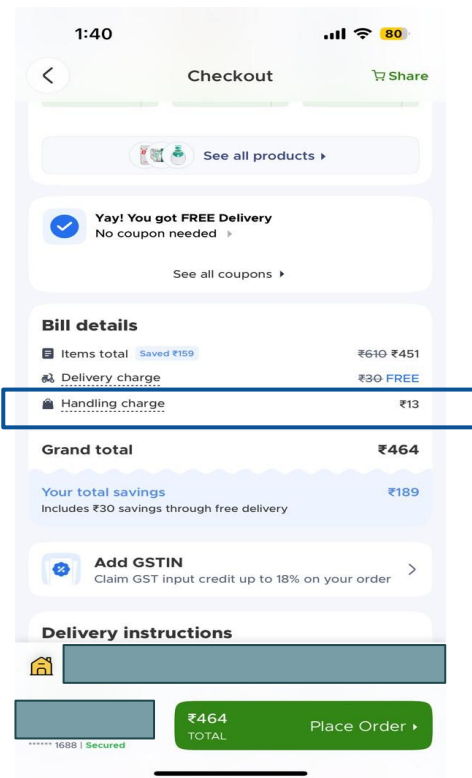


“Maxxsaver has seen strong traction on user and order penetration, and the feature has also helped profitability by consolidating carts. We have been able to play out our thesis of getting consumers to upgrade their basket-size by adding more items into their carts.” - Swiggy shareholders letter

Swiggy AOV and Net AOV Trend



Handling Fee or Platform Fee – Critical for Quick Commerce Profitability



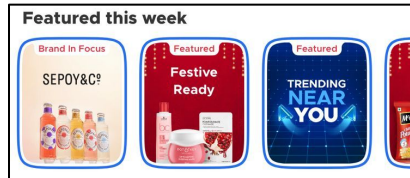
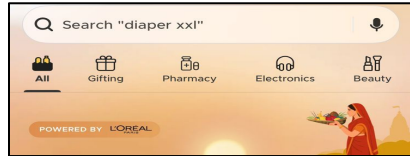
Blinkit P&L Estimates from Financial Reports

In Rs. Crore otherwise mentioned	Q1 FY26
Gross Order Value (GOV)	11821
Net Order Value (NOV)	9203
Revenue	2400
Contribution Margin	360
Contribution Margin % of NOV	3.90%
EBITDA	-162
EBITDA % of NOV	-1.8%
Platform Fees (avg per order) in Rs.	12
No. of orders in Crore	17.7
Platform Fee Revenue in Rs. Crore	212
Contribution Margin w/o Platform Fee	148
EBITDA w/o Platform Fee	-374

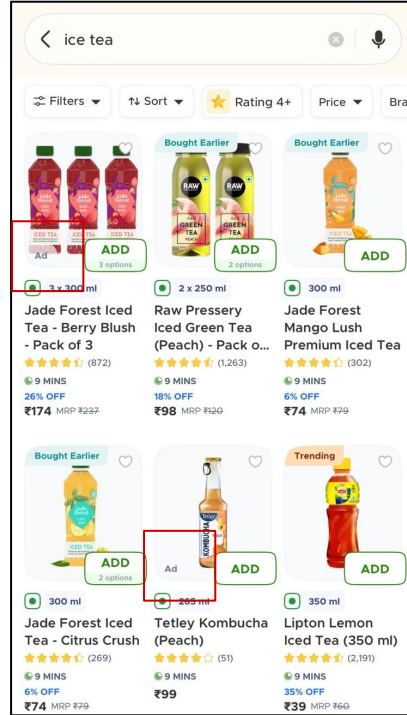
~60% of contribution profit comes from Platform Fee

Ads monetization is key for Quick Commerce Profitability

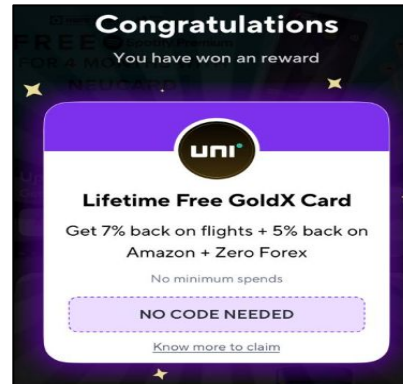
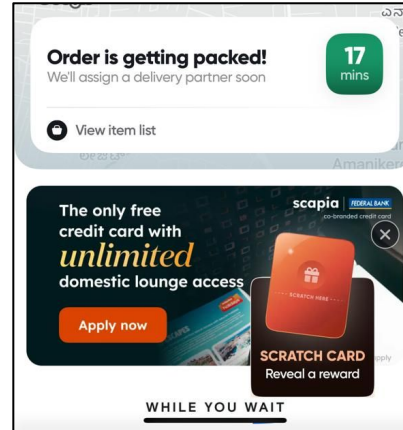
Home page ads (multiple apps)



Search Ads



Post-order Screen Ads



Ads revenue as per reports vary between 2.5% to 4.5% of GOV. (I expect it to be on the higher side of that range)

Ads is very high-margin and directly falls to bottomline

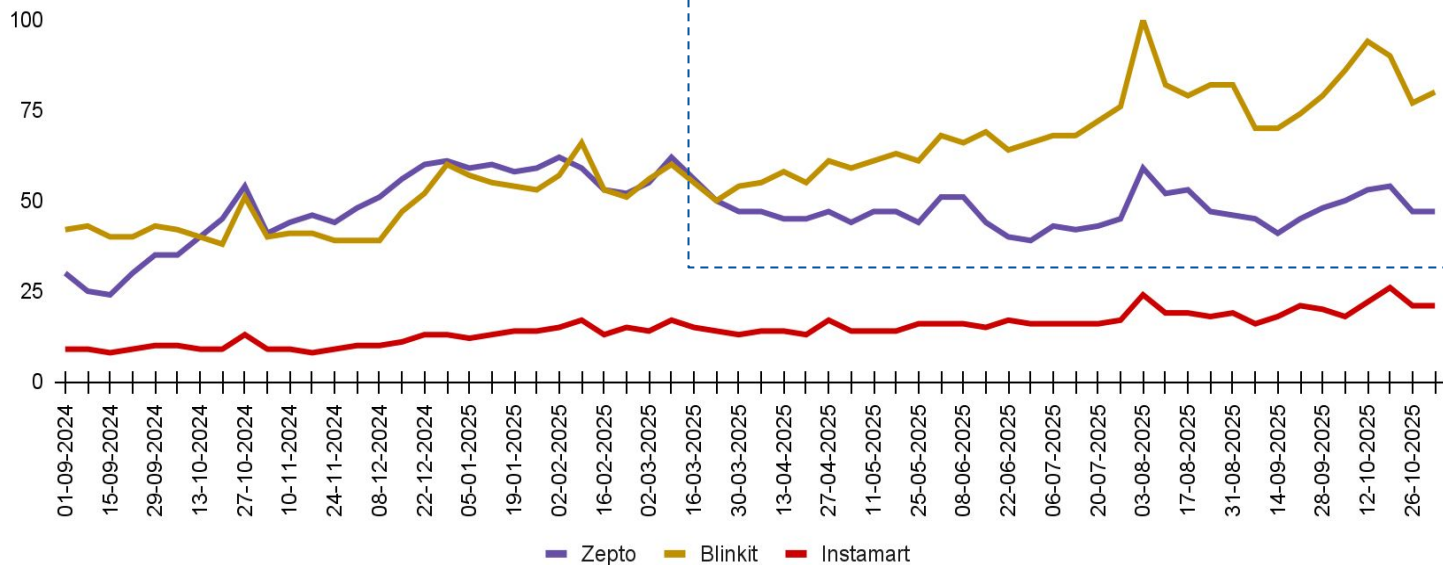
D2C Brands especially spend more on Ads

Platforms are trying to monetize every available supply.

More innovation needed to unlock ads 'supply' i.e. space for ads without affecting customer experience

What is happening with Zepto – Google Trends show a growth moderation this year

Google Trends data shows growth moderation from March 2025

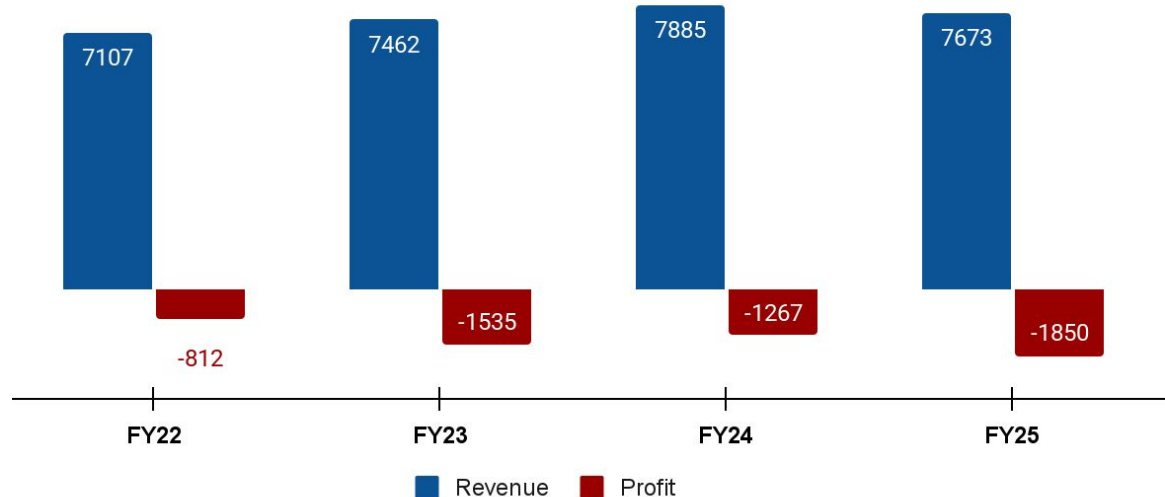


Press reports suggest a focus on profitability and slower dark store expansion in 2025 than Blinkit and Instamart

Zepto also reportedly has a lower AOV than Blinkit and Instamart

BigBasket, the erstwhile Online Grocery market leader is struggling in the last few years due to Quick Commerce disruption

BigBasket Revenue and Profit in Rs. Crore (only B2C)



BigBasket has pivoted to Quick Commerce and has arrested declines but yet to see growth

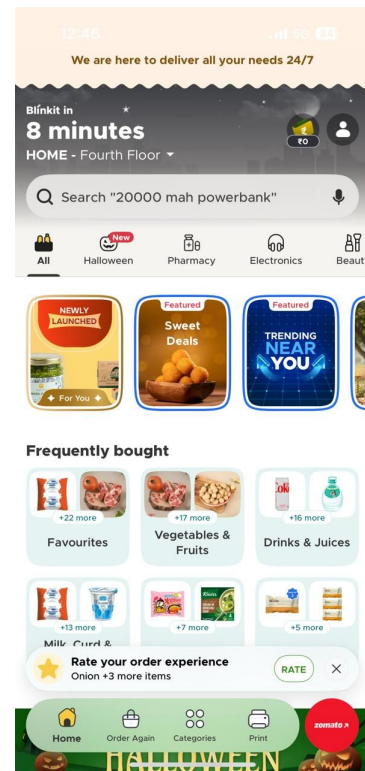
As per press reports, company executives (Feb 2025, Financial Express), **80% of orders are coming from BB Now**, its Quick Commerce arm

The company has around 700 dark stores (mid-2025) with plans to take it to 1000+ year end.

The challenges of BigBasket illustrates how tough it is to get 'consideration' from customers

The inflexibilities of BigBasket's earlier model (for example Supply Chain model) explains why it is so tough to respond

BigBasket Model	New Requirement
Fewer stores (Larger radius)	Many Stores (Small radius)
Batched Delivery	Single parcel
Weekly replenishment	Daily Replenishment
Planned workforce	On-demand workforce
Large Selection	Small Selection
City-level pricing	Store-level pricing



Extremely tough to respond to a new model when you have invested a ton of capital in the existing model

In the future, Blinkit's own inflexible choices might be a constraint against a new threat!

Blinkit model	Potential Threat	
Large selection variety (6000+ SKUs)	1000 SKUs	Smaller space, higher inventory turnover, lower cost structure
Wide assortment of brands	2-3 brands plus private label brand	High scale in fewer brands can lead to good bargaining power
10-min Delivery	30-min delivery but emphasizing value	Potential batching and superior cost structure (lower fixed costs)

Deep Pocketed Rivals entering Quick Commerce fray – Flipkart, Amazon, Reliance

Flipkart Minutes to set up 800 dark stores by 2025-end: CEO Kalyan Krishnamurthy

Reliance Retail activates 600 dark stores to boost hyper-local delivery

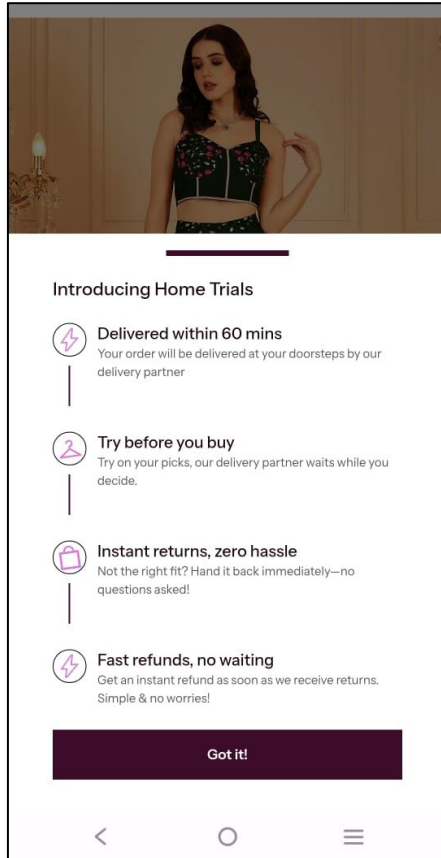
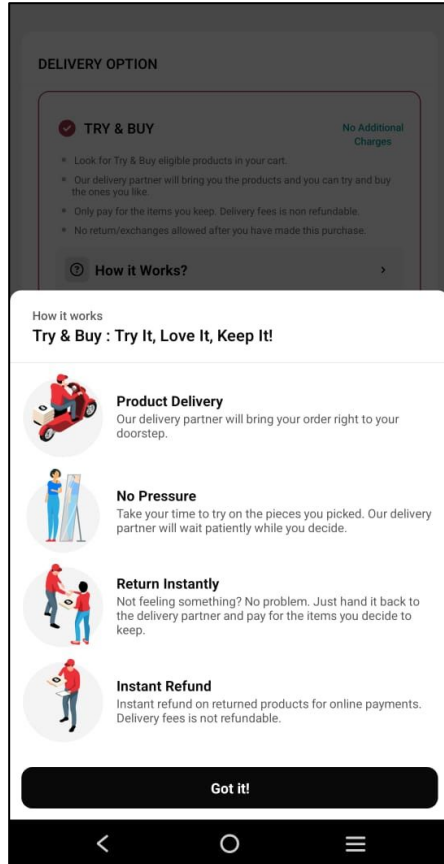
Addressing an analyst query after quarterly results, Reliance Retail CFO Dinesh Taluja said JioMart is better placed with an extensive physical store network and dark stores being set up

Amazon Now to expand to over 300 dark stores by 2025 with ₹2,000 cr push

Amazon India will expand its Amazon Now network to more than 300 dark stores by end-2025, investing Rs 2,000 crore in storage, processing and delivery infrastructure

Quick Commerce startups in other categories like Fashion are getting funded. But there are big challenges in non-Grocery Quick Commerce

Quick Commerce for Fashion – will it work?



Illustrative Example: Two Venture Funded Startups on the left

Offers Fashion (and beauty) from many brands across different categories. Currently each present in Bangalore and Mumbai

Value proposition: Promise delivery within 60 minutes and 90 minutes. Customer can try on items while delivery partner waits outside. If not satisfied can return instantly to the delivery partner

No returns accepted if not returned instantly.

How does it do well on other elements:

- Prices are generally above Rs. 1000
- Found persistent out of stock issues

The value proposition and feasibility for category like Fashion is less attractive than Grocery

	Grocery	Fashion
Customer Value Proposition	Clear winner vs. competition (Kiranass) in price and selection	Speed the only differentiator. Cannot match price, selection of horizontal e-commerce
AOV and Gross Margins	Challenging Gross Margins	High AOV and High Gross Margins an advantage for feasibility
Fixed Costs Economics	High daily orders per store brings down fixed cost per order	Lower orders per store expected. Very tough fixed costs per order
Inventory and Working Capital	High inventory turnover limits working capital	Low inventory turnover bloats working capital per store

Quick Commerce Fashion – Higher Contribution profit per order but fixed costs, working capital and inventory management could be deal breakers

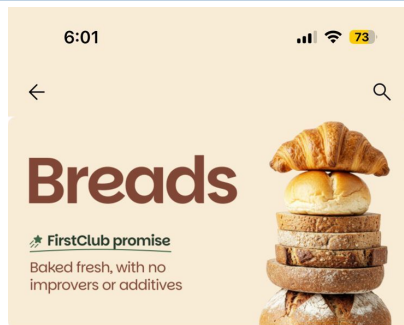
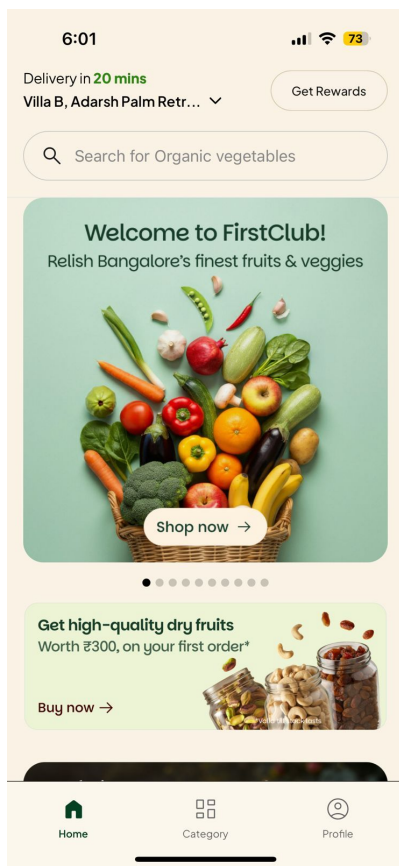
<i>All in Rs. unless specified</i>	Fashion P&L per order
(1) AOV	1000
(2) Returns 25%	250
(3) Net AOV = (1) – (2)	750
(4) Gross Margin @50%	375
(5) Delivery Cost (assuming 5 Km radius)	100
(6) Return delivery cost	25
(7) Total Delivery Cost = (5)+(6)	125
(8) Dark Store and Replenishment Cost	50
(9) Performance marketing 3%	30
(10) Total Variable Cost = (7) + (8) + (9)	205
(11) Contribution Profit = (4) – (10)	170
Contribution Margin % of AOV	17.0%
<i>EBITDA is contribution profit minus fixed cost. So...</i>	
Fixed cost per order required for zero EBITDA	170
Monthly Fixed cost estimate for entire 5000 sq.ft store in metro	20,00,000
Monthly orders required per store for EBITDA zero	11765
Number of daily orders per store required for EBITDA zero	392

Assuming inventory turnover of 4x annual for Fashion

Daily Orders	392
Monthly orders	11765
COGS per unit	500
Annual COGS	7.15 Cr
Inventory turnover @4x	1.78 Cr
Store Inventory including safety stock and peak	~2Cr

Requires high inventory and a high per store order

Startup to Watch: A more focused play like FirstClub could be new opportunity in Quick Commerce



Explore all varieties



What the startup does: Currently present in parts of Bangalore. Curated, high-quality Grocery delivered within 30 minutes.

- Has high bar on quality. No preservatives. Bans 200 ingredients on platform
- Slightly premium prices but value for money in terms of quality and gourmet foods
- Growing private label 'Members Pick' focused on great quality at good prices

Bull Thesis:

1. **Bet on rising affluent Indian class** – fast growing in terms of wealth and spending. Willing to pay premium prices for quality
2. **Lack of convenient alternatives** offering premium selection today
3. **Premium products means higher AOV and Gross margins** – good for unit economics
4. **Can be focused on store build out** in neighbourhoods with higher density of affluent population
5. **30 mins delivery** means some **batching of orders is possible**
6. **Affluent customer order frequency and retention will be higher**

Are there new opportunities in Quick Commerce? Potentially... by making choices and tradeoffs

Ultra-curved Selection (<800 SKUs)

Selection with very high inventory turnover and low fixed costs (small store size, low staff). Limited working capital

Only one or two brands per category focusing on value

Through low cost of operations - be the best in pricing

Private Labels for low-margin categories. But ensure high quality

Loyalty program for high frequency

Mostly Private Label Selection; Curated Selection

Only single- brand focused on Quality+Value except for Milk

Stand for quality and value more than price

Ultra-curved at 500 SKUs.

Low fixed costs due to small store size

Marketing via sampling and local neighbourhood activation

Loyalty program to increase frequency

Fresh Food + Grocery

Low-margin Grocery + High-margin fresh food

25 mins delivery promise

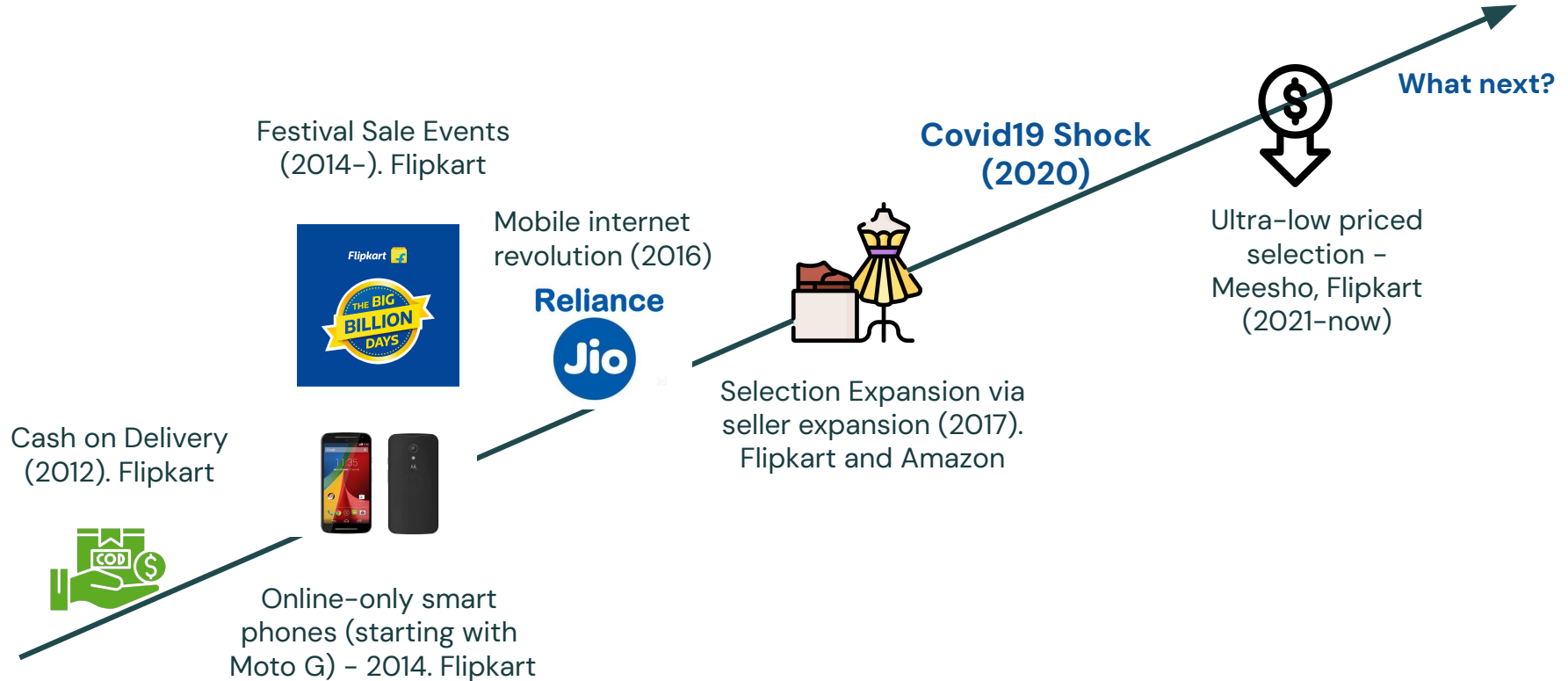
Food: ultra-focused menu based on local insight.

Focus menu on value and quality - eg. Family Meals, Larger portion sizes for the price, only fresh ingredients

Contents

- | | | | |
|-----------|--|------------|---|
| 4 | Lessons from an Internet Commerce Operator
Strategic Realities and Challenges in Internet Commerce | 127 | Food Delivery
Growth, Unit Economics, Global Takeaways and more |
| 23 | India Macro and Consumption
Tailwinds, Challenges, Credit and Consumption and more | 143 | Mobility
Rapido Disruption, Profitability and more |
| 52 | Quick Commerce
Growth, Profitability, Unit Economics, Blinkit, Instamart and more | 154 | Vertical E-Commerce
Fashion, Beauty, Travel, Pharma, Auto, Home Services and more |
| 97 | Horizontal E-Commerce
Trends, Categories, Meesho, Unit Economics, Challenges and more | 196 | D2C Brands
Challenges, Trends and more |

How new Growth was unlocked in Indian horizontal e-commerce over the years



The Three Sources of Future Indian E-Retail Growth

(Product Category Perspective)

**Growing Discretionary
Consumption *led by*
Growing disposable incomes**

Majority of Retail spends today is still Fresh Produce and Staples

Growing disposable incomes in the future can lead to growth in Discretionary categories and can be served by E-Commerce

**Headroom for more Online
Penetration in Discretionary
Categories**

Today India has high e-commerce penetration in categories like Smartphones, Laptops and small consumer electronics

Lot of room for growth in Fashion, Beauty, Home and Appliances

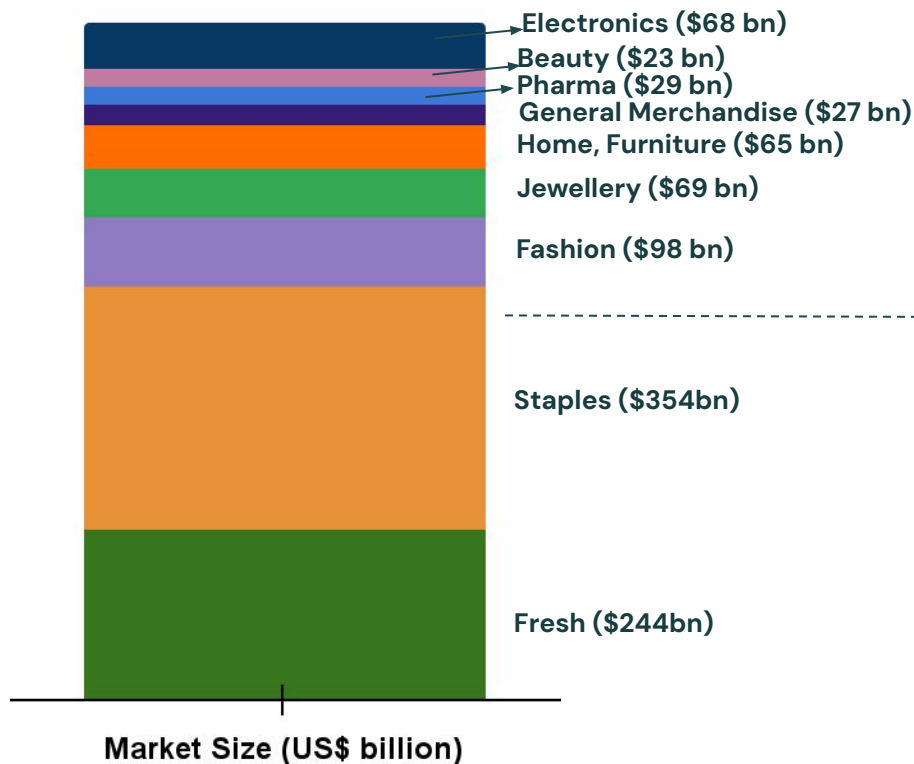
**The very large Grocery
opportunity**

Grocery has a monster market size of more than \$550 billion.

Cracking Online Grocery is a major opportunity

Discretionary Categories set to grow with more disposable incomes

India retail market split (\$bn)



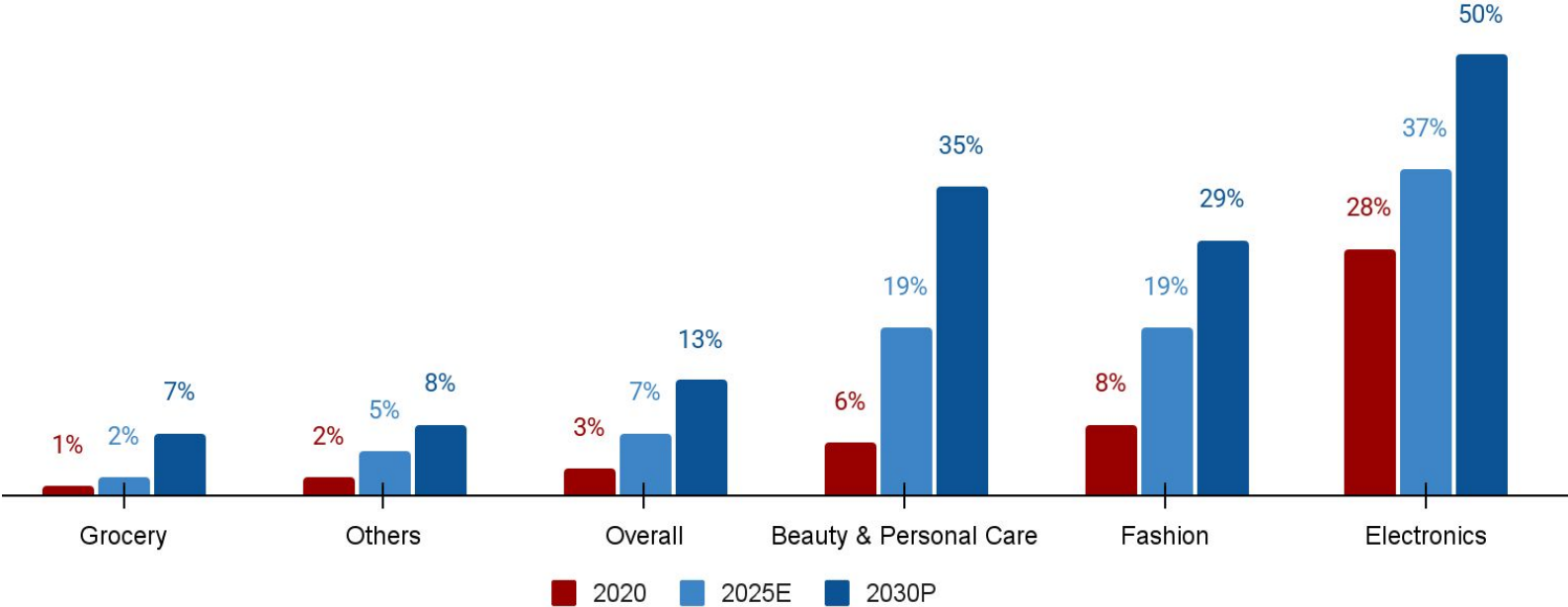
Discretionary categories set to grow much faster as disposable incomes grow.

Current per capita consumption of most categories are very low (except Jewellery)

Fresh and Staples will not grow much but at aggregate level there will be significant opportunities within these categories, especially more premium categories and brands with higher quality

Online penetration of various categories also has headroom to grow

Current and Future Online Penetration in Various Categories (Value)



The Big 3 – Flipkart, Amazon and Meesho dominate Horizontal e-commerce (i.e. selling multiple product categories) in India



Geography Dominance

Tier 1, Tier 2
Subsidiary Myntra -
Metro

Metro and top Tier 1
cities

Tier 3+

Customer Segment Dominance

Mid-Affluent, Mass
customers

Affluent customers

Lower income
women

Category Dominance

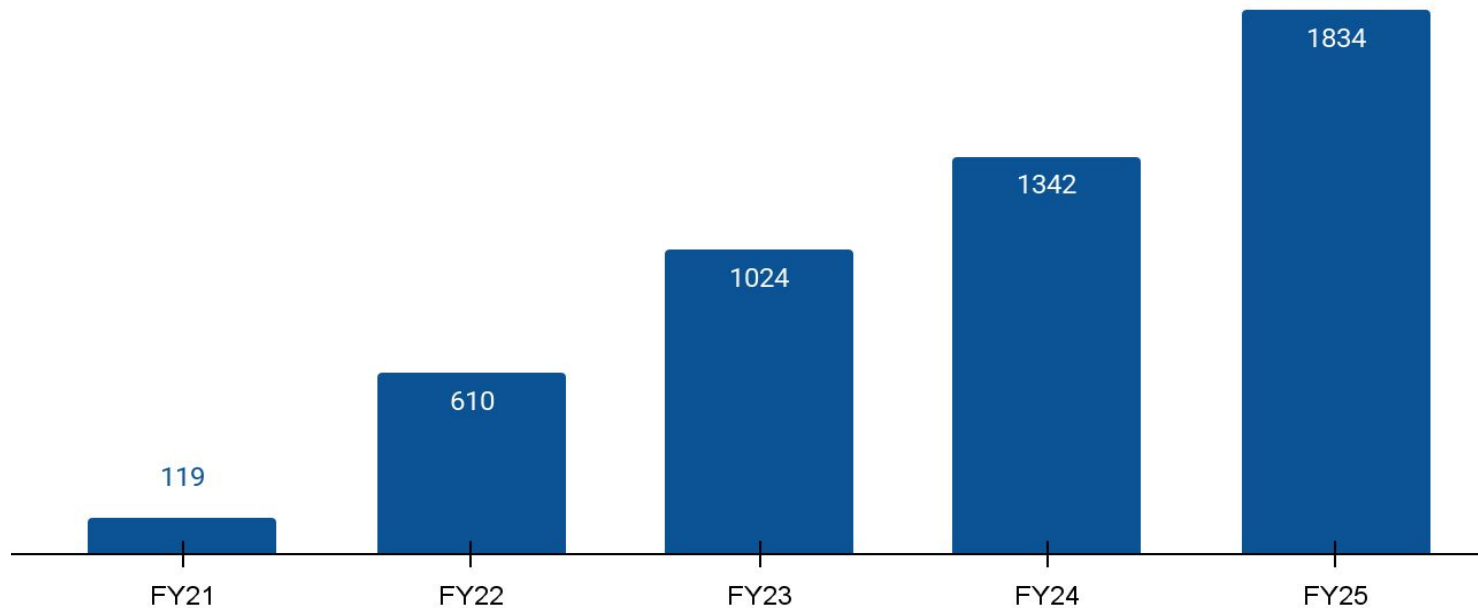
Electronics, Branded
and Mass Fashion
and more categories

Branded Beauty, Home,
General Merchandise

Unbranded Fashion,
Home

Meesho's strong growth has been one of the big developments in horizontal e-commerce

Meesho Orders (Mn)



How Hyper-value commerce (ultra low AOVs) like Meesho is able to win-win-win for customers, sellers and platform

Lowest Prices for Customers

1. **Supply from high-scale and concentrated industry clusters** (eg. Ethnic wear from Surat) that have best prices
2. **Zero-Commission** model that passes on lower prices to customers
3. **High seller competition** on the platform lowers prices

Lowest Cost and Sufficient Profit for Sellers

1. **Zero-commissions** that reduces cost-structure for sellers
2. **Focus on high gross-margin categories:** Fashion, Home, General Merchandise which can make up for fulfillment cost
3. **Lowest-cost supply chain** with high-batching (late delivery) and **high competition among third-party logistics**

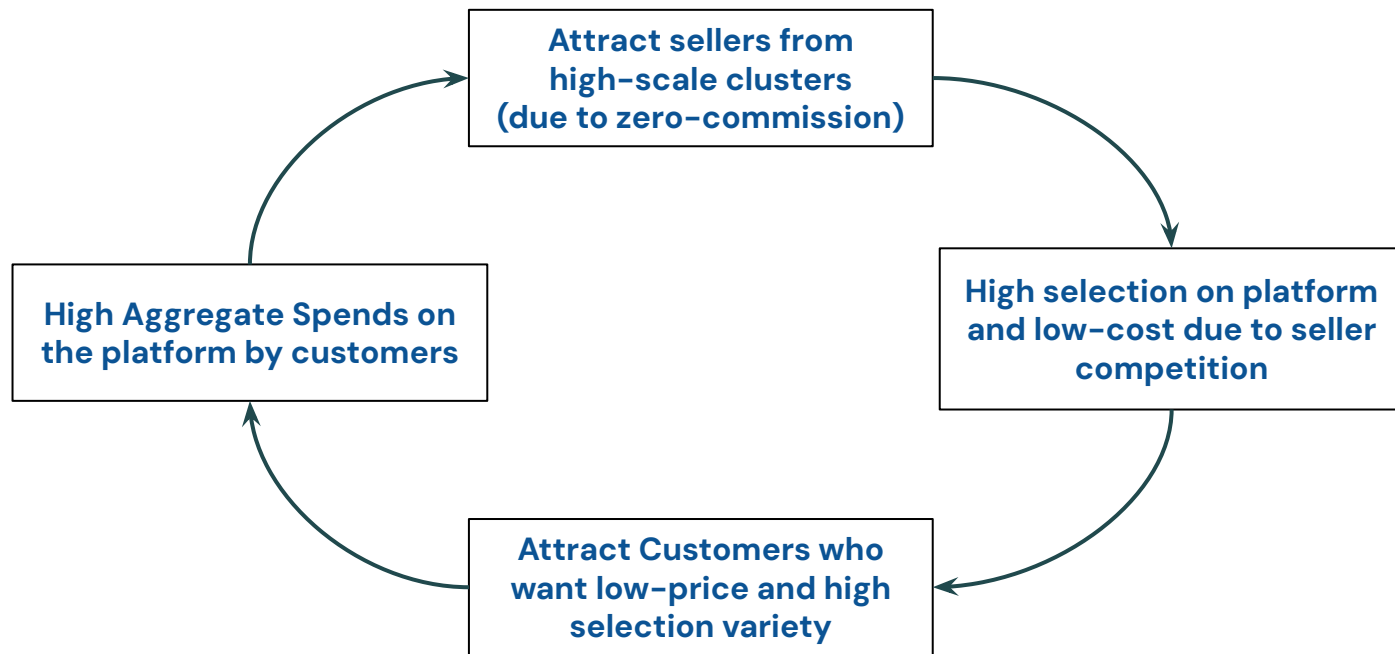
Lowest Cost and Sufficient Profit for Platform

1. **Completely asset-light model** with very low fixed costs
2. **Large number of sellers on platform** who will compete for search ads to platform – very **high-margin revenue**
3. **Lowest-cost supply chain** that can generate break-even or even margins for platform

Sufficient Quality for Customers

1. **Aggressive marketplace incentive structure** (eg. blacklisting poor quality sellers)
2. **Aggressively shaping app discovery** algorithm to boost or de-boost **search ranking of bad quality selection or sellers**
3. Enabling and incentivizing **customer reviews**

The Hyper-value commerce Flywheel: It starts with sellers



The 'Levers' platforms have to make Hyper-value commerce work

Seller Density

Onboard lots of sellers in a category to drive competition, especially from industry clusters

Penalizing Bad Actors

Actions like blacklisting bad quality sellers

Shaping Product Discovery

Dynamic algorithms that change ranking of products based on price, quality and other factors

Supply Chain Choices

Slow delivery (higher batching) and third-party logistics competition results in low costs

Seller Recommendations

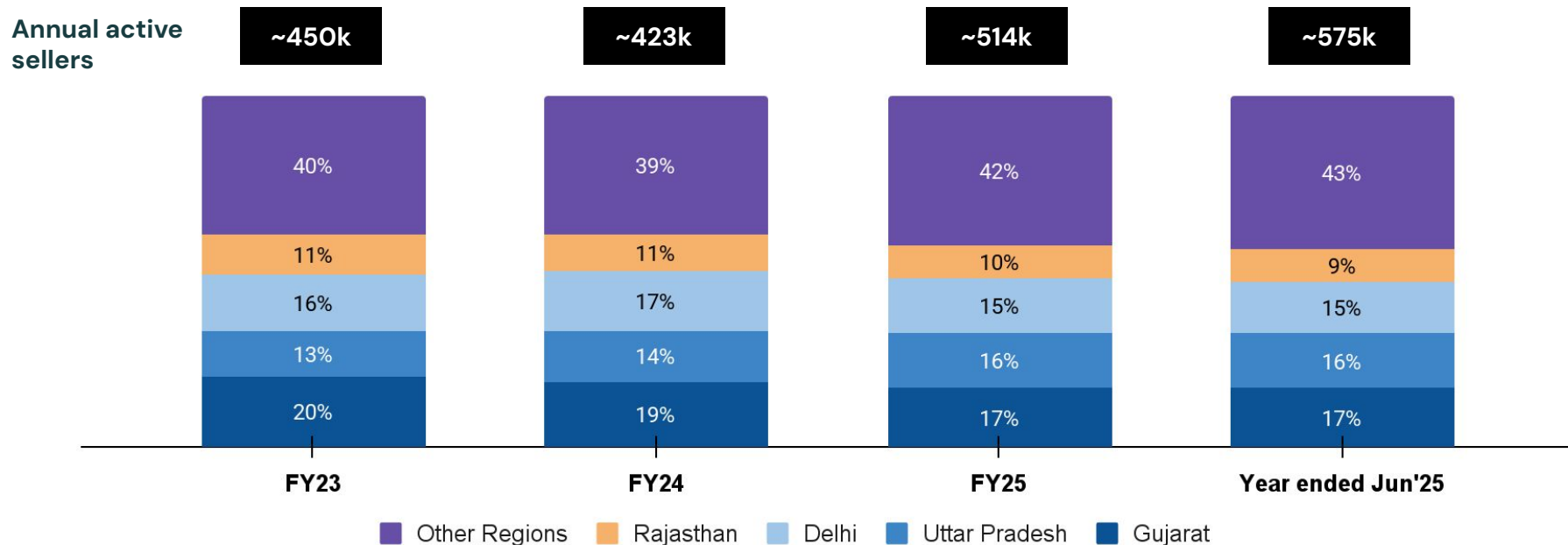
Sharing automated insights on recommendations on seller dashboard can drive actions like new selection or lowering prices

Seller Ads

High-quality ads product for sellers that ensure balance between relevance and revenue

Increasing Seller Density and Unlocking supply from high-scale clusters are key to low prices in Hyper-value commerce

Cluster contribution to Active Seller base on Meesho



Why Indian e-retail economics is challenging. This is more pronounced for Hyper-value commerce like Meesho

The AOV Challenge

Indian consumers typically buy only one item per order and hence Average Order Value is a challenge and is typically lower than global e-commerce platforms

The RTO Returns Challenge

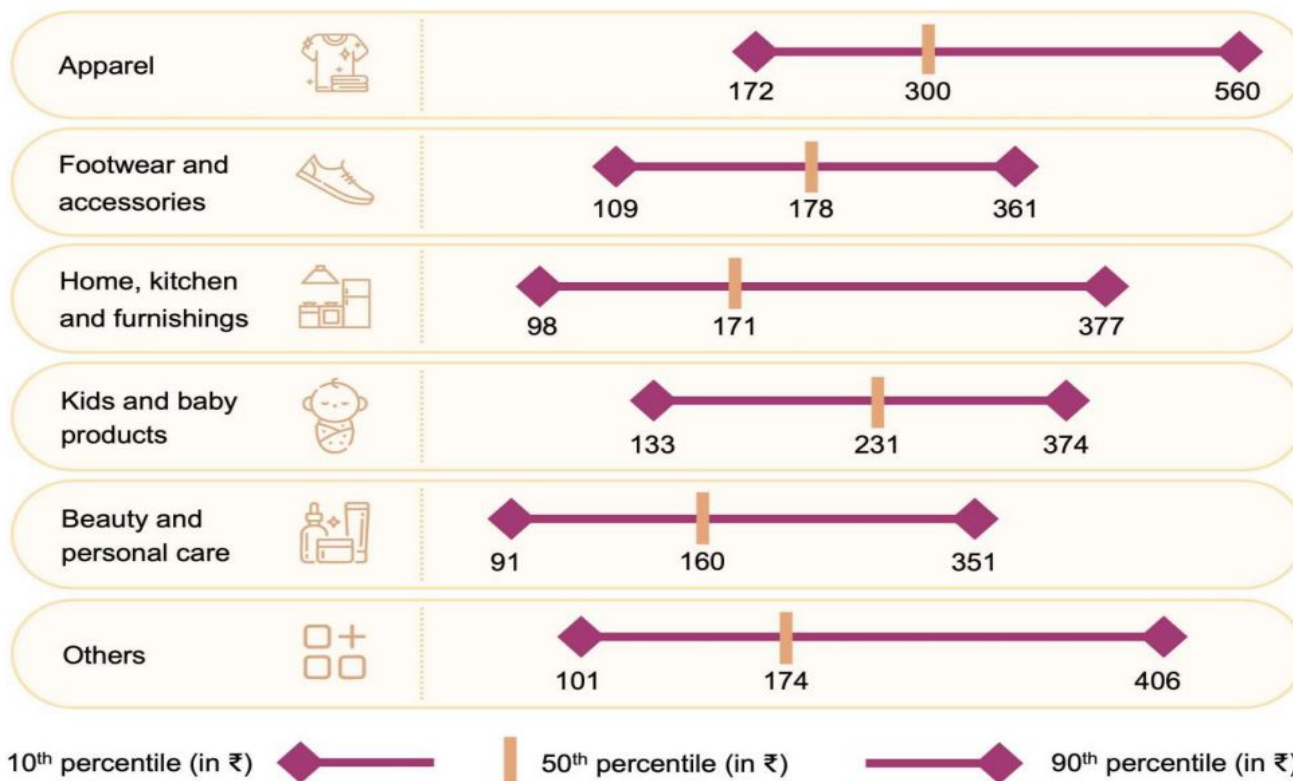
RTO (customers cancelling after order is dispatched) is on the higher side for cash on delivery orders. RTO orders have higher supply chain costs while bringing no revenue. Majority of Indian e-commerce is still cash on delivery.

Speed vs. Value Tradeoff

Because of dispersed population in Tier 2, Tier 3 cities, offering fast speed can result in tradeoffs on price (and selection)

Hyper-value commerce has been able to operate with ultra-low AOVs

Meesho average selling price in different categories (in Rs.)



Economics of Hyper-value commerce: No-frills, low-fixed cost model

Estimated Meesho Unit Economics

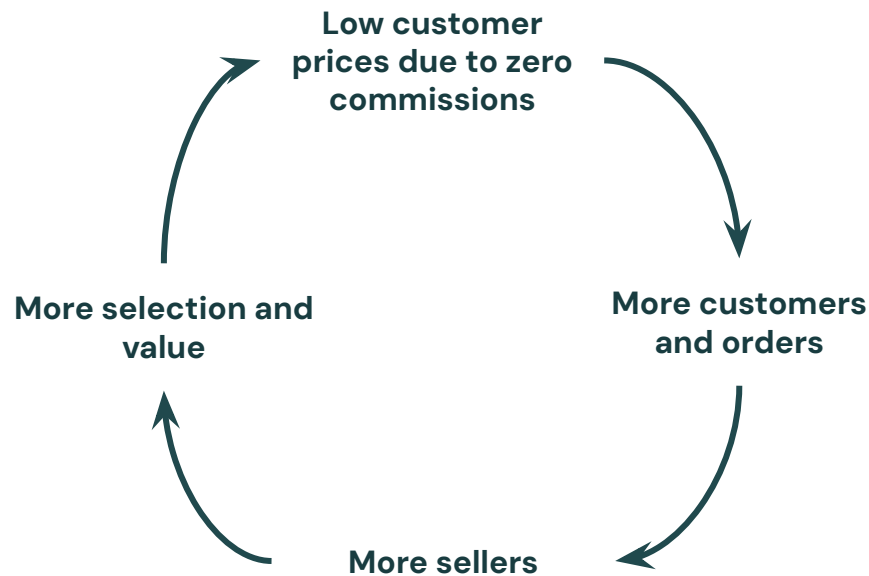
Per shipped order in Rs.	Unit Economics P&L
AOV	323
RTO	17.78%
Customer Return	7.57%
Net AOV	241
Total Revenue	60.4
- Shipping Revenue	50.7
- Ads Revenue	9.7
Variable Costs	51.1
- Shipping Cost	46.7
- Ads and Promotion Cost	3.6
- Manpower	0.7
- PG	0.2
Contribution margin (CM)	9.3
CM % Net AOV	3.9%
Fixed Cost	10.1
Adjusted EBITDA	-0.8

Main profit source since commissions are zero

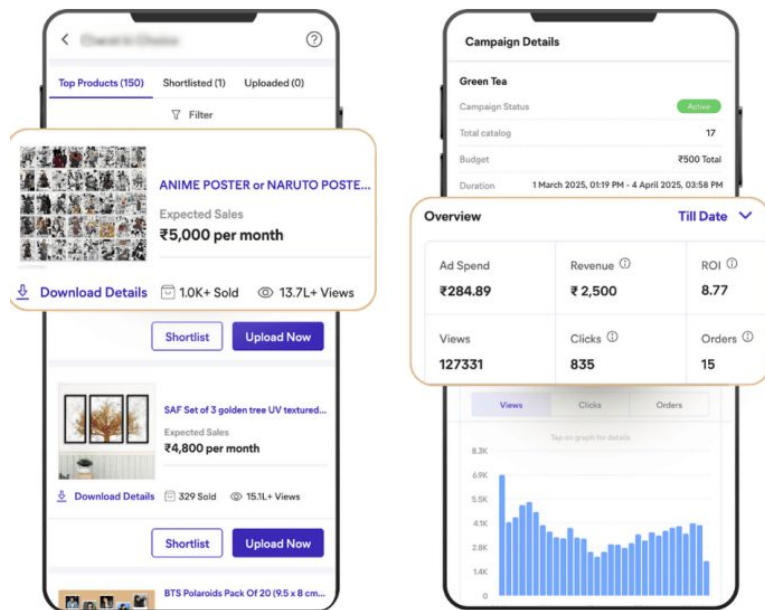
Meesho likely makes margin on shipping (more on this later)

Low-fixed costs. Fully asset-light model

Why 'ads' monetization works in hyper value commerce – seller density flywheel



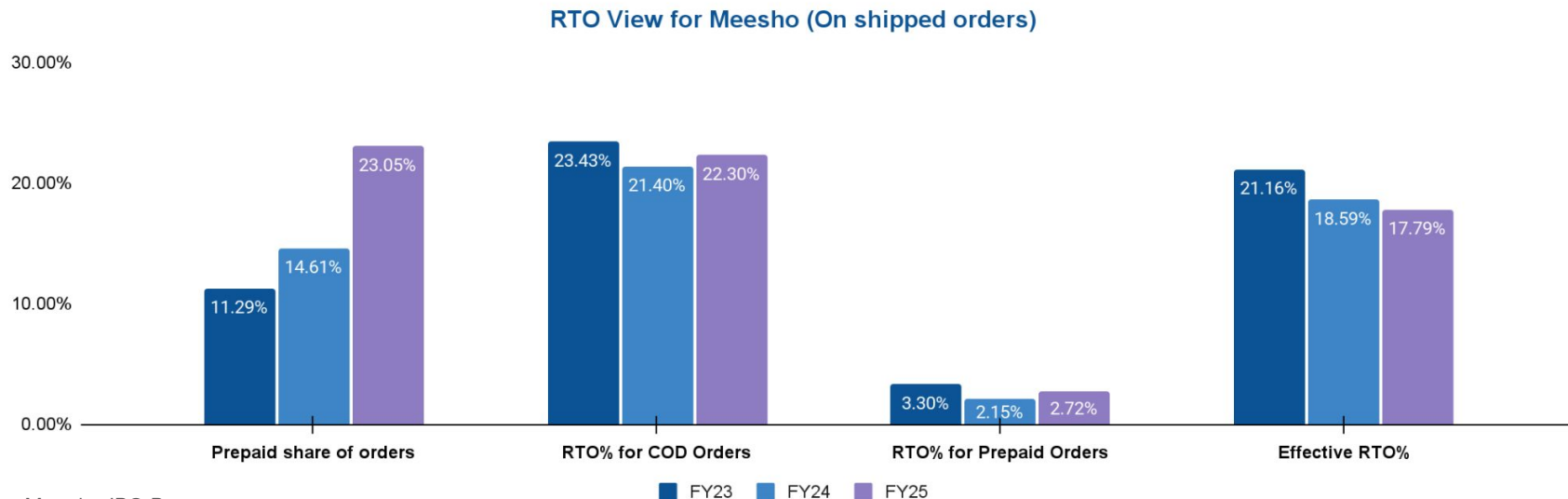
Seller running ad campaign on Meesho



RTO Returns is a major challenge for e-retail and especially for hype value commerce due to high share of Cash on Delivery (COD) (Illustrative: Meesho)

RTO (Return to Origin): Orders that are cancelled by customer after dispatched by platform/seller. Platform typically bears most costs and does not charge seller for RTO. The shipments are returned back to seller or platform warehouse

Cash on Delivery Orders typically have high RTO % because of **lack of commitment from customers. Meesho is illustrative of the Prepaid vs. COD dynamics for RTO**



RTO Returns is a major challenge: Illustrative Unit Economics

Estimated Unit Economics for Meesho (FY25 numbers)

<i>Per shipped order in Rs.</i>	Unit Economics P&L
AOV	323
RTO	17.78%
Customer Return	7.57%
Net AOV	241
Total Revenue	60.4
- Shipping Revenue	50.7
- Ads Revenue	9.7
Variable Costs	51.1
- Shipping Cost	46.7
- Ads and Promotion Cost	3.6
- Manpower	0.7
- PG	0.2
Contribution margin (CM)	9.3
CM % net AOV	3.9%



In RTO orders, there is no revenue but incurs all of these variable costs!

One Approach to solve RTO: Meesho incentivizes Prepaid at checkout

9:34 B •

< PAYMENT METHOD

✓ Cart ✓ Review ③ Payment

Select payment method

₹347 Cash on Delivery

₹347
₹324
Save ₹23
Pay Online

Extra discount with bank offers

Reselling the order? >

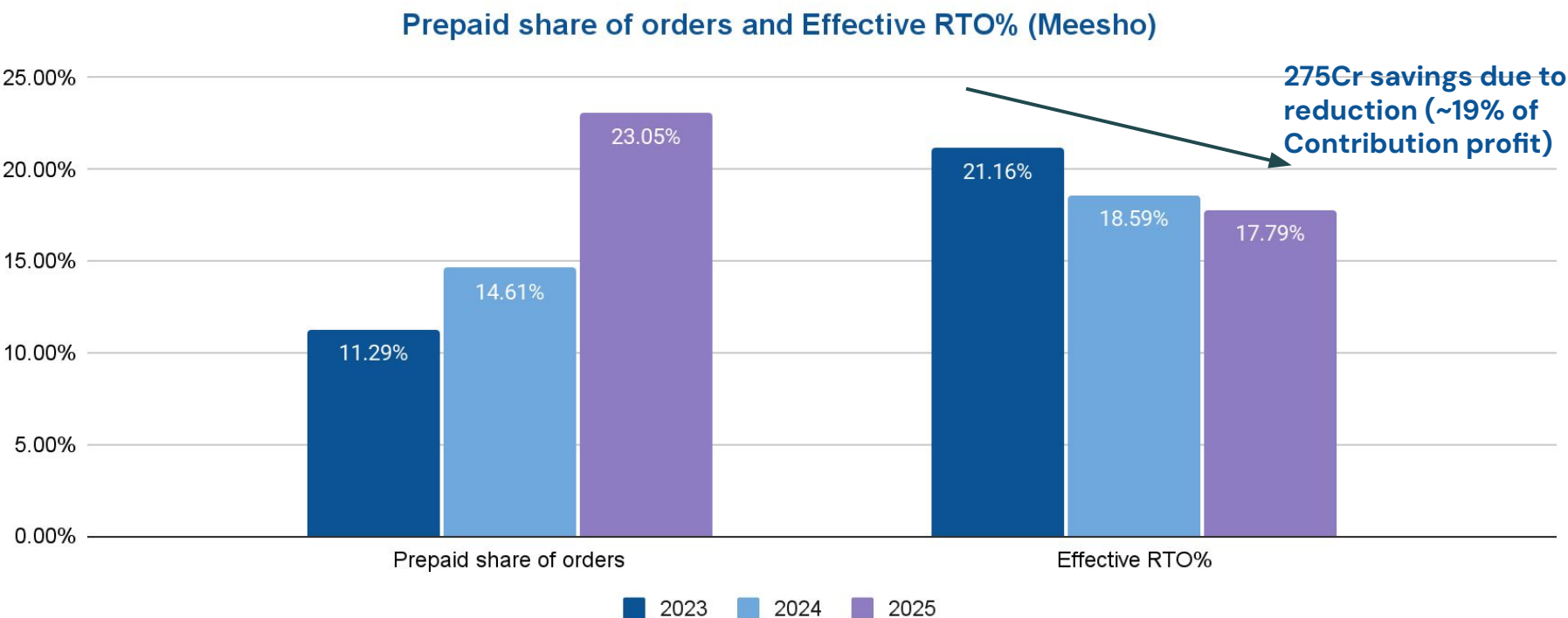
Price Details (1 Item) v

Significant discount on Prepaid by Meesho but still lower than variable costs (fully incurred without revenue during RTO)

Estimated Unit Economics for Meesho (FY25 numbers)

Per shipped order in Rs.	Unit Economics P&L
AOV	323
RTO	17.78%
Customer Return	7.57%
Net AOV	241
Total Revenue	61.7
- Shipping Revenue	52
- Ads Revenue	9.7
Variable Costs	52.3
- Shipping Cost	47.3
- Ads and Promotion Cost	4.1
- Manpower	0.7
- PG	0.2
Contribution margin (CM)	9.4
CM % net AOV	3.9%

Data shows significant savings for Meesho due to prepaid order increase



Sources: Estimated from Meesho IPO Prospectus

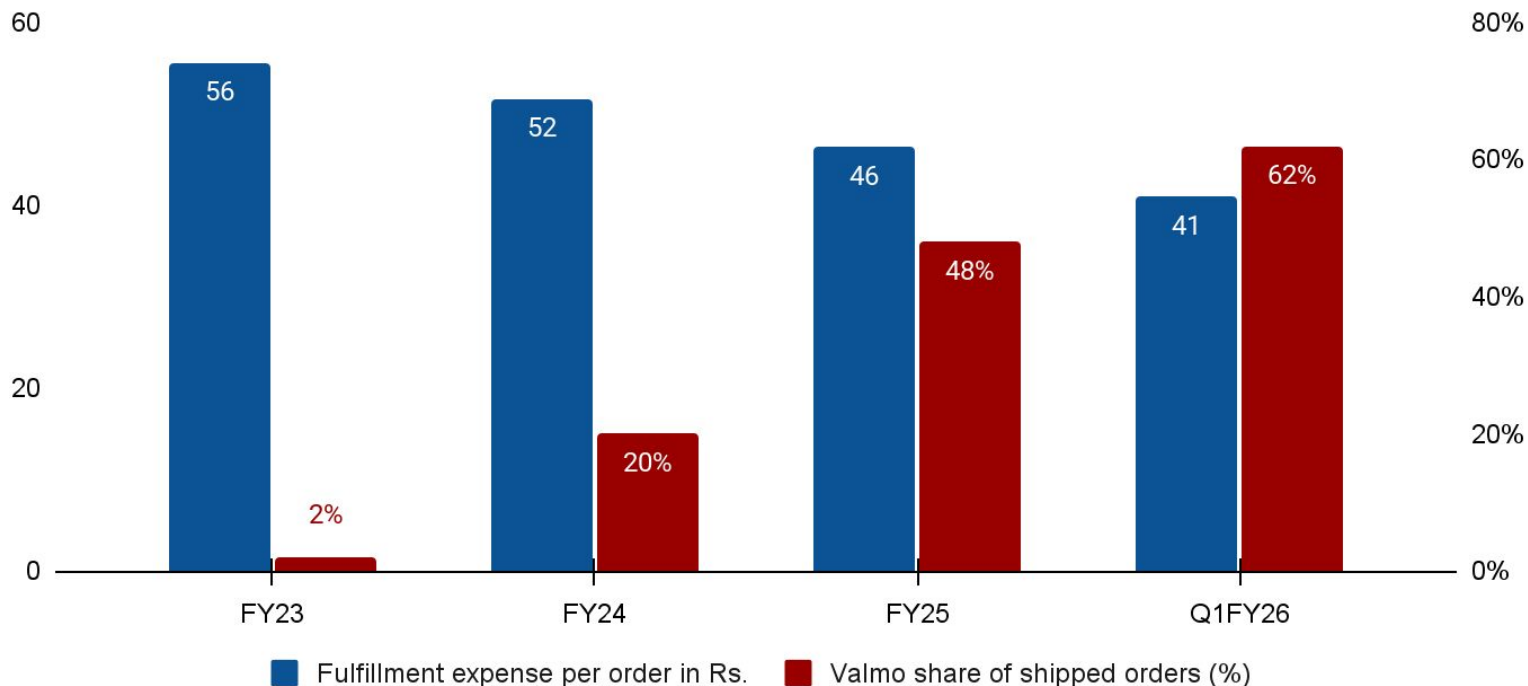
Hyper-value commerce: Need to squeeze costs to the rupee... Meesho has done this in logistics with its 'Valmo' model

What is Valmo: Valmo is an asset-light logistics network that brings multiple logistics service providers across the value chain and Meesho orchestrates the allocation of orders basis cost and service quality



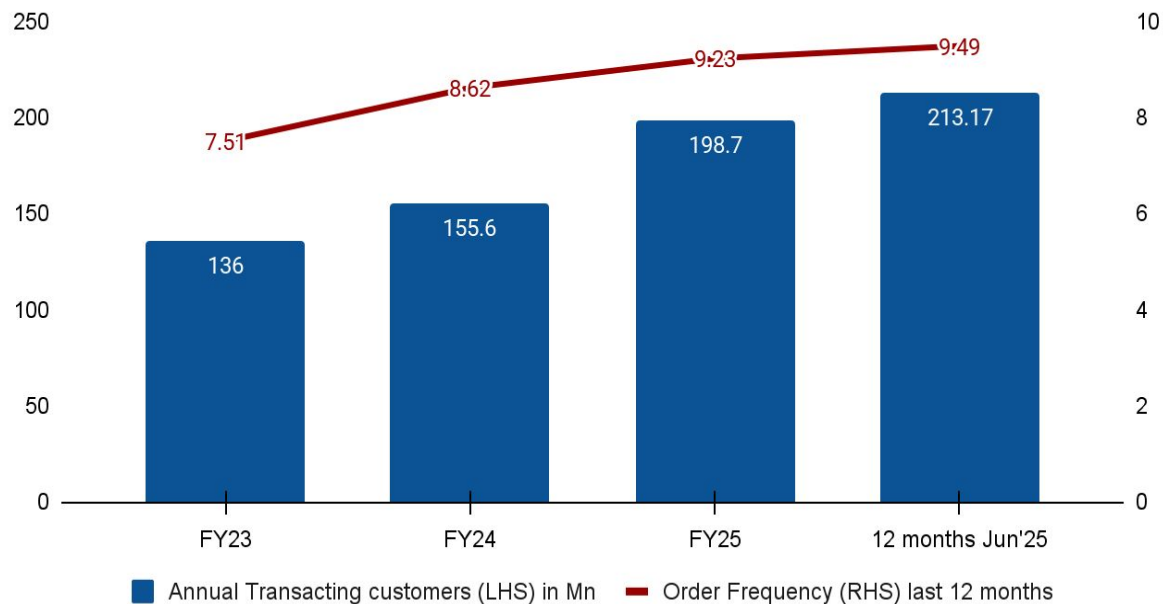
Hyper-value commerce: Need to squeeze costs to the rupee... Meesho has done this in logistics with its 'Valmo' model

Meesho Logistics expense per order and Valmo contribution



One underrated driver for Meesho could be strong B2B demand (eg. from retailers) – indicated by strong order frequency in discretionary categories

Meesho Order Frequency and Annual Transacting customers



Typically 30% to 40% of a platform's annual active customers have only single transaction

Which means for the rest of the base in FY25 of about 130 million customers, the order frequency comes to more than 13 over 12 months.

This seems a bit on the higher side for a platform with discretionary + Tier 3 base

Likely, the reason would be strong B2B demand (eg. retailers buying from Meesho) though this would be in the minority

The profit model globally for E-Commerce Profitability:

Low margin Core + High Margin Ancillary/Attach

Low Margin Core

Core businesses experience drag from fulfillment costs and returns along with fixed costs if asset-heavy

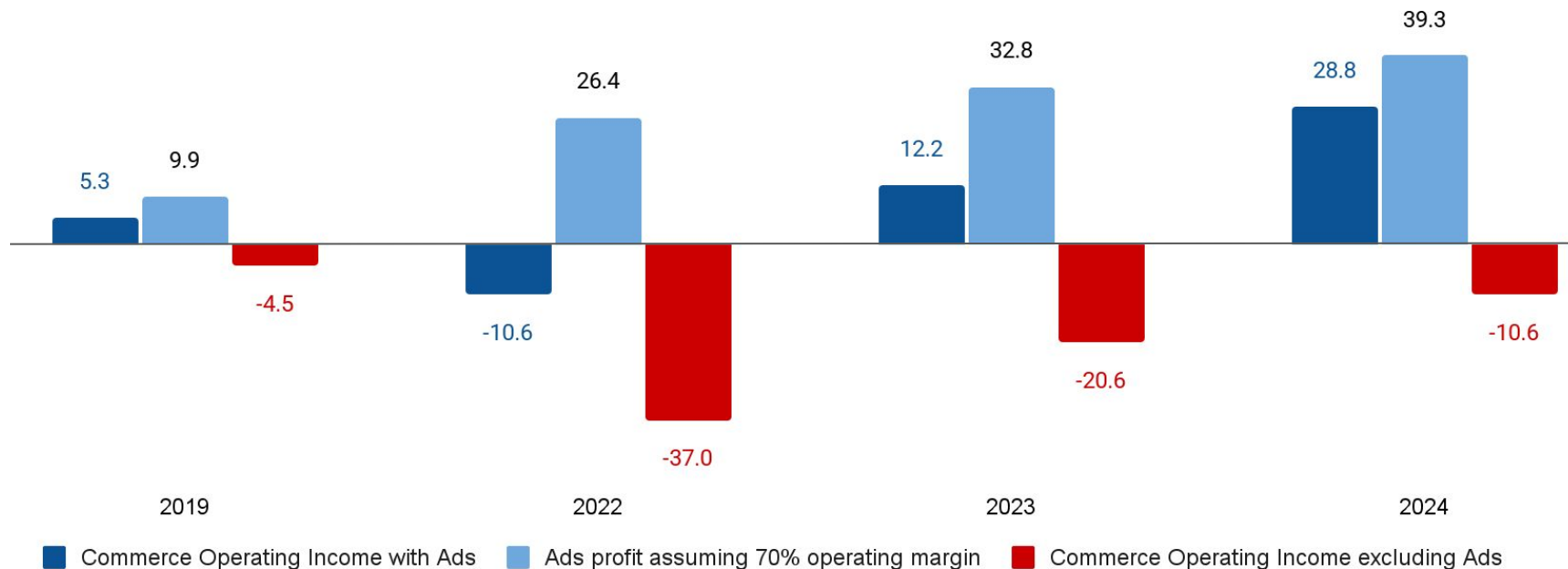


High Margin Attach

Very High margin profit from Advertising Revenue (Product Search Ads, Display ads etc.) and from Fintech (Lending and sometimes payments)

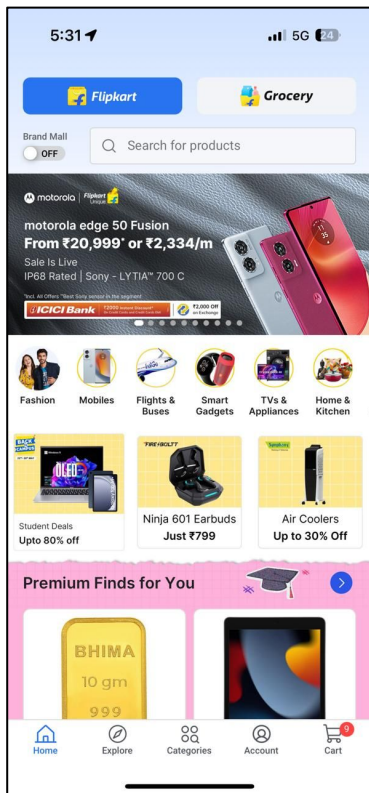
Globally, even Amazon is very unprofitable without advertising profits

Amazon Commerce Operating Income with and without ads (\$bn)

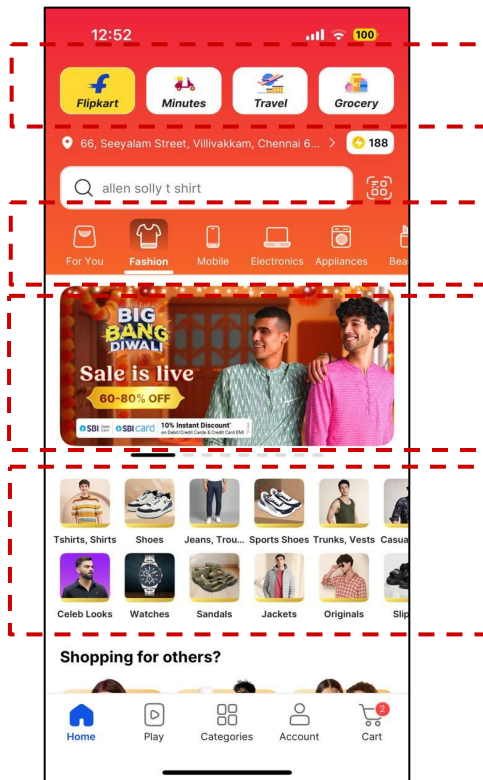


Getting enough traffic to all the different categories is a challenge for horizontal e-commerce players

The Home Page Clutter Challenge – Companies innovating in design to provide ‘enough’ discovery to multiple product categories



Flipkart May 2024



Flipkart Oct 2025

Multiple propositions and categories for easy navigation

Discovery to Multi-billion dollar product categories

Separate banner for each major category

Single-hop navigation to all sub-categories

Product discovery is also happening on YouTube especially via 'Shorts'. Brings valuable external traffic to platforms

Top results on YouTube for search term 'bedsheets'



Flipkart product



Meesho product



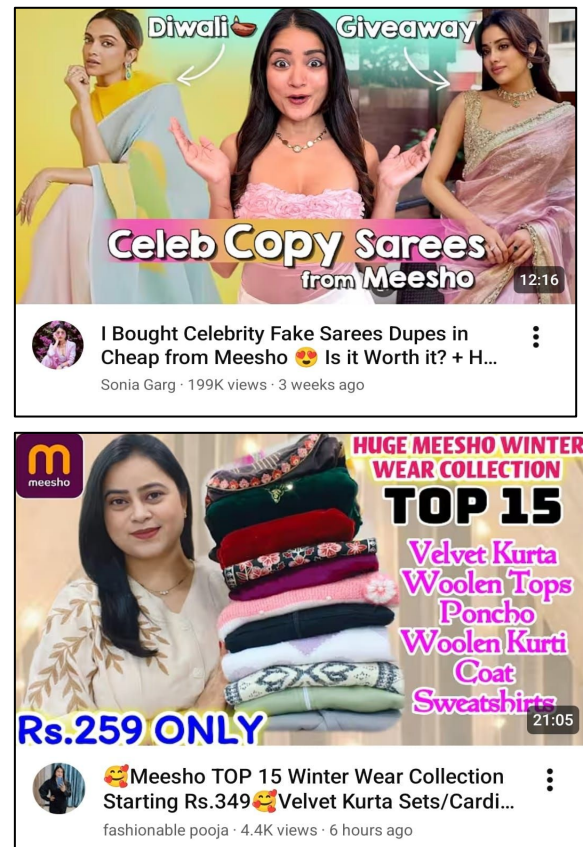
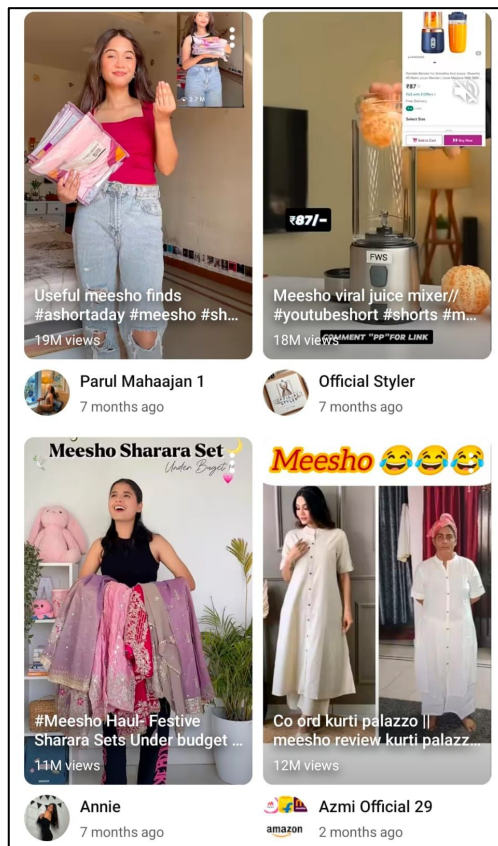
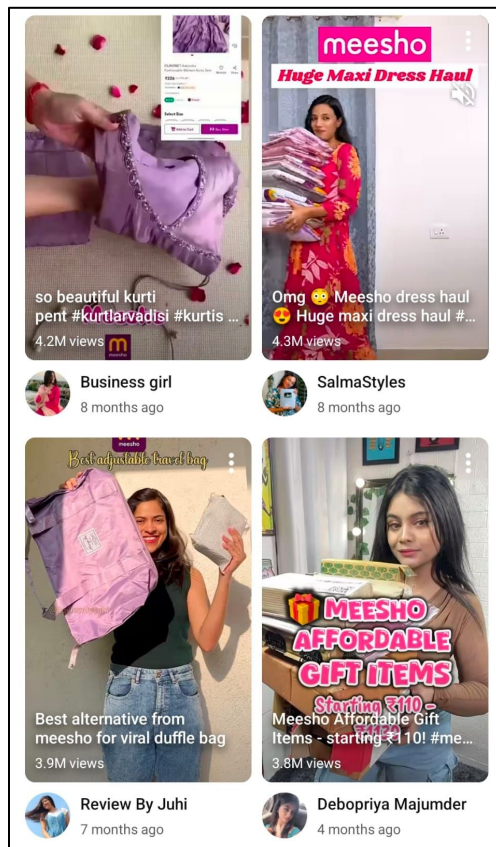
Myntra product

Influencers can get affiliate commissions by linking products on their videos.

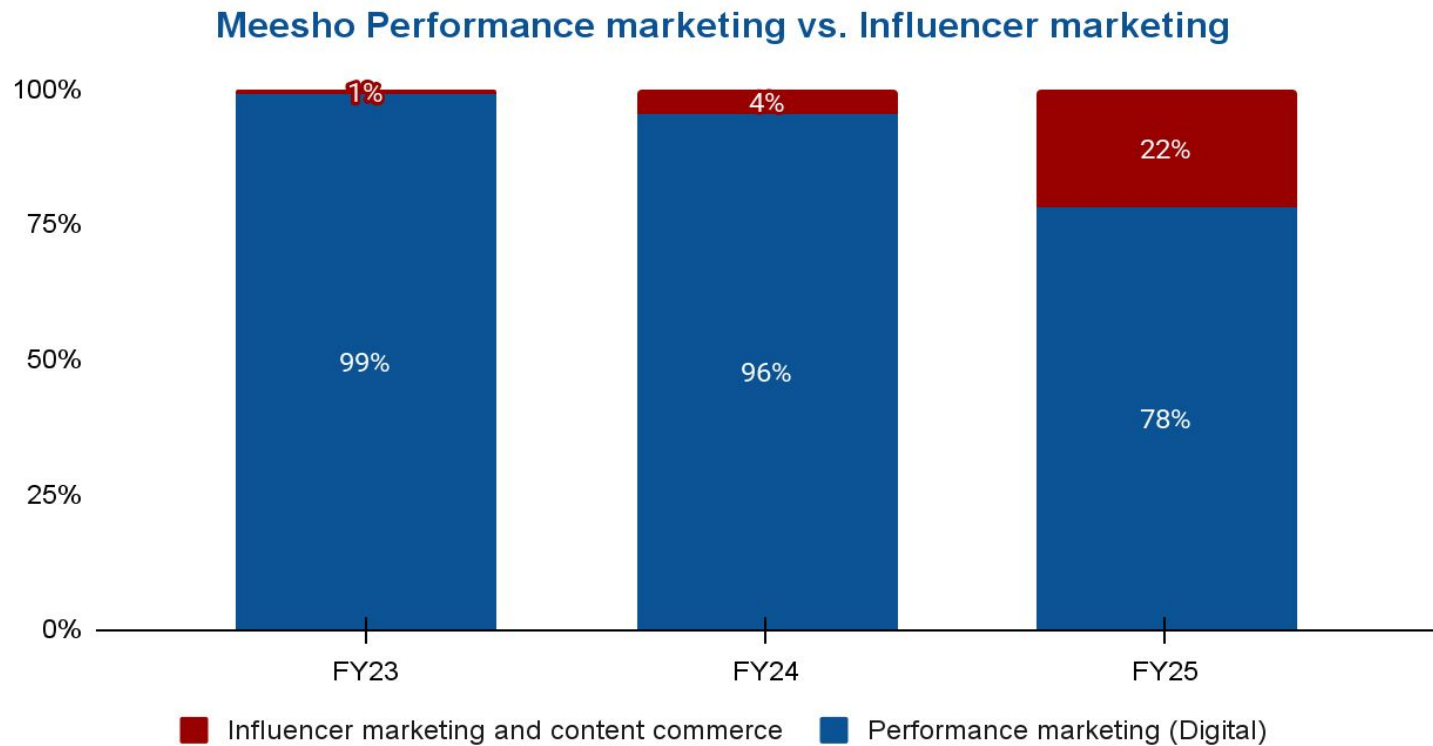
YouTube Shorts especially is seeing a lot of traction

Platforms can get valuable incremental traffic from YouTube shorts

Meesho invested more on Influencer marketing than any of the other platforms, especially on YouTube (high traction among Tier 3 customers)



Platforms are increasing spends on influencer marketing – eg. Meesho



Potential opportunities for Startups in E-Retail

Grocery x Tier 2

Huge market but highly underpenetrated. Needs a very different approach and value proposition equation. More value than speed or selection

Fashion x GenZ

Potential for a big Zudio challenger online. Fast, iterative Fashion that is affordable and trendy

Impulse Shopping

Current online options are bad at this. An impulse focused shopping experience is a big opportunity. Gamified, Fun shopping experience

Video/Live/ Influencer

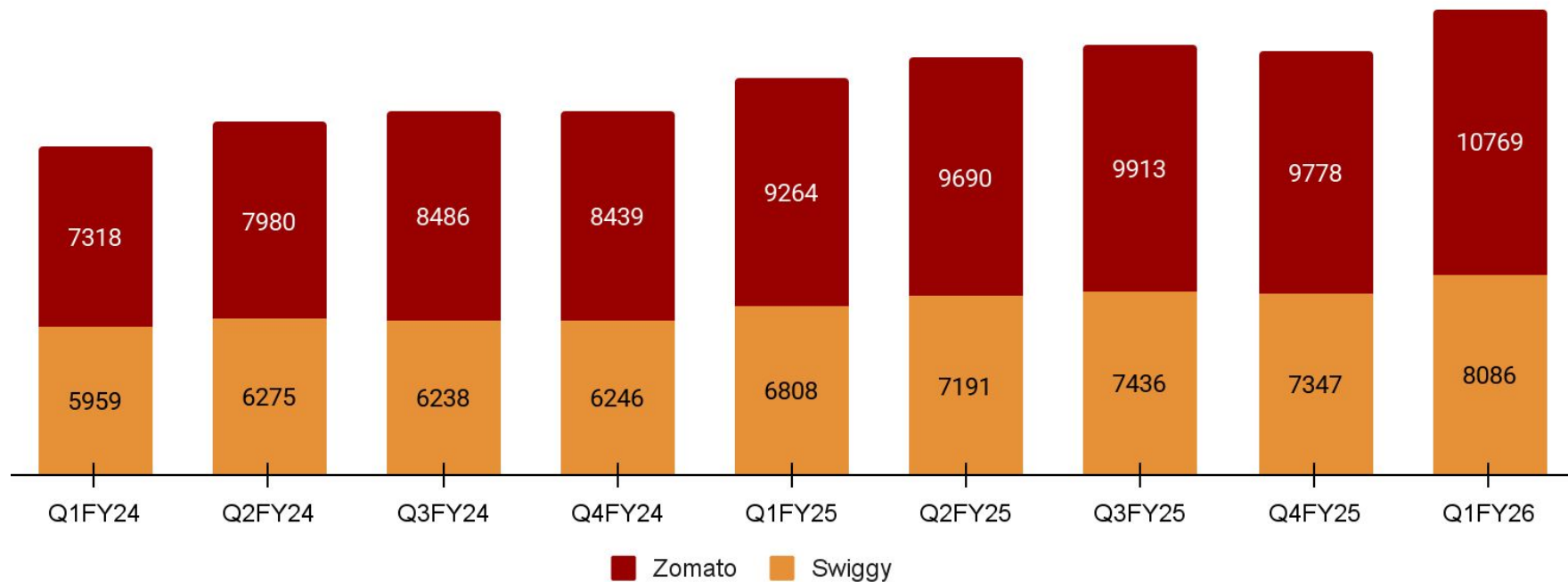
Slow to catch up in India vs. China but is a design and value proposition issue. Indians love to consume content. Can also have an 'influencer commerce' play

Contents

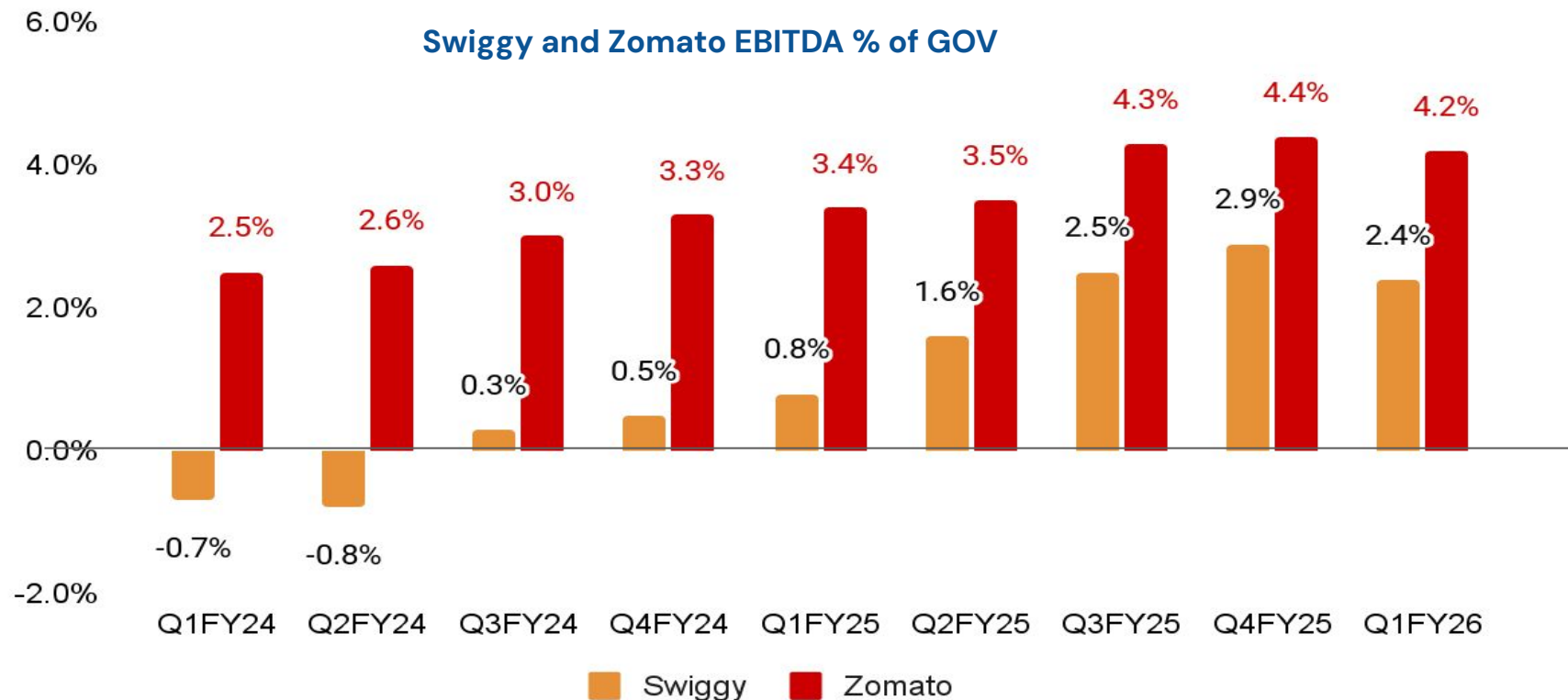
- 4 Lessons from an Internet Commerce Operator**
Strategic Realities and Challenges in Internet Commerce
- 23 India Macro and Consumption**
Tailwinds, Challenges, Credit and Consumption and more
- 52 Quick Commerce**
Growth, Profitability, Unit Economics, Blinkit, Instamart and more
- 97 Horizontal E-Commerce**
Trends, Categories, Meesho, Unit Economics, Challenges and more
- 127 Food Delivery**
Growth, Unit Economics, Global Takeaways and more
- 143 Mobility**
Rapido Disruption, Profitability and more
- 154 Vertical E-Commerce**
Fashion, Beauty, Travel, Pharma, Auto, Home Services and more
- 196 D2C Brands**
Challenges, Trends and more

Zomato and Swiggy have settled into a comfortable duopoly with increasing profitability but growth has moderated

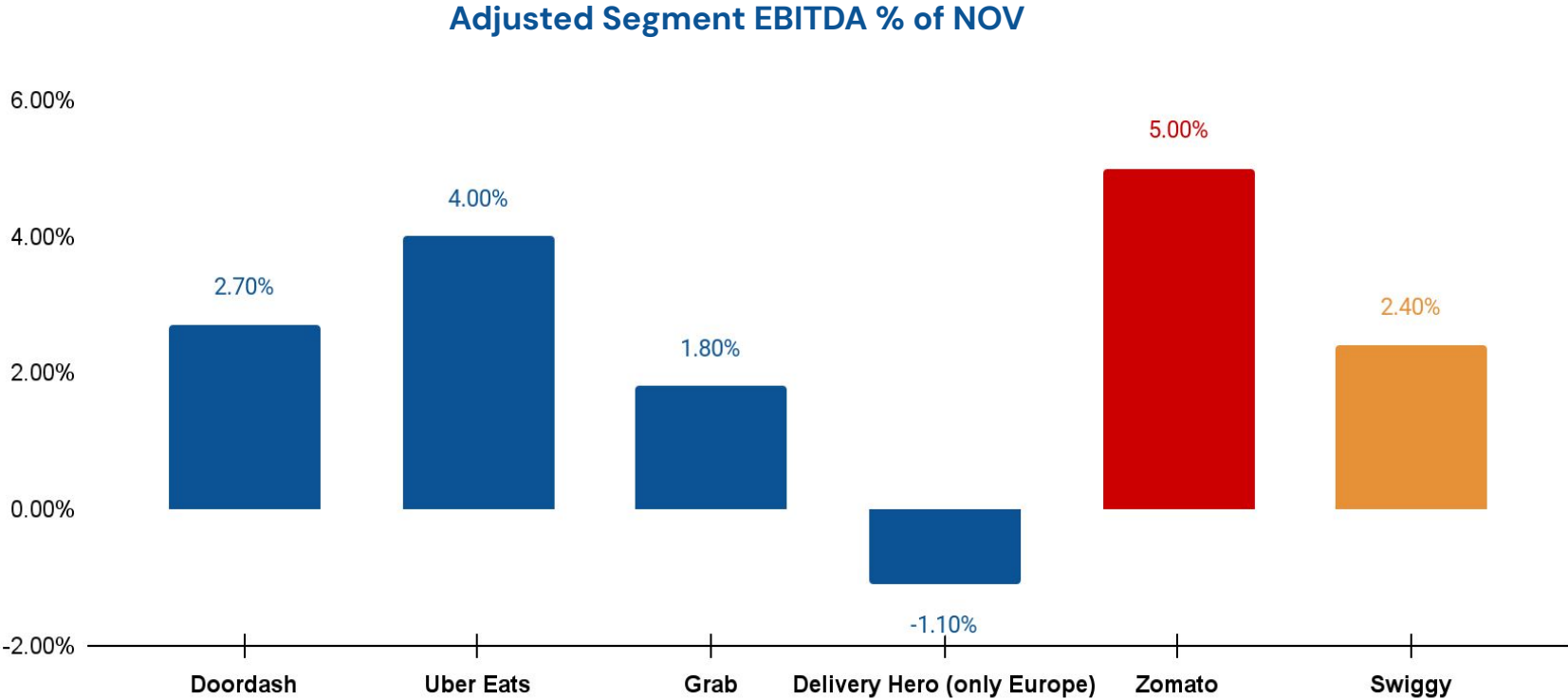
Swiggy and Zomato GOV Food Delivery (in Rs. Crore)



Zomato and Swiggy have settled into a comfortable duopoly with increasing profitability but growth has moderated

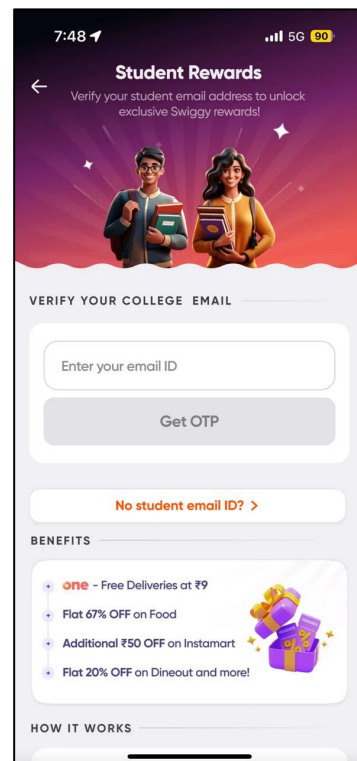
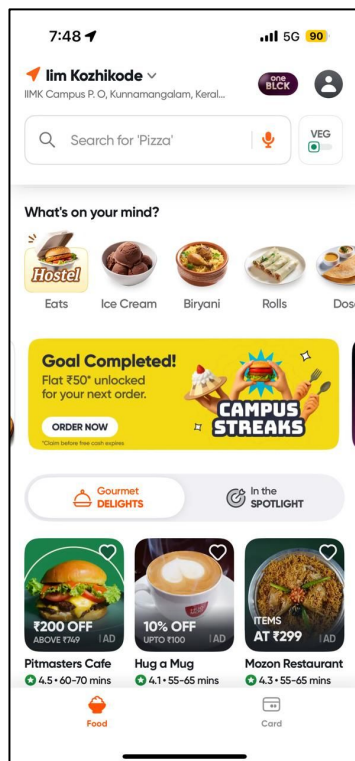
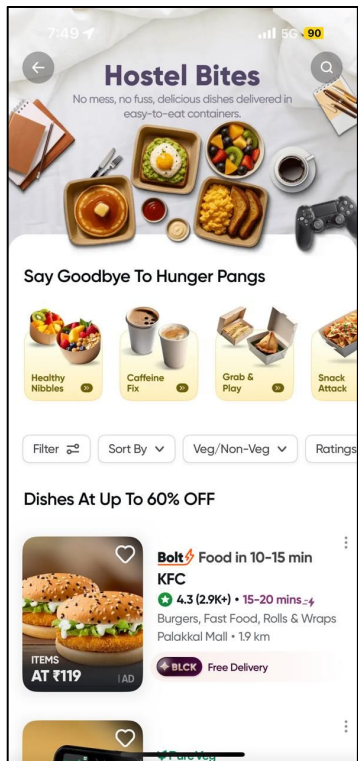
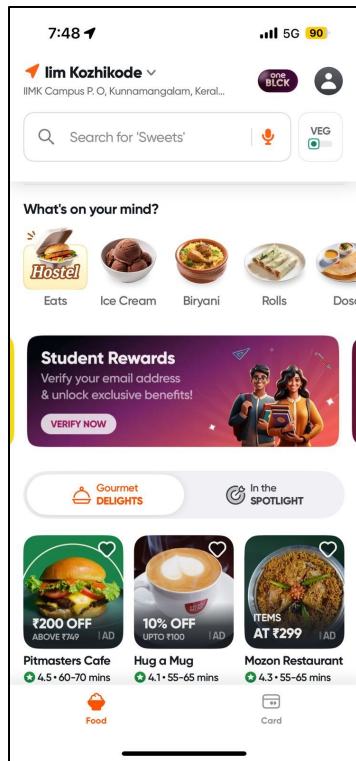


India Food Delivery Profitability among the best in the world



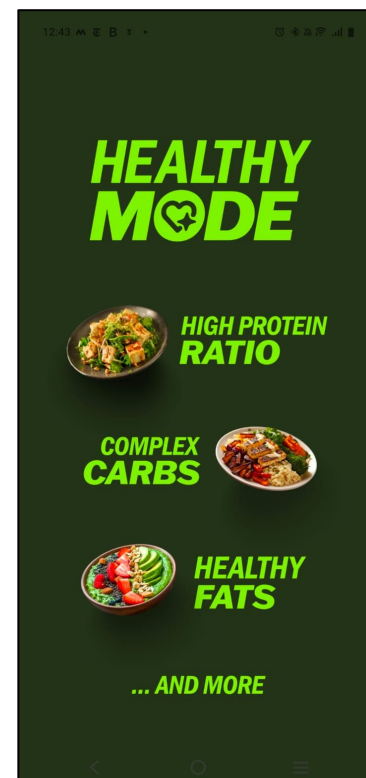
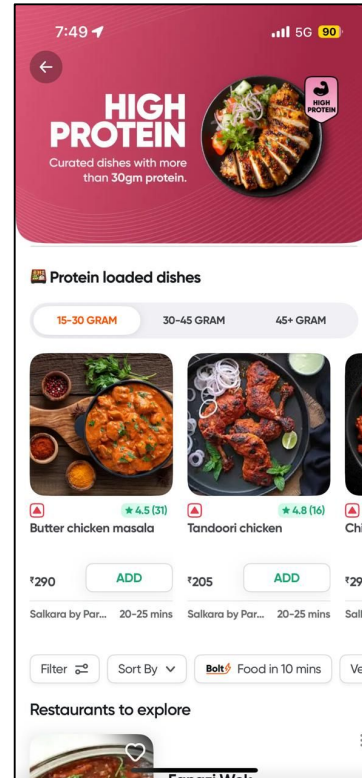
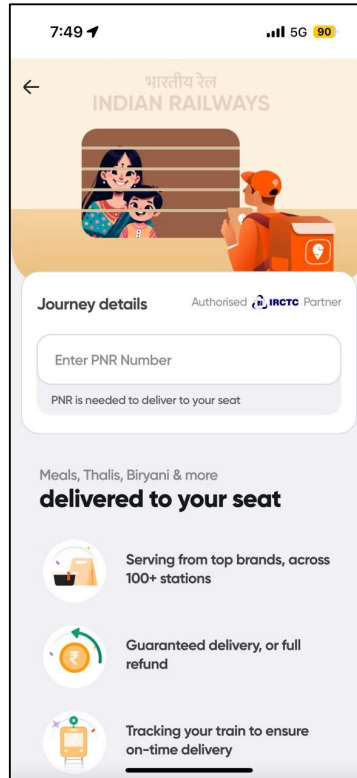
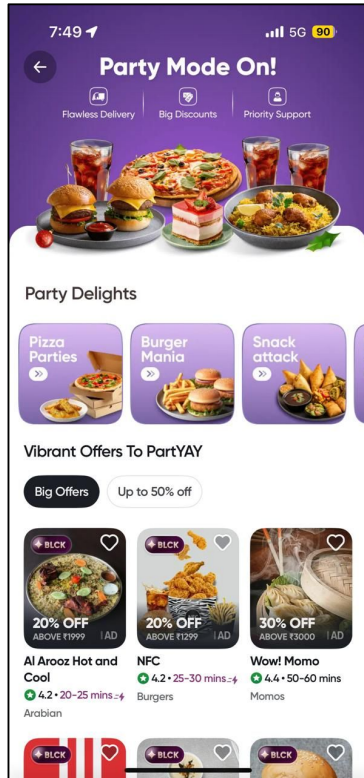
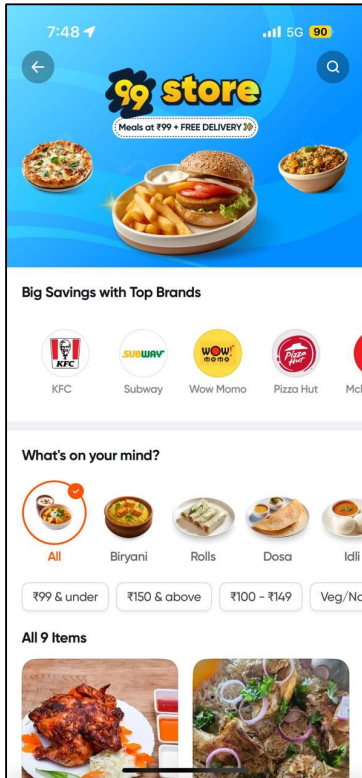
Sources: Company Reports. Note: Swiggy is % of GOV

Zomato and Swiggy are catering to multiple use cases with good platform innovation

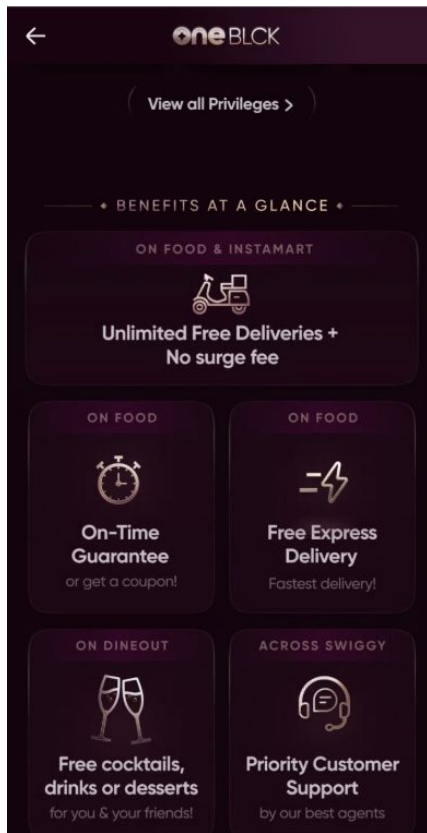
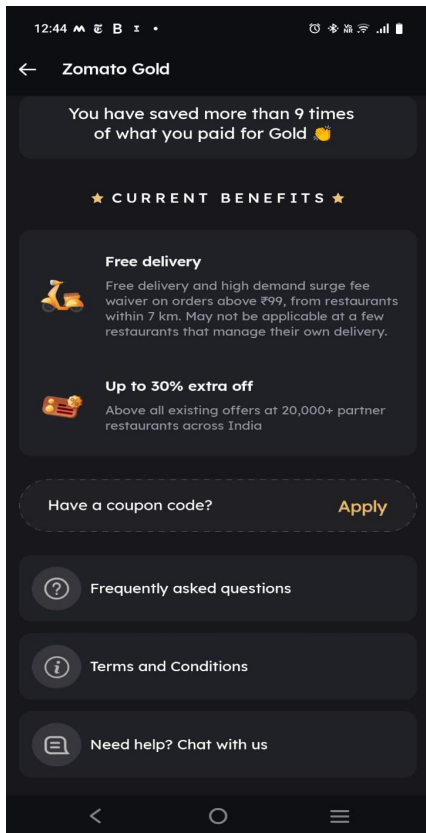


Swiggy
proposition for
students

Zomato and Swiggy are catering to multiple use cases with good platform innovation



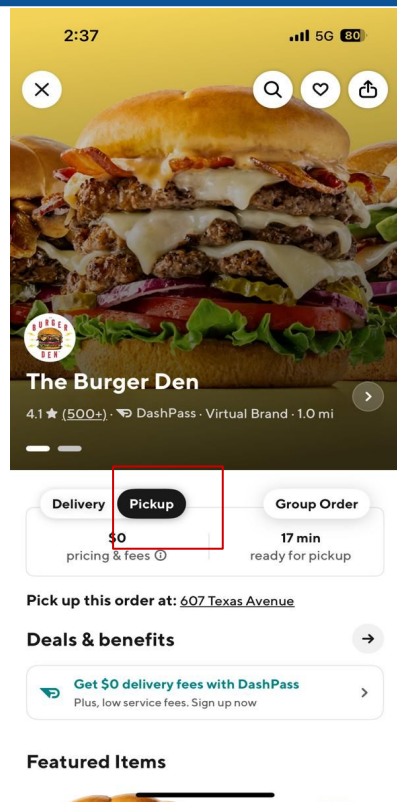
'Power users' critical for Platform growth. Both the market leaders address them through loyalty



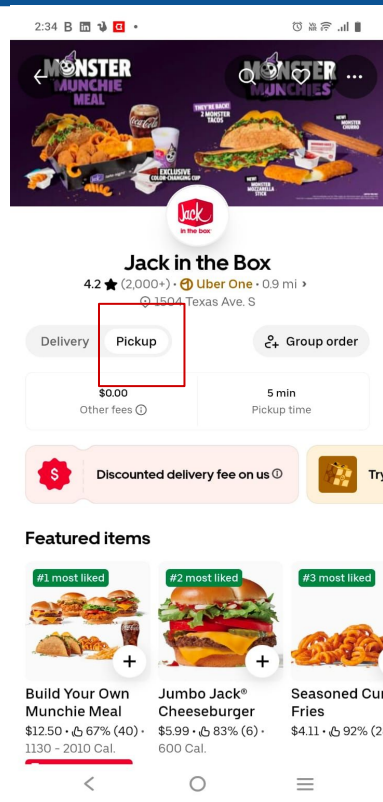
Zomato Gold contributes to 50% of food delivery orders (Economic Times - Dec 2024). It had 7.5 million members as of March 2024

We can expect similarly high numbers from Swiggy which had 6 million members as of June 2024

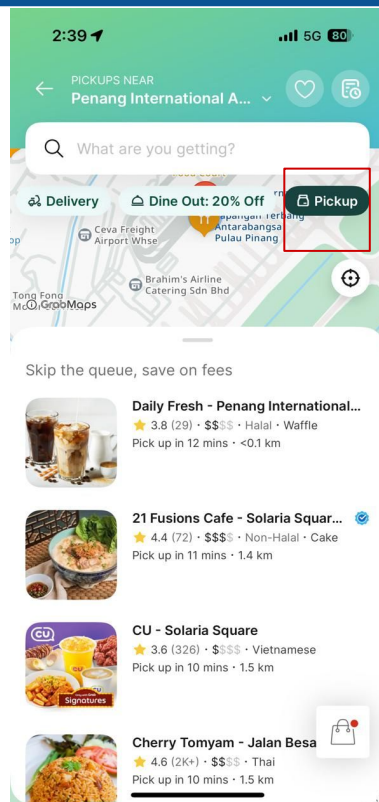
Global Learning: High Margin Takeaway/Pickup missing in Indian Food Apps



DoorDash US



UberEats US



Grab South East Asia

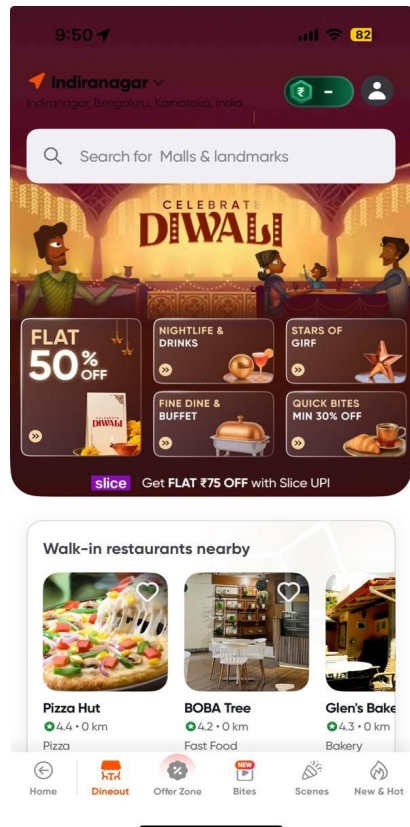
Takeaway or Customer pickup is a big win-win for customers, restaurants and platforms.

Platforms don't incur fulfillment costs and hence can charge much lower commissions from restaurants (DoorDash and UberEats charge 6% commission on takeaway orders). These are almost pure profit for platform

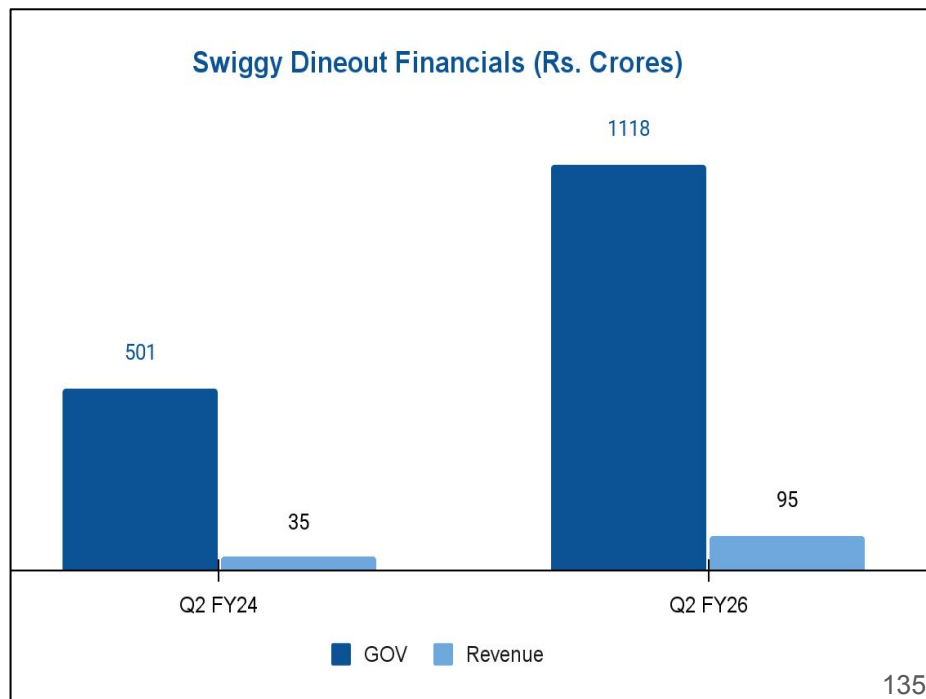
For restaurants, the margins on incremental takeaway orders are very high (with no additional fixed cost) and hence can provide discounts to customers

This is largely missing in India

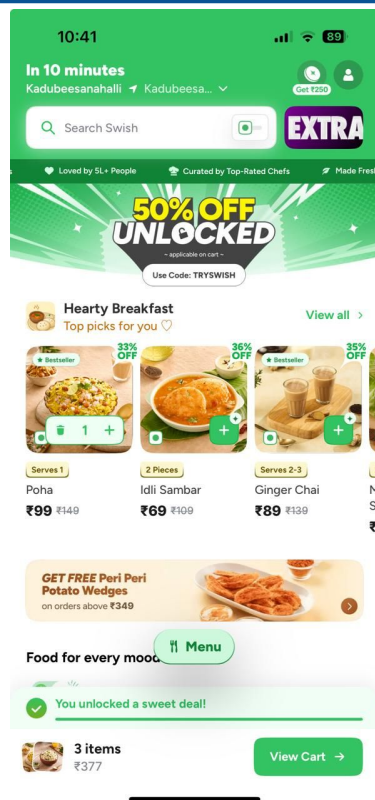
Dining out is turning out as a high margin monetization opportunity



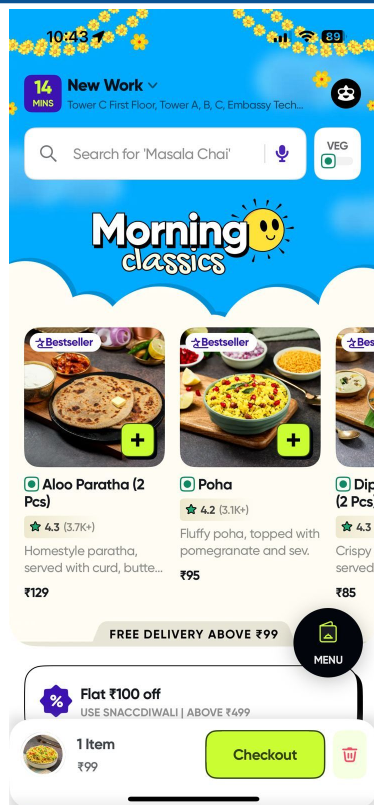
Swiggy Dineout is now profitable on an EBITDA basis and does 4.3% contribution margins (further scope to increase profitability)



Vertical Players with 10-min delivery: Swish and Snacc – will they disrupt food delivery?



Swish



Snacc (Swiggy)

What is their offering: Hot food delivered reliably in 10 minutes

How do they do it: Smaller radius (less than 2 Km) and offering easy-to-cook food (Maggi) or food prepared in bulk (Poha)

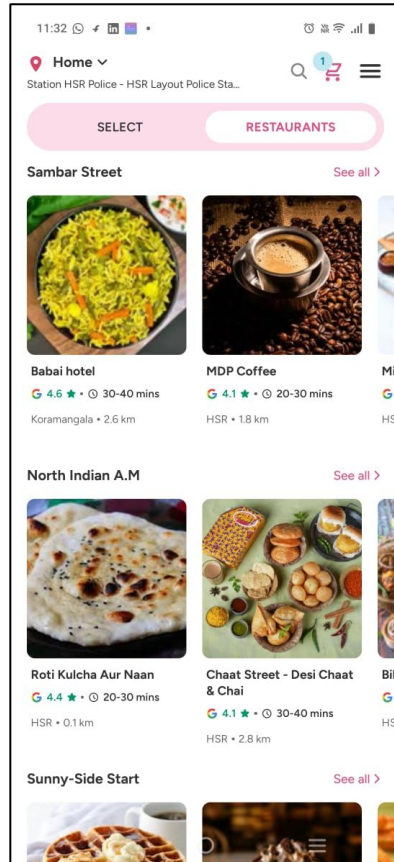
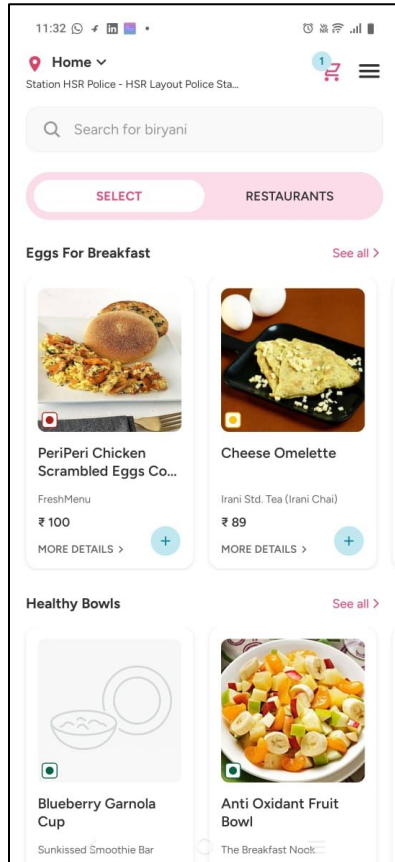
Assumptions on why they might work:

- Reliable 10-min delivery will work with enough customers who will do repeat orders
- By vertically integrating (doing everything), **one can capture end-to-end margins** enough to offset high fulfillment costs and have control of quality
- High density areas are economically viable and can bring enough orders per store

Challenges:

- Price, Selection **not** an advantage. Will only speed be enough?
- Customer perception on quality ("is the food fresh?")
- High population density areas also have high competition (more outlets nearby) with high variety
- Costs – rider incentives for reliability, acquisition costs, wastage

Can Rapido disrupt food delivery next with Ownly?



Current Painpoints in Food Delivery:

Customers: Inflated menu prices sometimes even unreasonably higher difference

Restaurants: Hefty commissions of 20% to 30%. Unreliable earnings due to fluctuating charges and penalties.

What Rapido is doing to change this:

- Marketplace with restaurants – delivery radius of upto 3 Km (lower fulfillment costs) and delivered within 30 mins.
- Charge restaurants a **flat commission fee of Rs. 25 + GST per order**. Expected to charge customers a delivery fee.

Both will lead to lower prices compared to customers compared to the incumbent platforms.

Two Questions:

1. Will it lead to reasonable value for customers?
2. Will it be feasible for Rapido?

Ownly – Economics quite good for restaurants. But platform economics currently not feasible at Rs. 25 flat commission.

Ownly Economics	Scenario 1	Scenario 2	
Per Order for Platform in Rs.			
AOV	300	600	
Revenue	40	40	
- Commission and ad income	25	25	Current fee of Rs. 25 flat per order
- Delivery Fee	15	15	
Variable Costs	45	45	
- Delivery Costs	45	45	Assuming 3 Km radius
- Platform discounts	0	0	Assuming no platform discount
- Other Variable Costs	7	7	
Contribution Profit	-5	-5	
Fixed Cost	18	18	
Adjusted EBITDA	-23	-23	
Restaurant Economics per order			
Restaurant Revenue on Ownly	275	575	
With Zomato, Swiggy - Restaurant Revenue	237	474	Assuming 21% commissions
Additional earning per order	38	101	

Note: Assumes steady state. There will be huge initial costs on customer acquisition, partner incentives etc.

Larger AOV orders especially lucrative for restaurants.

They can potentially pass on discounts to customers for larger orders on Ownly

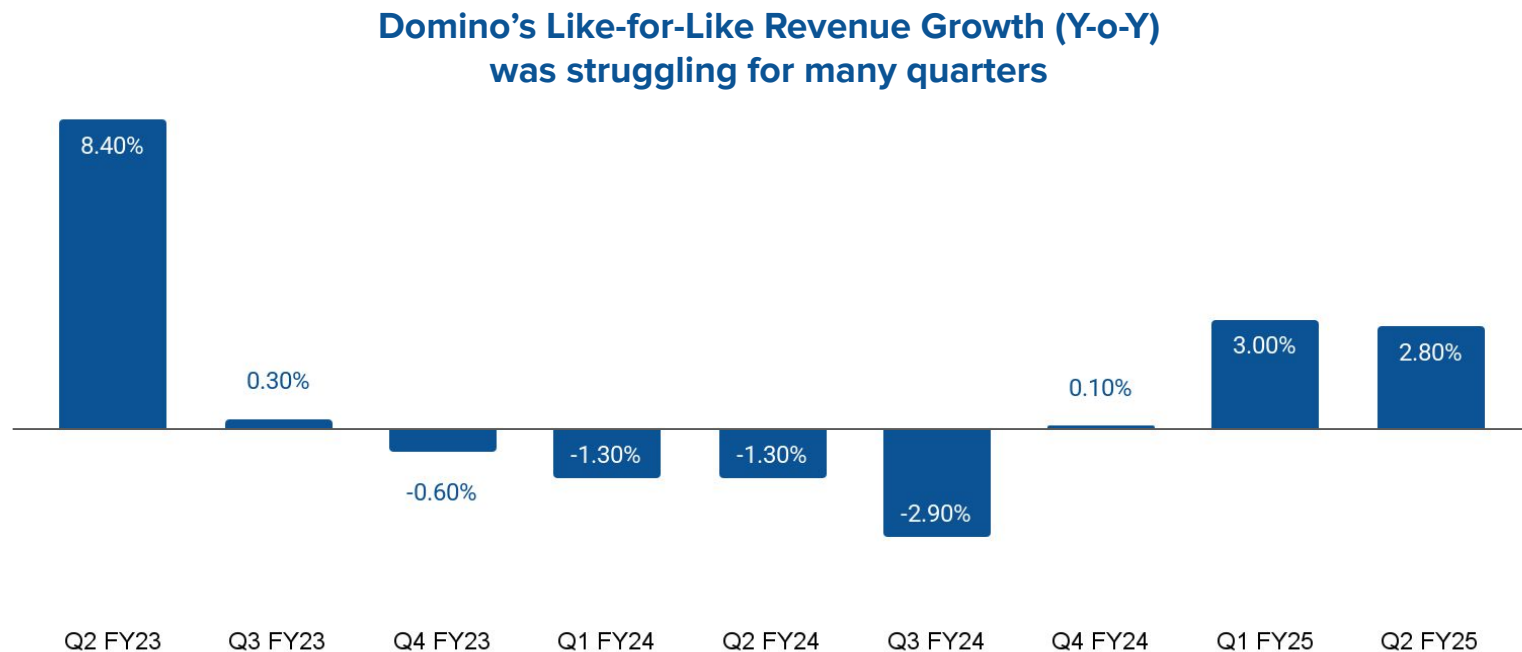
Today larger orders subsidize smaller delivery orders; Ownly will find it difficult with flat commission model

Platform Economics per order in Rs. (illustrative Zomato estimate)	Order 1	Order 2
AOV	600	300
Revenue	140	78
– Commission and ad income	125	63
– Delivery Fee	15	15
Variable Costs	73	73
– Delivery Costs	60	60
– Platform discounts	7	7
– Other Variable Costs	7	7
Contribution Profit	67	5
Fixed Cost	18	18
Adjusted EBITDA	49	-13

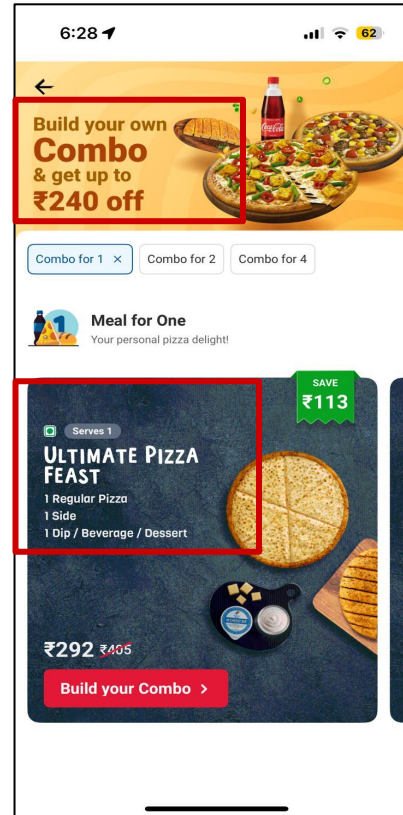
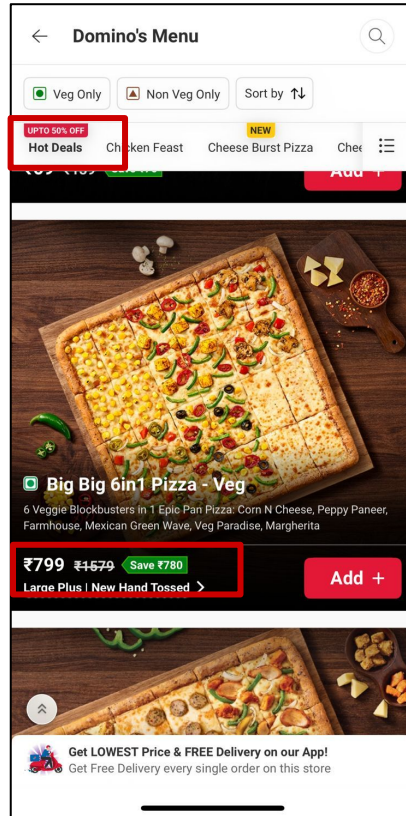
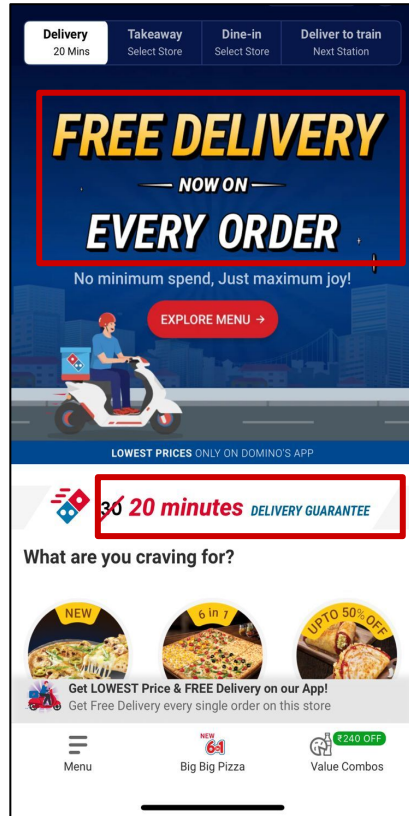
Currently platforms like Zomato and Swiggy subsidize smaller orders through earnings on larger orders.

With flat commission fee, Ownly might find it tough to subsidize smaller food delivery orders

Domino's India (The OG Food delivery) value proposition of convenience and reliability was lost with scale up of Food Delivery (Swiggy and Zomato)



What did it do? Domino's doubled down on Value and Speed to regain growth



The Big Initiatives are paying off

Free delivery on most orders has removed friction to order

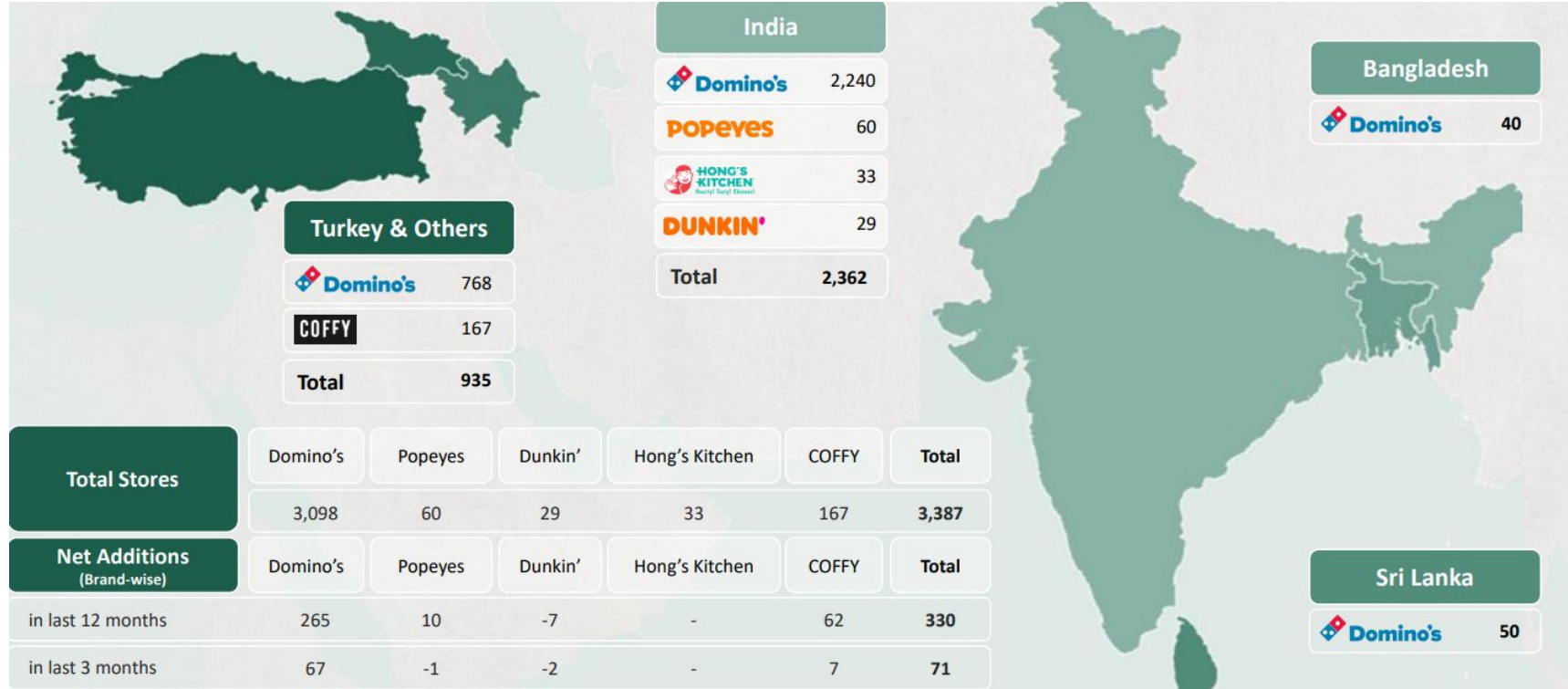
Multiple locations have 20 minute delivery with guarantee

Multiple 'hot deals' and discounts throughout the week

'Value for money' menu innovation. Very large pizzas for parties/groups and affordable 'meal for one' combos

Continued growth in loyalty program *Cheesy Rewards*

Parent Company of Domino's India Jubilant Foodworks is taking the Domino's approach to its other brands and in more international markets



Contents

- | | | | |
|-----------|--|------------|---|
| 4 | Lessons from an Internet Commerce Operator
Strategic Realities and Challenges in Internet Commerce | 127 | Food Delivery
Growth, Unit Economics, Global Takeaways and more |
| 23 | India Macro and Consumption
Tailwinds, Challenges, Credit and Consumption and more | 143 | Mobility
Rapido Disruption, Profitability and more |
| 52 | Quick Commerce
Growth, Profitability, Unit Economics, Blinkit, Instamart and more | 154 | Vertical E-Commerce
Fashion, Beauty, Travel, Pharma, Auto, Home Services and more |
| 97 | Horizontal E-Commerce
Trends, Categories, Meesho, Unit Economics, Challenges and more | 196 | D2C Brands
Challenges, Trends and more |

Rapido's breaking of the Ola/Uber Duopoly is the hottest development in ride-hailing in many years

*"Ola used to be our main competition. Now, the tougher competition in India is Rapido,"
– Uber CEO in WTF Podcast*

The ride hailing scene in 2018

With **10K daily rides** and Rs 1.5 Cr monthly revenue, Rapido completes 5 Mn rides in 28 months

With **1.5 Mn rides a day**, Ola advances towards profitability

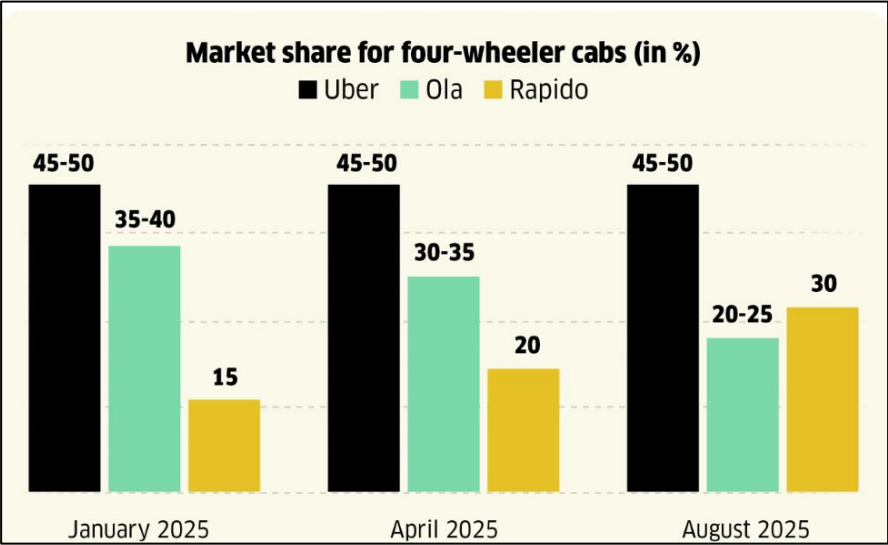
In 2024-2025

Rapido claimed 2.5 mn daily rides in late 2024 and in mid-2025 about 4.3 mn daily rides

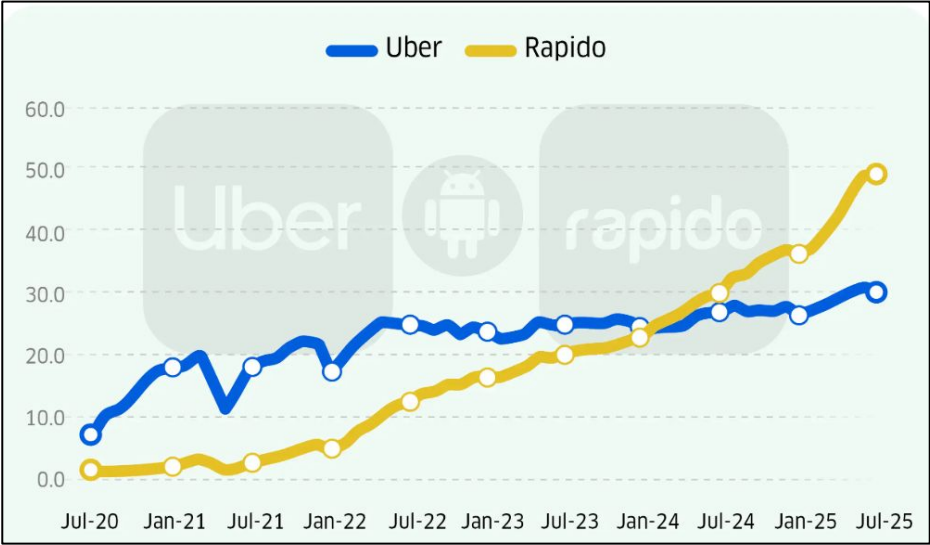
Uber, Ola did 2.5mn daily rides and 1.3mn daily rides respectively (Source: The Arc Web) in 2024

Even the four-wheeler market (where it entered only in 2024), Rapido seems to have emerged as the No. 2 player and is fast making gains

Three-party market share in Four-wheeler ride hailing



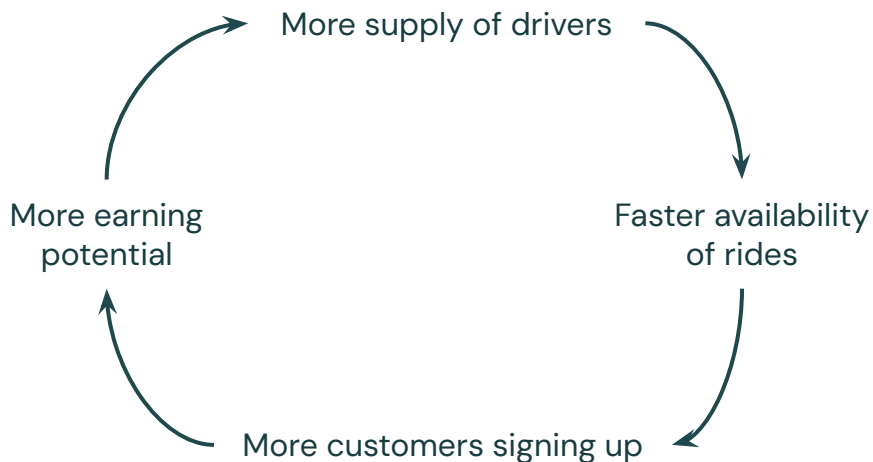
App MAUs (Monthly Active Users) comparison



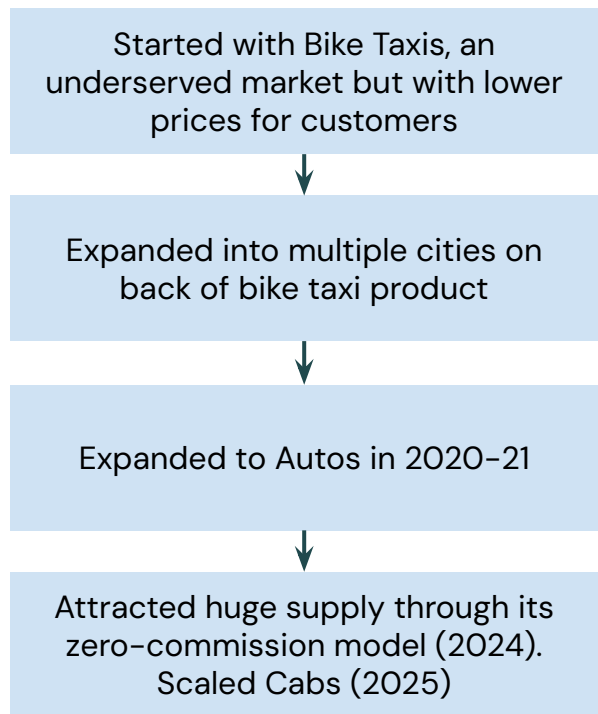
How did Rapido crack a tough market?

First, Rapido found the right 'wedge' in bike-taxis to get initial scale

Ride-hailing has strong Network Effect Moat that is difficult to break



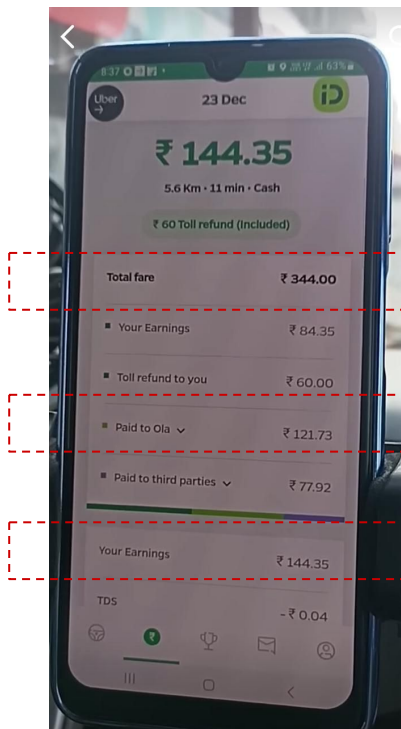
So, how did Rapido do it



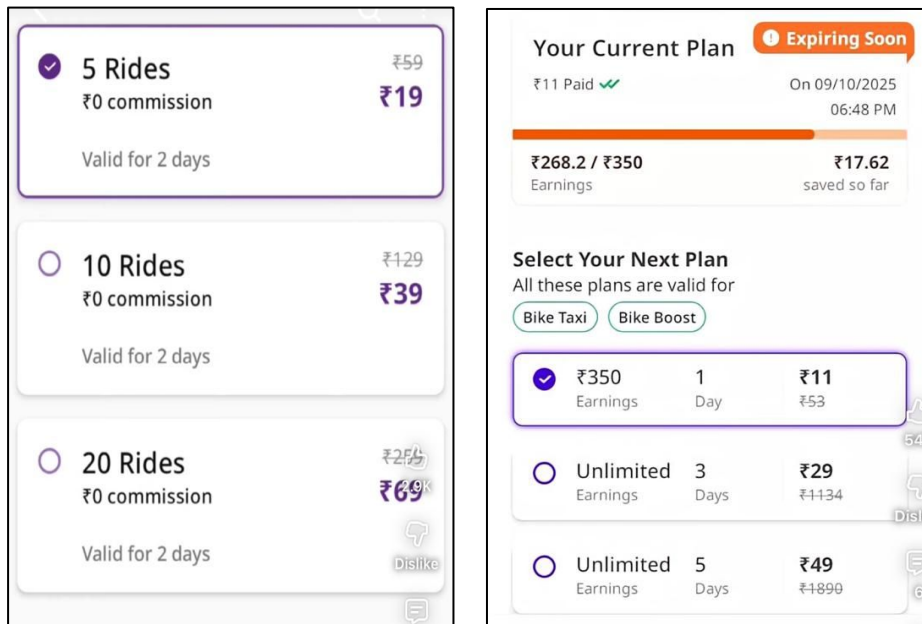
Wedge

Then the leapfrog happened with the pivot to subscription model in early 2024

Drivers were very unhappy with the high commissions per trip



Predefined Fixed Subscription of Rapido lowered costs while bringing certainty



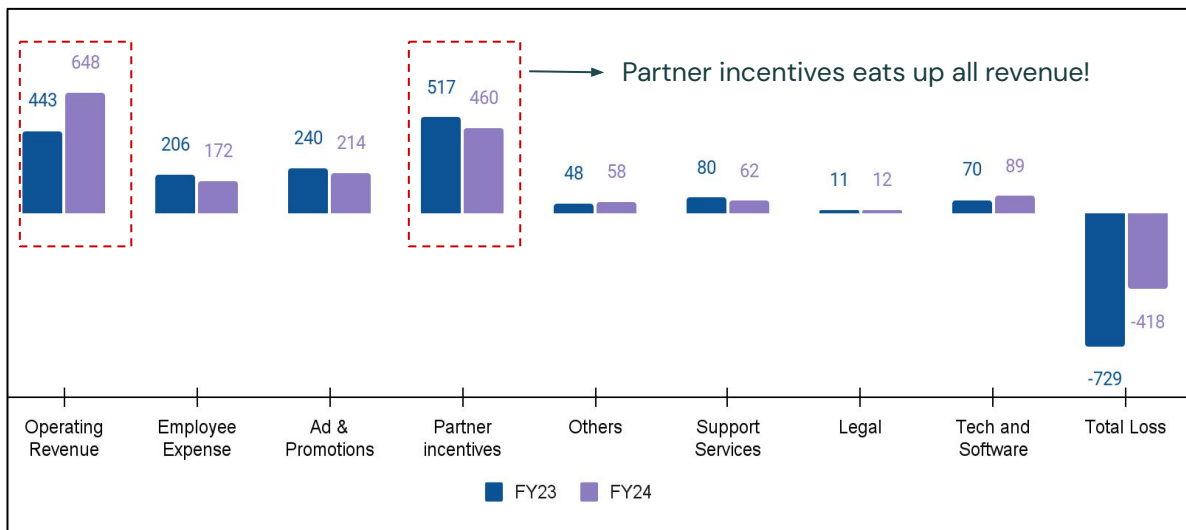
Note: Subscription plans vary based on mode and location

The big question: What about profitability of this model for Rapido?

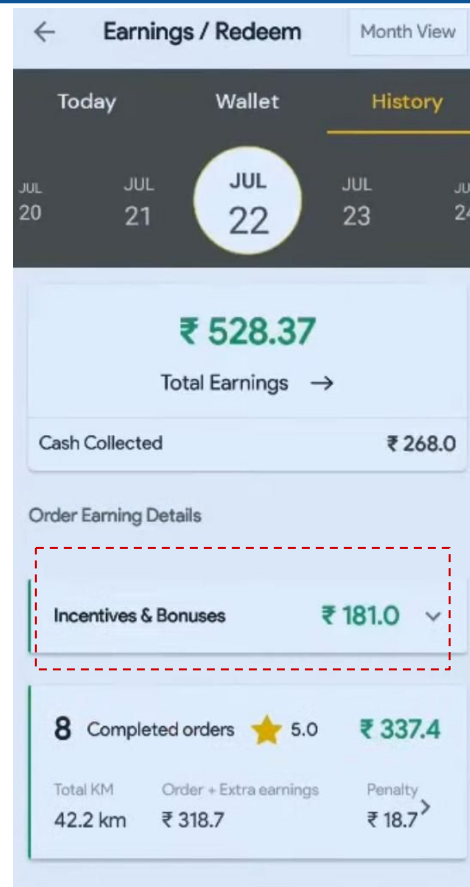
How does the economics work? Will Rapido make money?

Let us first see their past financials

Rapido's past Financials show partner incentives eat up almost all revenue



Sources: Entracker, Screenshots from YouTube



With Subscription model, Rapido wants to remove partner incentive expenses while enabling higher earnings for more drivers

Illustrative Unit Economics for Rapido

Unit Economics per ride	Earlier	Now
AOV (next of taxes)	200	190
(1) Revenue	34	13.3
- Commission Revenue	34	0
- Subscription Revenue	0	13.3
(2) Variable Costs	26	1.9
- Customer Discount	10	1.9
- Partner Incentive	16	0
Contribution margin = (1) - (2)	8	11.4
CM% of AOV	4.0%	6.0%
Stakeholder View	Earlier	Now
Fare paid by customer	190	188
Driver Earnings guaranteed per trip	166	190
Driver Earnings average contingent on earning incentive	182	190

Variable costs per ride collapse. The need for giving incentives come down

Platform earns better even on a lower fare

Fare for customer remains same with better availability due to higher supply

Earlier driver has to complete x rides to get incentives but now there is guaranteed better earning per ride

With Subscription model, Drivers get better pay per ride and don't have to be dependent on incentives that are not guaranteed

Illustrative Driver Economics for a longer distance trip

12km trip in Bangalore (Cab)	Earlier	Now	
AOV	400	400	
Paid to Platform	80	28	
– Commission expense	80	0	
– Subscription averaged per trip	0	28	
Fuel expense for trip	80	80	
Fuel Expense incurred till customer pickup	12	8	Assuming closer pickup in a denser network
Total Expense	172	116	
Net income per trip	228	284	~25% higher net income

Before and After ground reality for Drivers

Before: Working more rides needed to hit incentives and target earning per day

Now: Fewer rides can hit target earning per day

Before: No guarantee of per trip earning because of dependence on incentive

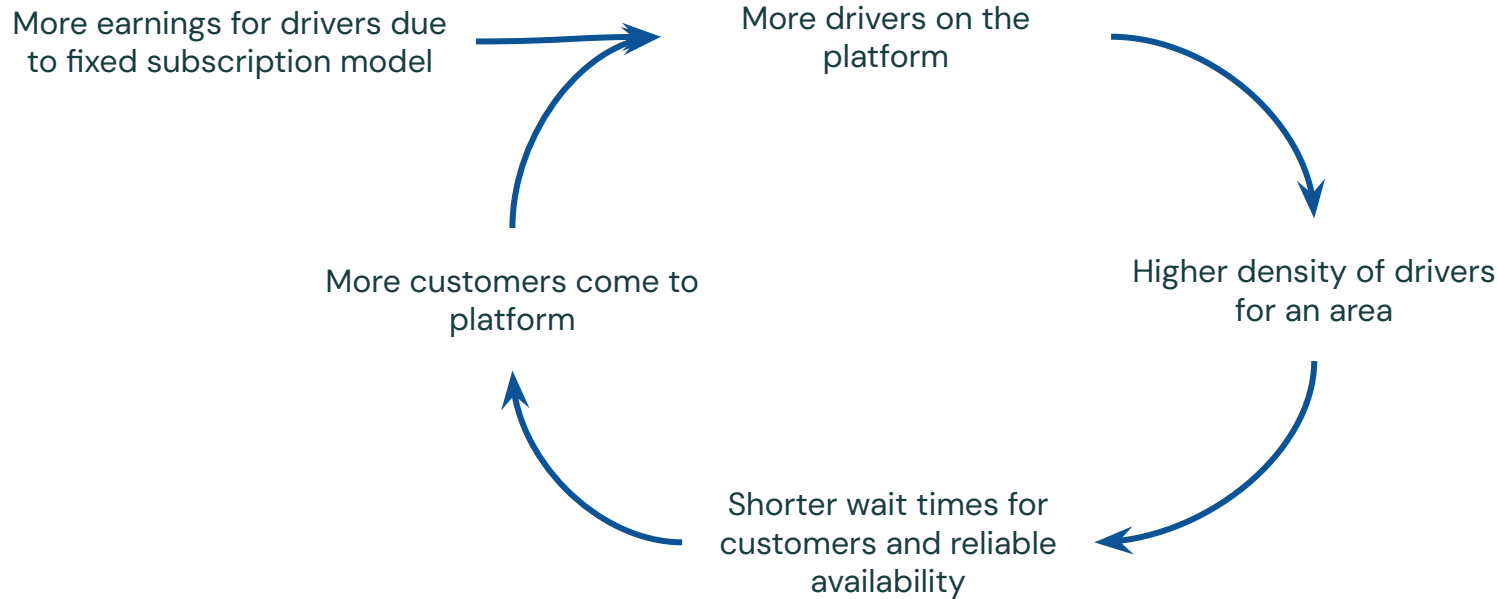
Now: Very clear clarity on per trip earning

Before: fewer drivers get most incentives

Now: All drivers get higher earnings per trip

Net result is it incentivizes more drivers and especially those who want to do fewer trips per day

Rapido by solving for driver earnings has solved an important problem for customers – availability (due to increased supply)



Contents

- | | | | |
|-----------|--|------------|---|
| 4 | Lessons from an Internet Commerce Operator
Strategic Realities and Challenges in Internet Commerce | 127 | Food Delivery
Growth, Unit Economics, Global Takeaways and more |
| 23 | India Macro and Consumption
Tailwinds, Challenges, Credit and Consumption and more | 143 | Mobility
Rapido Disruption, Profitability and more |
| 52 | Quick Commerce
Growth, Profitability, Unit Economics, Blinkit, Instamart and more | 154 | Vertical E-Commerce
Fashion, Beauty, Travel, Pharma, Auto, Home Services and more |
| 97 | Horizontal E-Commerce
Trends, Categories, Meesho, Unit Economics, Challenges and more | 196 | D2C Brands
Challenges, Trends and more |

Vertical E-Commerce have at least one sizeable winner in each category but there is a lot more potential

Fashion



Myntra

Beauty



Pharmacy



Travel



Ticketing, Events



Sub-scale Verticals

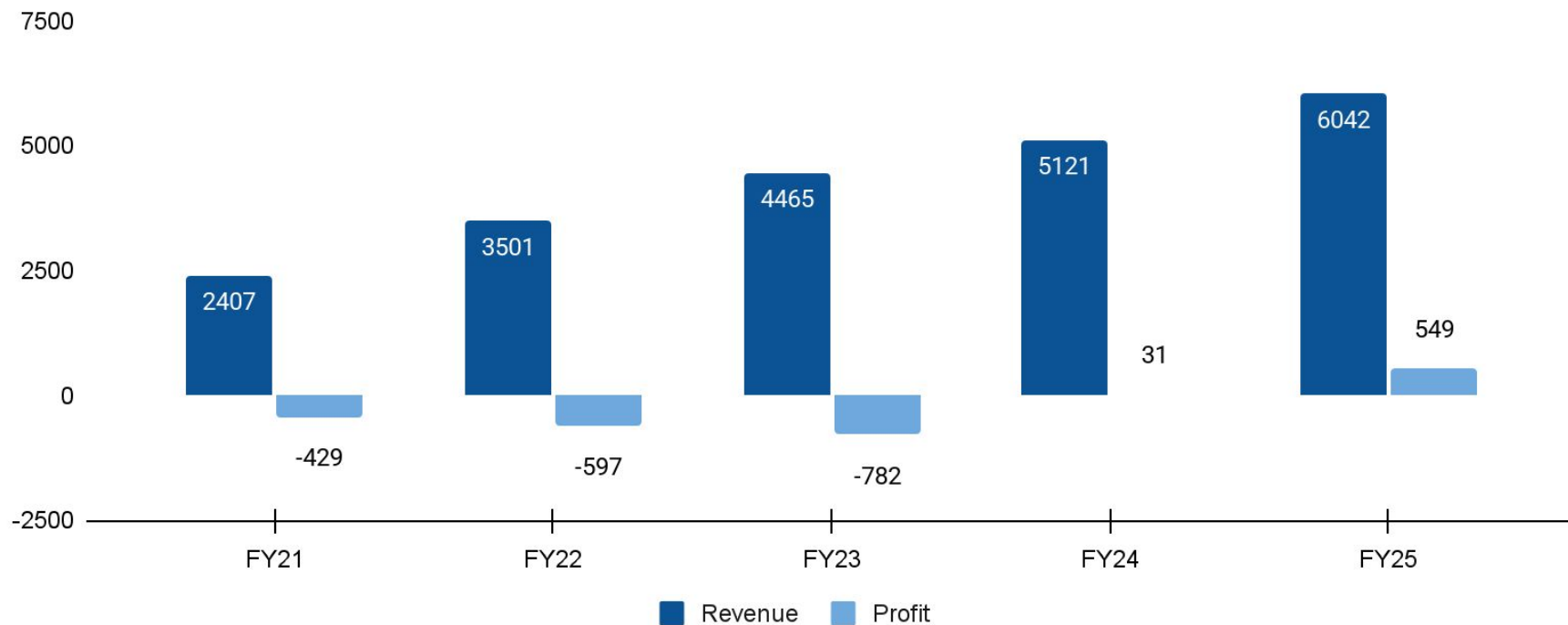
Kids, Furniture, Real Estate, etc.

Used Car Platforms

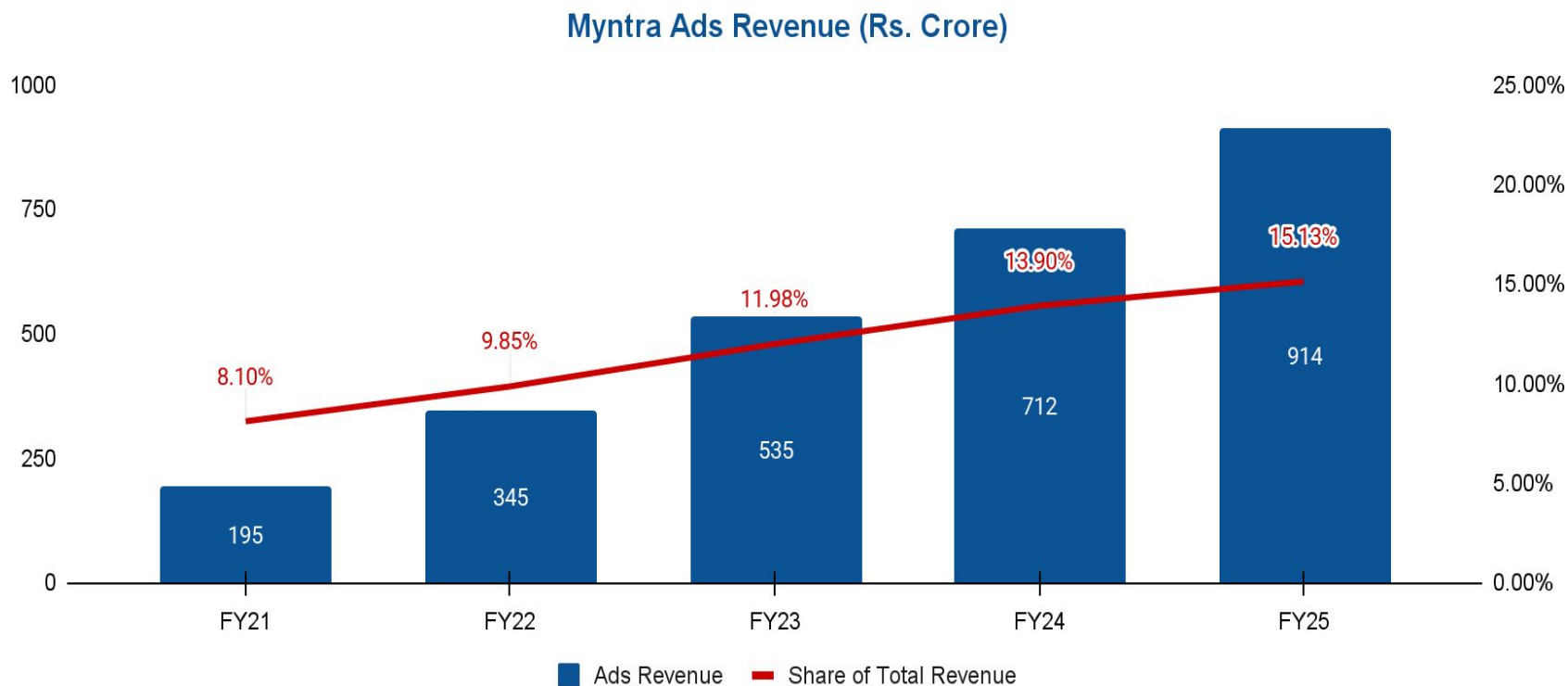


Fashion: Myntra leads vertical e-commerce in Fashion and has posted strong growth with significant improvement in profitability

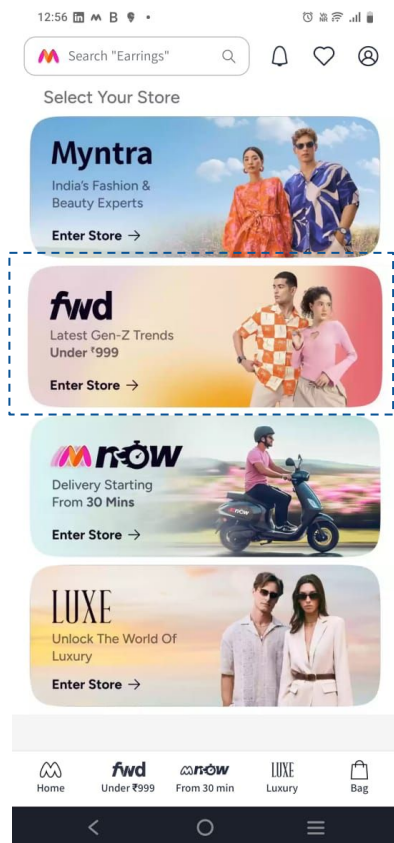
Myntra Financials Performance



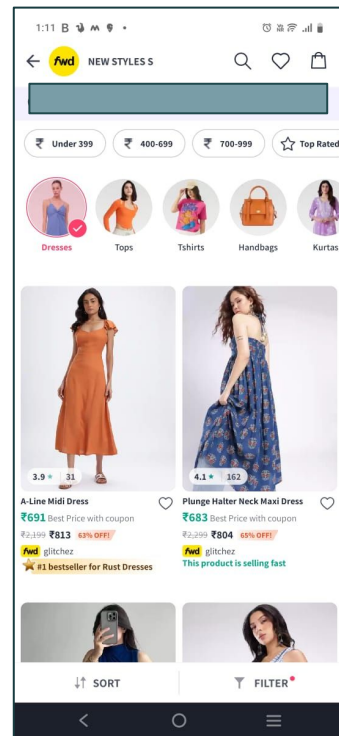
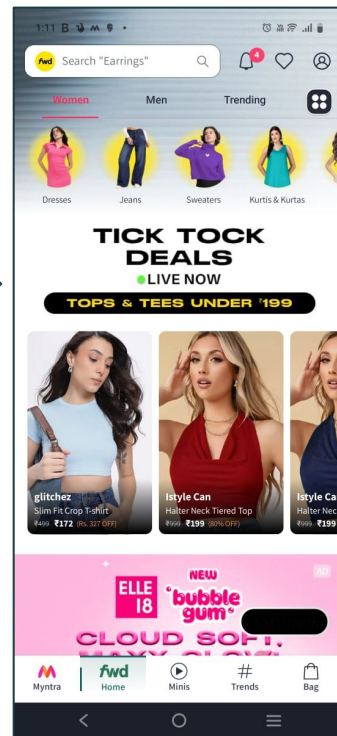
Myntra is another illustrative example of High-Margin Advertising revenue being a key lever for profitability



Myntra in the last year has launched multiple propositions. This can increase its appeal to GenZ while deepening moat with affluent customers

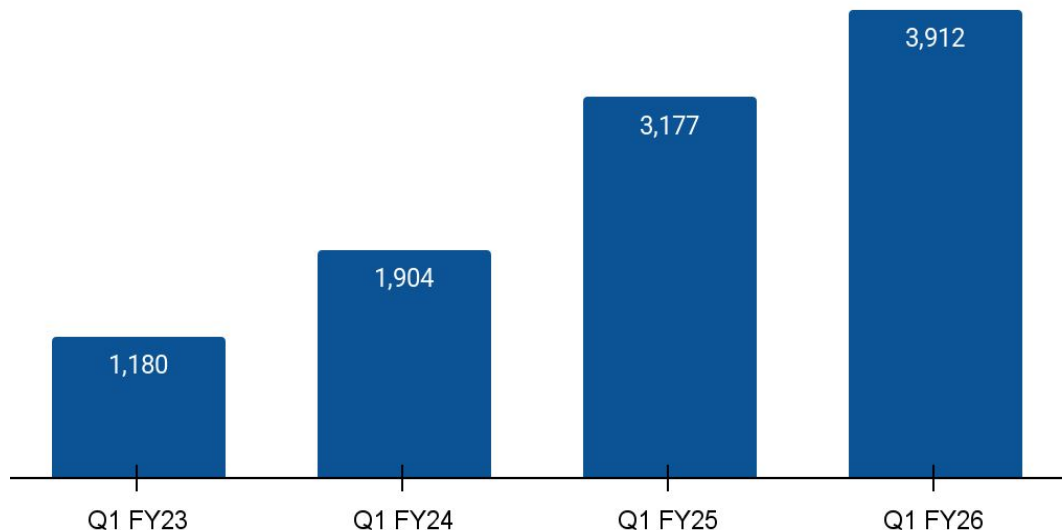


Affordable Trendy positioning for GenZ customer base can help Myntra win new customers



Online version of Zudio could a big online fashion opportunity

Trent Fashion only (Zudio + Westside) Revenue in Rs. Crore



Trent has rapidly scaled its revenue on the back of Zudio.

The online competition for trendy/fast fashion is still yet to emerge.

Is there a big potential opportunity?

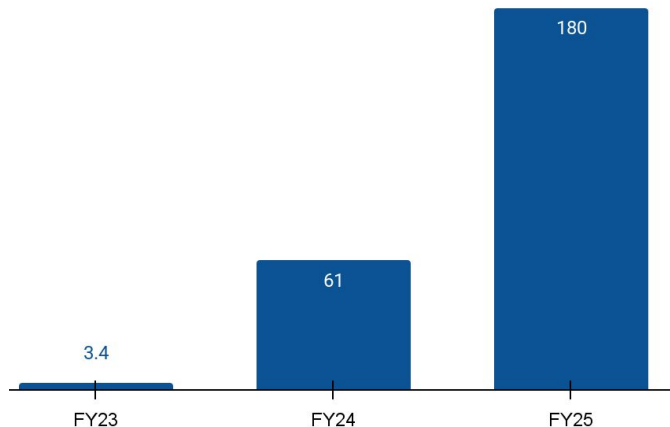
Interesting experiments are – FWD by Myntra, Spoil by Flipkart and Ajiogram by Aji

Online Fast Fashion can have faster 'test and launch' cycles than offline but returns can be a challenge

Startup to watch – Newme – Fast Fashion for GenZ Women



Newme is seeing fast revenue growth (Rs. Crore)



Fast Fashion platform that caters to 18–27 GenZ Women audience

Focuses on mass price points. Most items are under Rs. 799

Disciplined style drops. About 500 weekly styles with total platform styles of 12,000. New collections released every Friday.

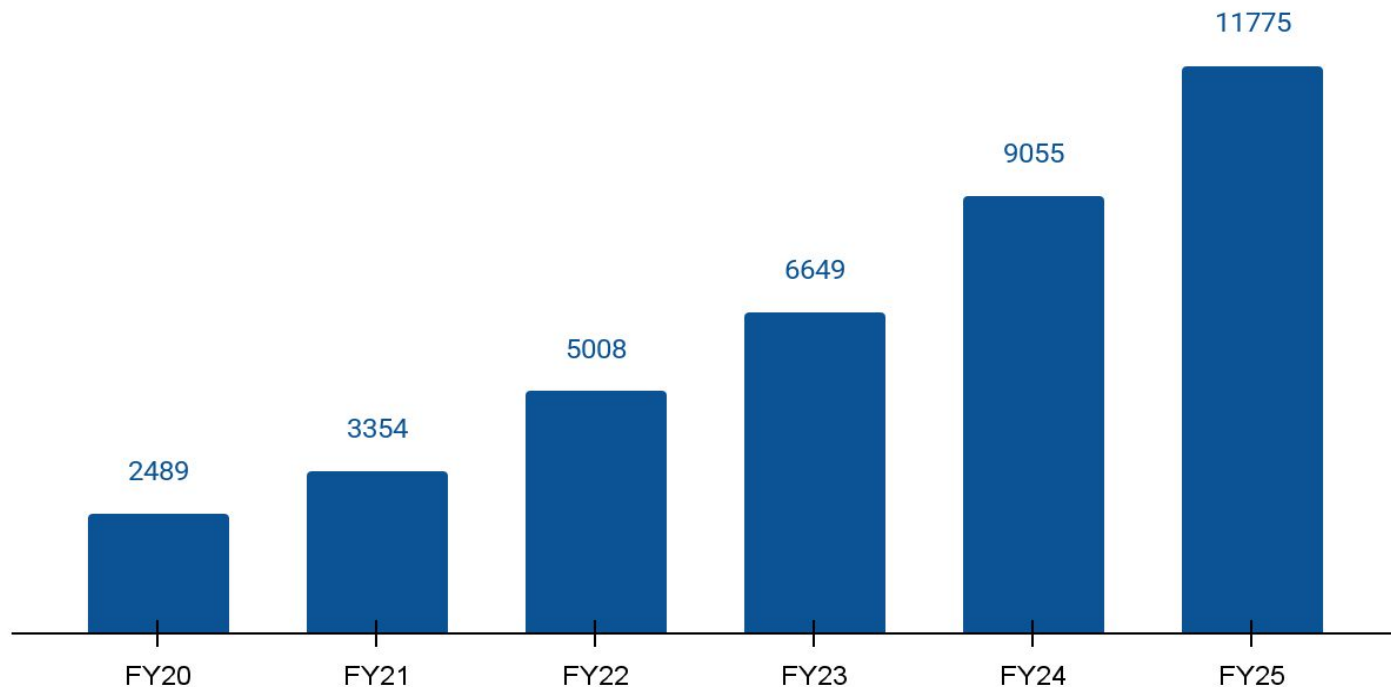
I also like the omnichannel play. 14 Stores. 23% of revenue comes from offline. Good customer reviews

Currently not profitable. (FY25 undisclosed – FY24 loss of 49Cr)

It is improving delivery speed and claims to work on quick commerce. This could be a distraction in my opinion.

Beauty: Nykaa Beauty continues to grow amid heavy competition from horizontal e-commerce

Nykaa Beauty Personal Care (BPC) GMV Trend in Rs. Crore



How Nykaa built a leading position in a crowded market

Perception of Authenticity and Trust attracts affluent customers



Premium and Luxe Brands often prefer to partner first with Nykaa

 **digsonchavez** • 7mo ago

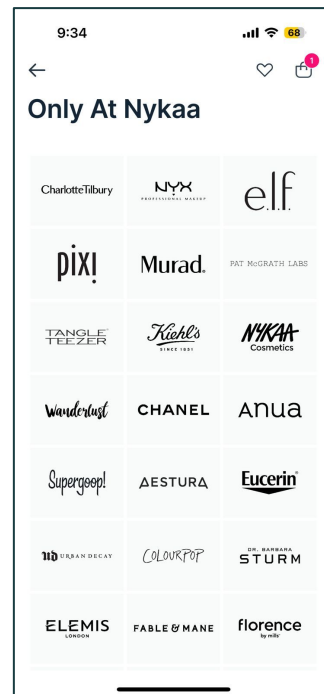
Because Nykaa is an authorised seller. Amazon pe anyone can sell anything. So many times people have complained about getting aata when ordering protein powder etc

ImTheMafia_ • 7mo ago

Possibility of getting a dupe / fake product on Amazon is high. On the other hand you may not get as much as discount like Amazon but it guarantees a genuine product delivery. When it comes to skincare and makeup specially. I finally shifted from Amazon to nykaa because of this reason only. Nykaa is not bad though you get free products on your orders I love that lol

Issval123 • 2y ago

I think their UI looks class and I like that about the site, I have used purple and isn't like that. Plus authenticity matters because I keep hearing fake product complains from Amazon. I am reducing nykaa purchase because of the fake discounts they run. But it's fun to window shop at nykaa. They have a lot of products too I think.

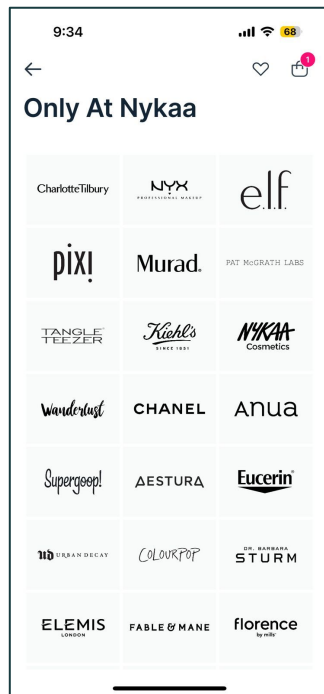


How Nykaa built a leading position in a crowded market

Premium and Luxe Brands often prefer to partner first with Nykaa



Flywheel among the higher income customers



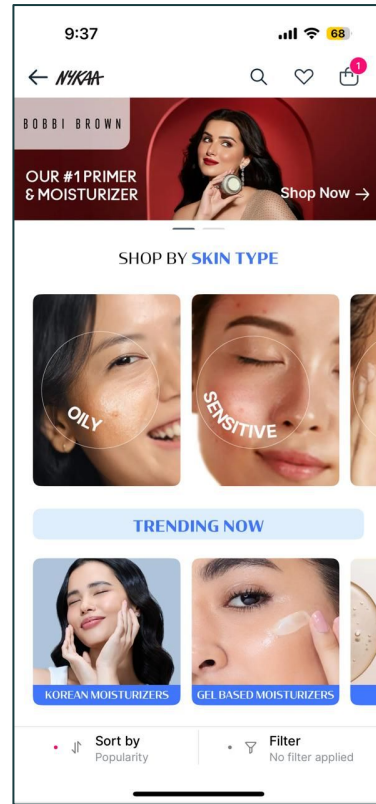
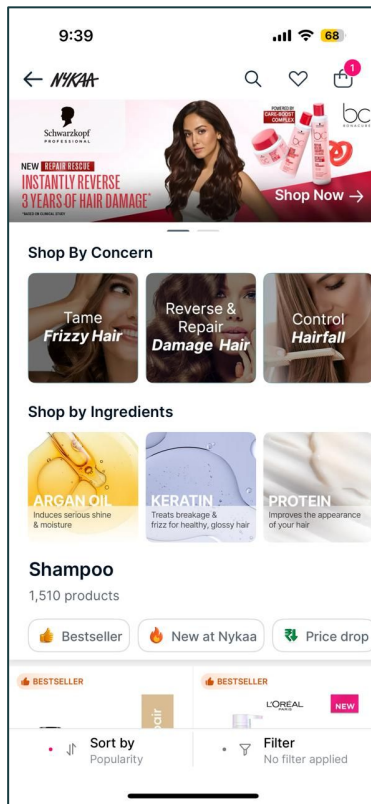
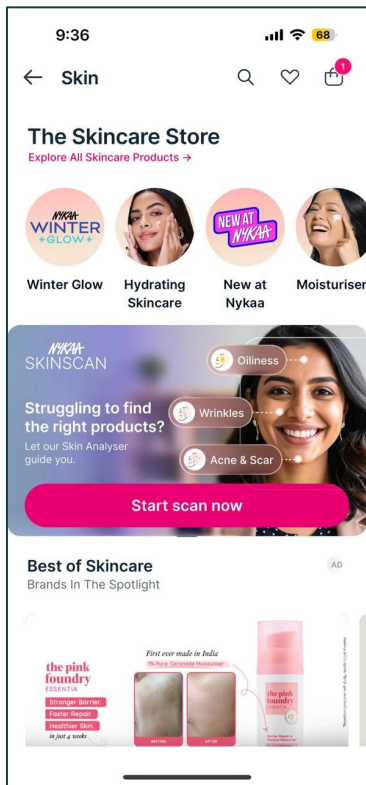
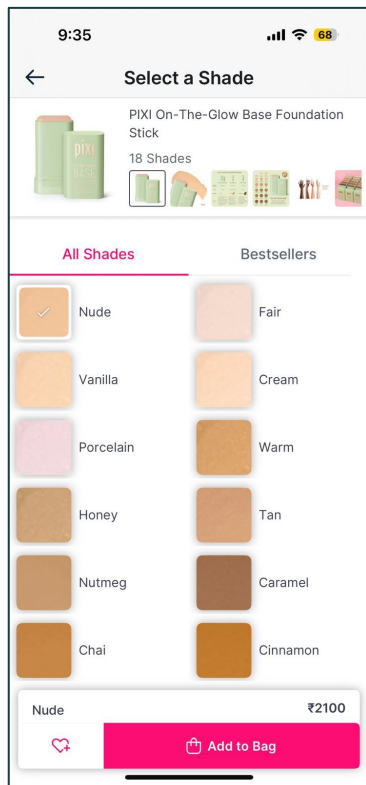
Premium Brands preferring Nykaa as the retail partner

Authenticity Perception and wide Premium Beauty assortment

More demand from Affluent Customers

Affluence signal: 70% of Nykaa visitors browse via iOS (per annual report)

Nykaa has a beauty-first platform experience which further appeals to premium brands



Nykaa's offline beauty store network makes it a one-stop-shop for premium brands and increases appeal

NYKAA
LUXE
THE LUXURY STORE

1.2L Sq.ft

10

Flagship stores



Experience led stores with brand SIS, skin consultation tools and beauty services

2,500+ sq.ft

75

Luxe stores



Curated collection of 80+ premium beauty brands

1,500+ sq.ft

GMV/ store ~2x
of overall store network

NYKAA
ONTREND

1.25L Sq.ft

116

Stores



Destination for trending, D2C/ home grown & international brands

1,000+ sq.ft

56% penetration
In Tier 2 & 3 cities

NYKAA
KIOSK

9K Sq.ft

46

Multi-brand



Exclusive House of
Nykaa point of sales

90-100 sq.ft

Revamped design
in FY25

3

Single brand

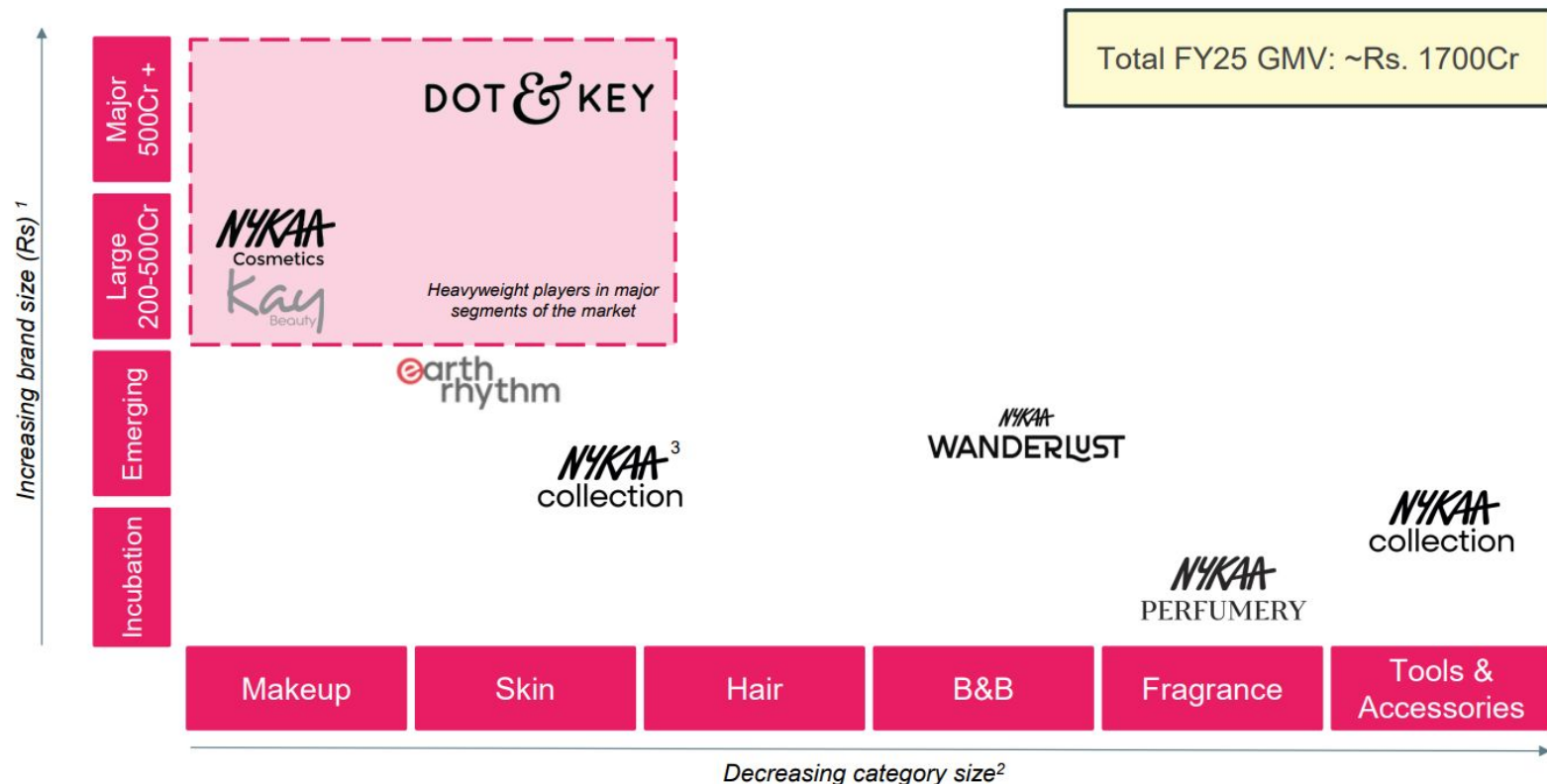


Brand specific POS
touch points in top
malls

50 sq.ft

New format
Launched this quarter

Amid the competition, Nykaa has been de-risking by building its own private label brands with decent success



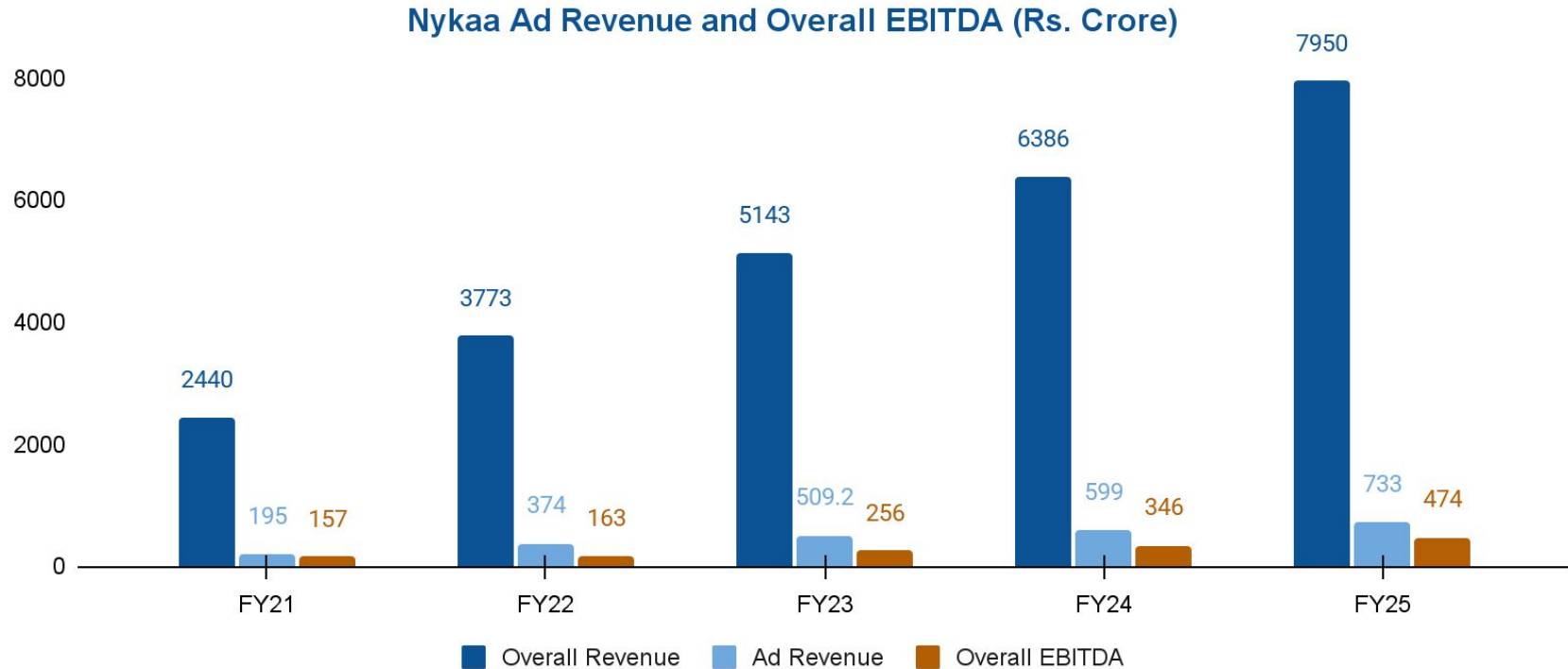
Nykaa's affluent customer base shows up in its unit economics with very good contribution margins but is also helped by Ads revenue

<i>Unit Economics per order in Rs.</i>	FY25
AOV	2021
(1) Net AOV (after returns, cancellations, brand discounts)	1145
(2) Cost of Goods Sold	646
(3) Gross Profit = (1) - (2)	500
Gross Profit % Net AOV	43.6%
(4) Fulfillment expense	115
(5) Selling and distribution	35
(6) Marketing and ads	98
(7) Contribution profit = (3) - (4) - (5) - (6)	252
Contribution margin % Net AOV	22.0%

The high AOV (relatively, for Beauty) is indicative of a more affluent customer base and helps immensely with margins

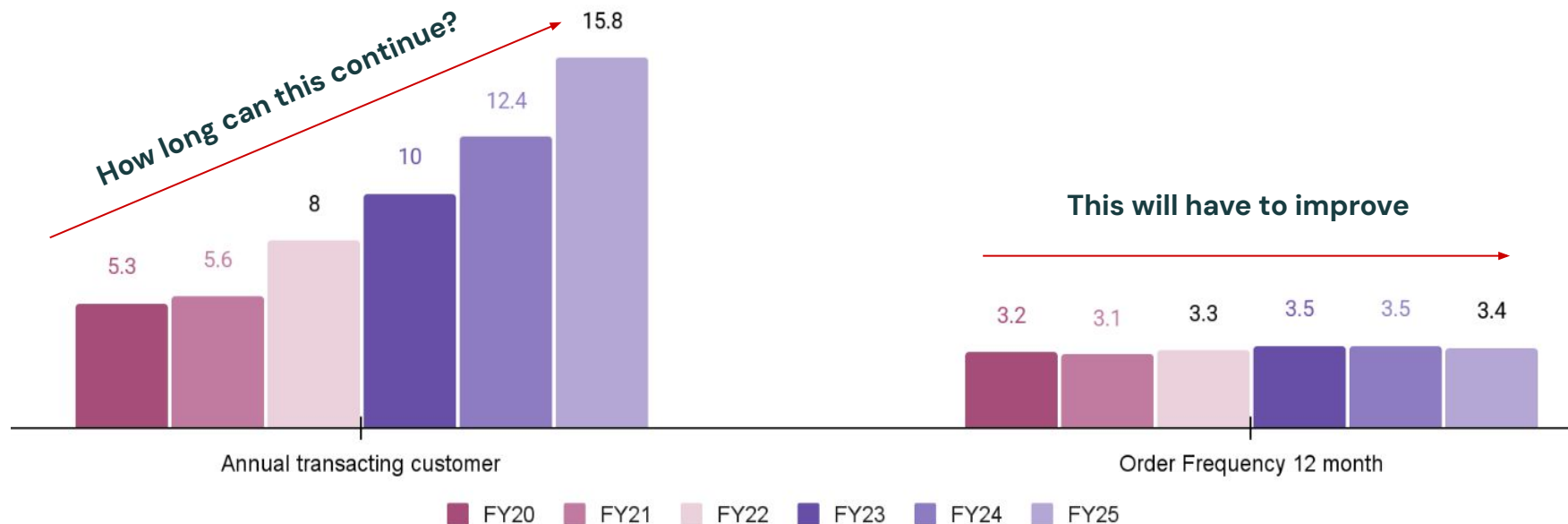
Of this per unit Gross Profit, more than Rs. 100 comes from Ad revenue

Nykaa generates 9% of total revenue from High-margin Ads which helps it to make a profit



The longer term challenge for Nykaa Beauty is hitting the ceiling on affluent customer base. It will have to increase order frequency

Annual Transacting Customer base (in mn) and Order Frequency 12 month

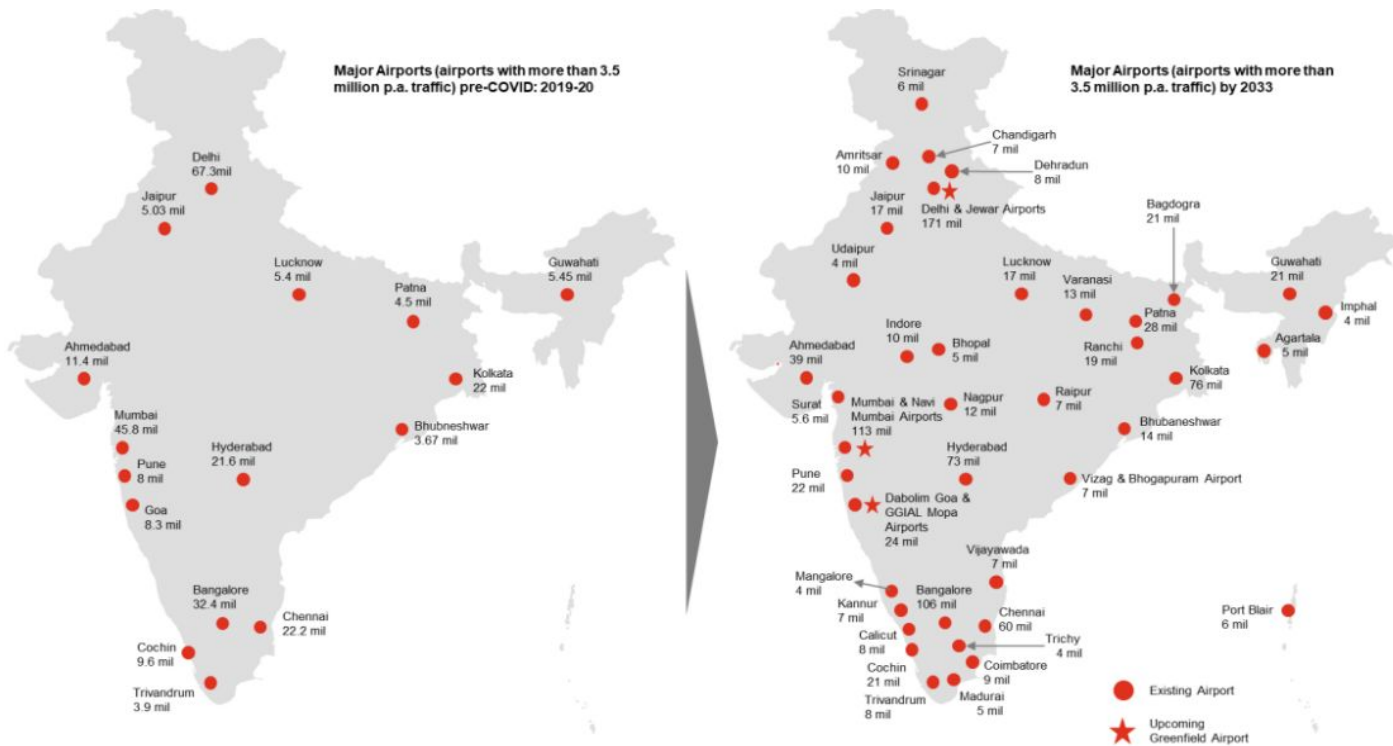


Travel: Air Traffic has been growing steadily for the past 15 years. More than 170 million passengers flew last year. One of the largest markets in the world



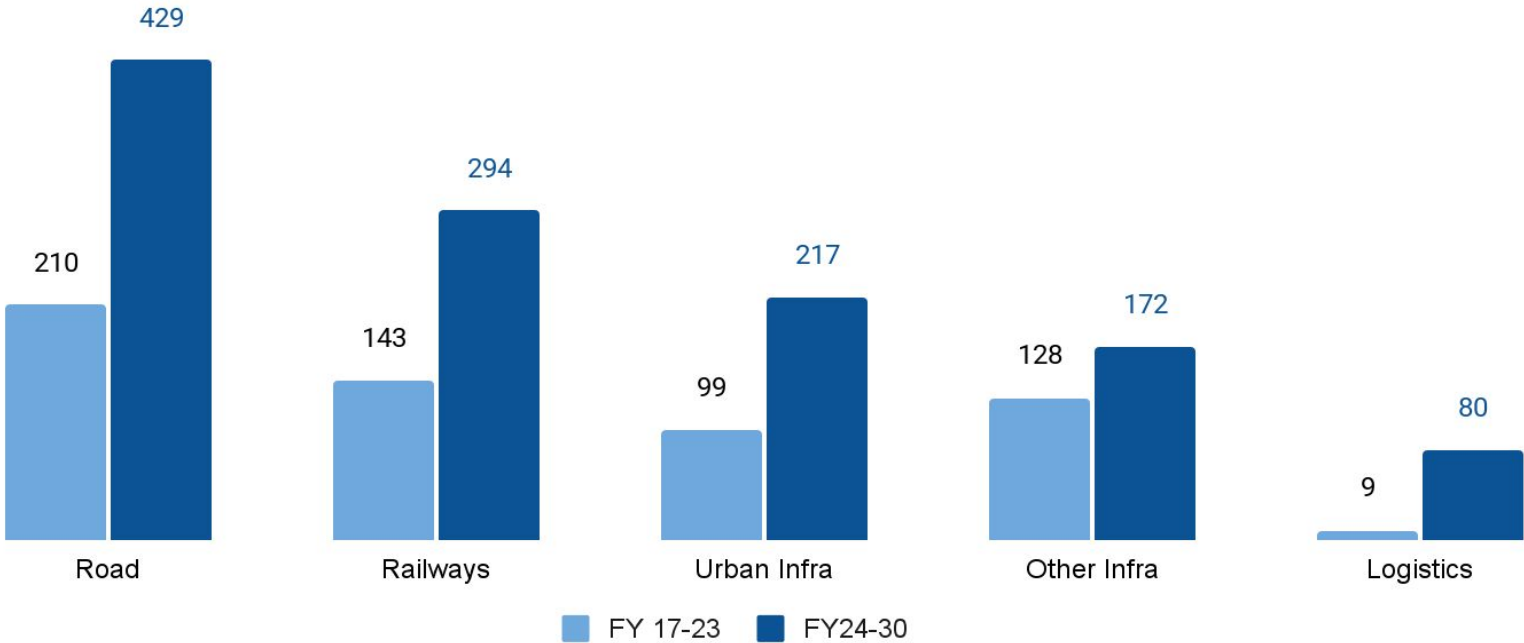
Air Traffic and Connectivity set to evolve significantly. Airports will be handling far more traffic in the coming years

Expected Evolution of Major Airports in India (2033 vs. 2019) – airports with >3.5mn per annum traffic



Infrastructure growth is going to be a tailwind for the Travel sector

Government Infra Spending \$bn



Top Hotel Chains see big opportunity in India. Especially Non-Metro and Value for Money customers

Hilton CEO's 10x Plan for India: 30 Hotels Today, 300 in a Decade

Marriott doubles down on India, plans 50,000 rooms and 500 hotels by 2030

Radisson Hotel Group expands to 200 hotels in India, eyes 500 by 2030

Hotel chain Hyatt bets on India's population boom to fuel growth

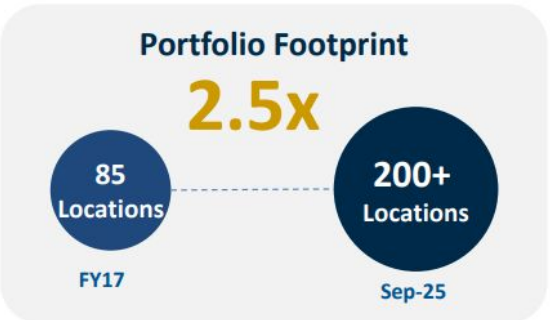
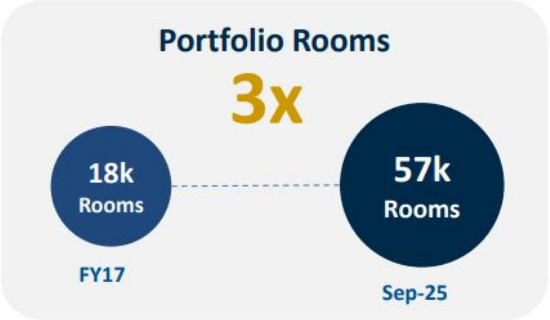
Top Indian and Global chains are expanding aggressively in non-metro cities

There is undersupply of branded hotel options in non-metro cities.

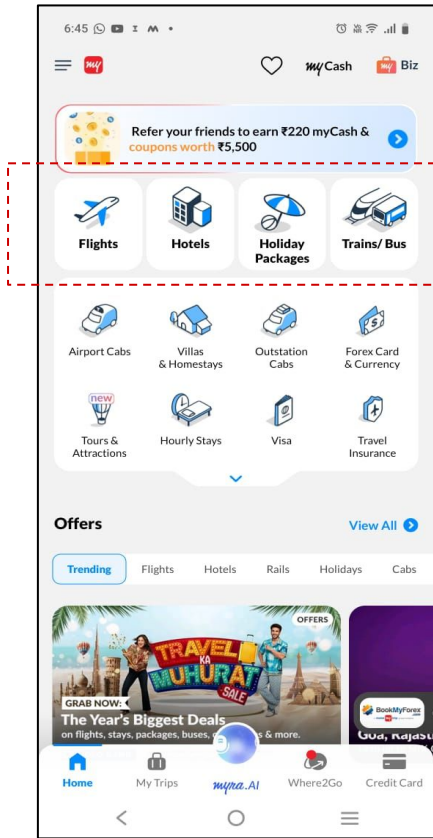
India has only 138 branded hotel rooms per million people (HVS Anarock)

Customers seek value for money options in these cities

Indian Hotels Group's (from Tata Group) success shows strength of Travel and Hospitality Segment in India

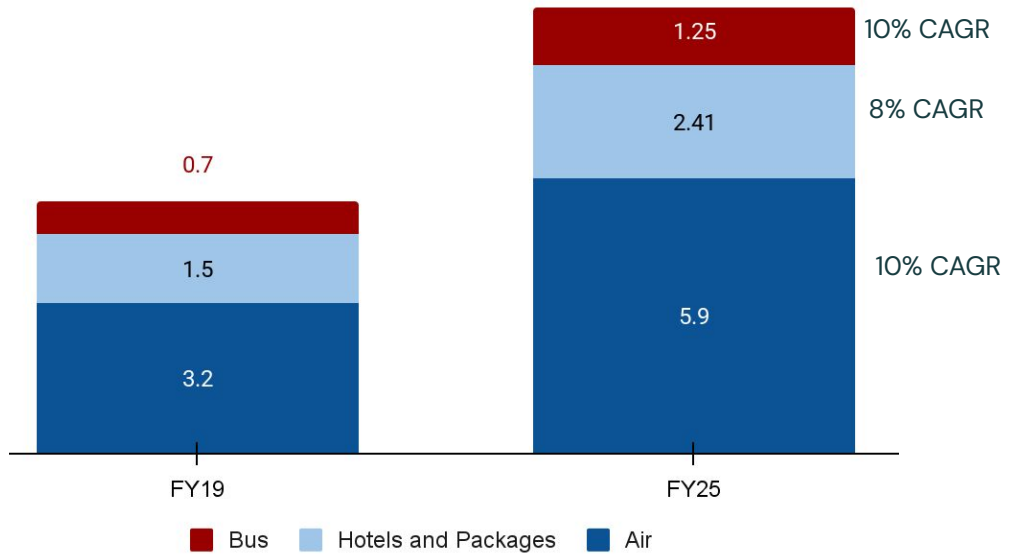


MakeMyTrip continues to dominate Online Travel with estimated 50%+ market share in Gross Bookings



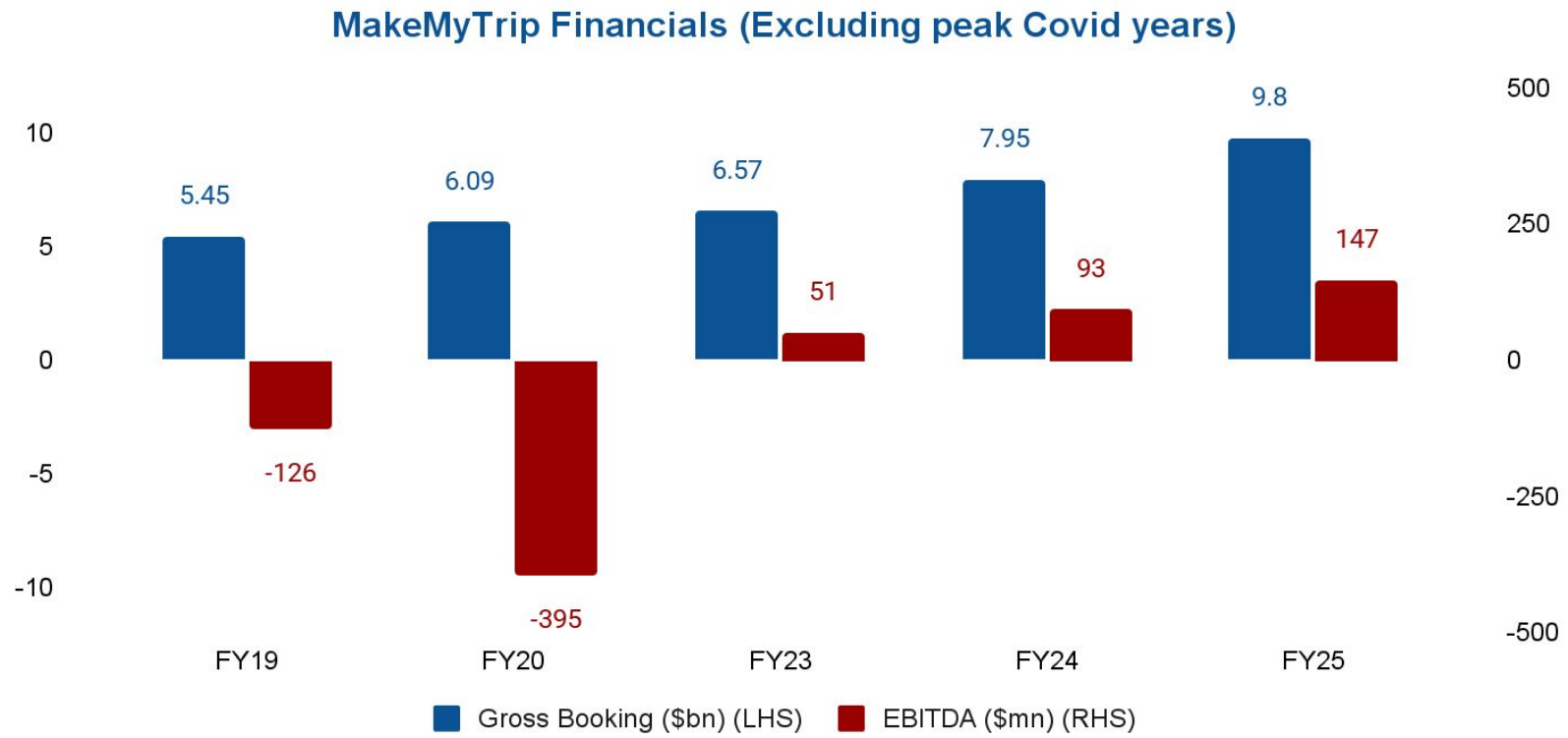
MakeMyTrip has grown across its three major segments

MMT Gross Booking by Segment (\$bn)

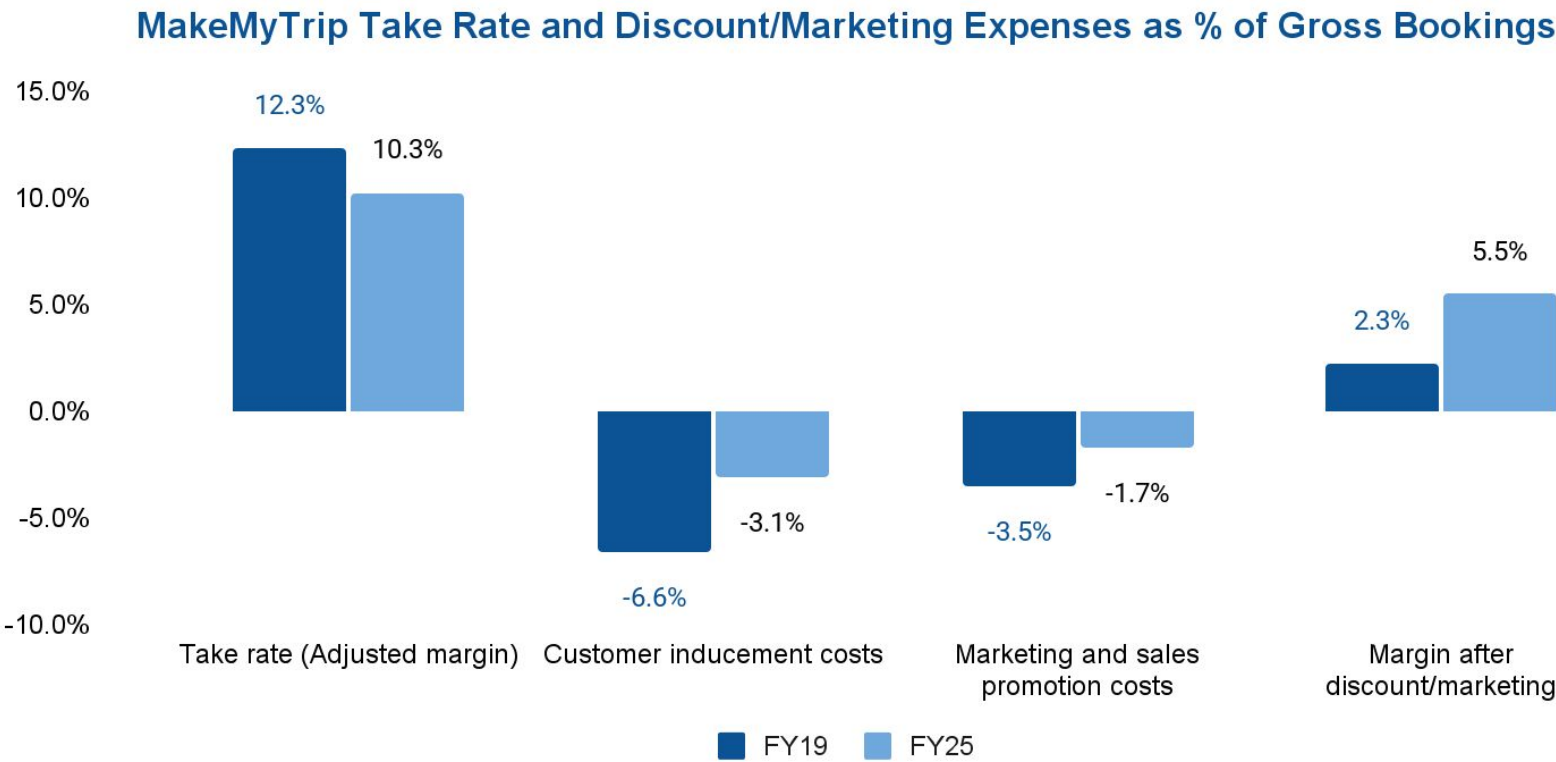


Sources: Annual Reports

MakeMyTrip has swung to profitability in the last few years



MakeMyTrip Profitability helped by lower discounting and lower promotions and advertising



Unit Economics shows MMT earns highest dollar gross profit per unit from Hotels even after higher discounts on the segment

Per unit in USD	Air	Hotel	Bus
Gross Booking Value per unit	100.0	65.3	11.7
(1) Take Rate (Adjusted margin)	6.36	11.61	1.23
(2) Customer Discounts per unit	2.24	4.21	0.11
(3) Gross Profit per unit = (1) - (2)	4.1	7.4	1.1
<i>Customer Discounts as Share of Value</i>	2.2%	6.4%	0.9%

Even after higher discounts,
Hotels gets almost 1.8x Gross
Profit from Airlines

Alternative Accommodations are taking off with MMT and Airbnb leading the charge



Alternative to Traditional Hotel Experience



Wide range of options- Villas, Apartments, Homestays, Hostels etc.



Unlocking Off-Beat Locations



Broadens Customer Reach



Inventory available for both Independent Hosts and Chains



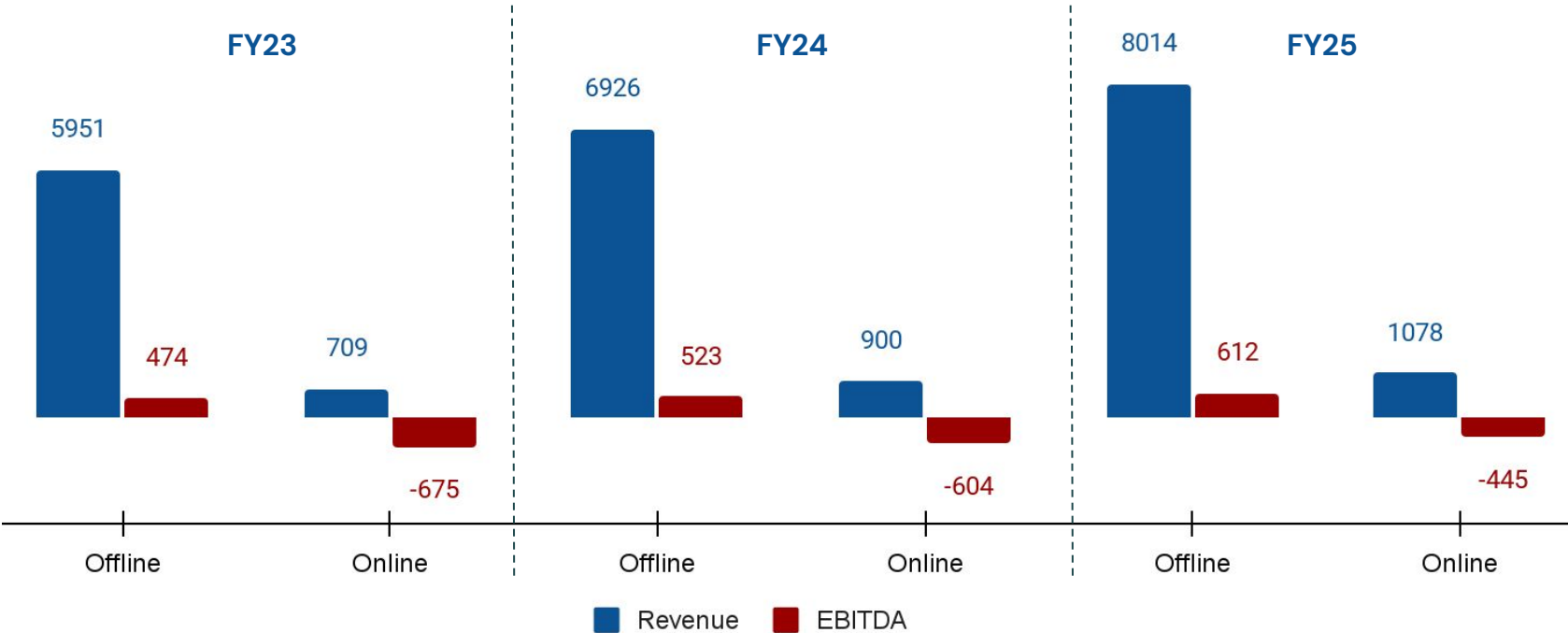
Partnering with State Tourism Boards to Promote Local & Community Based Travel



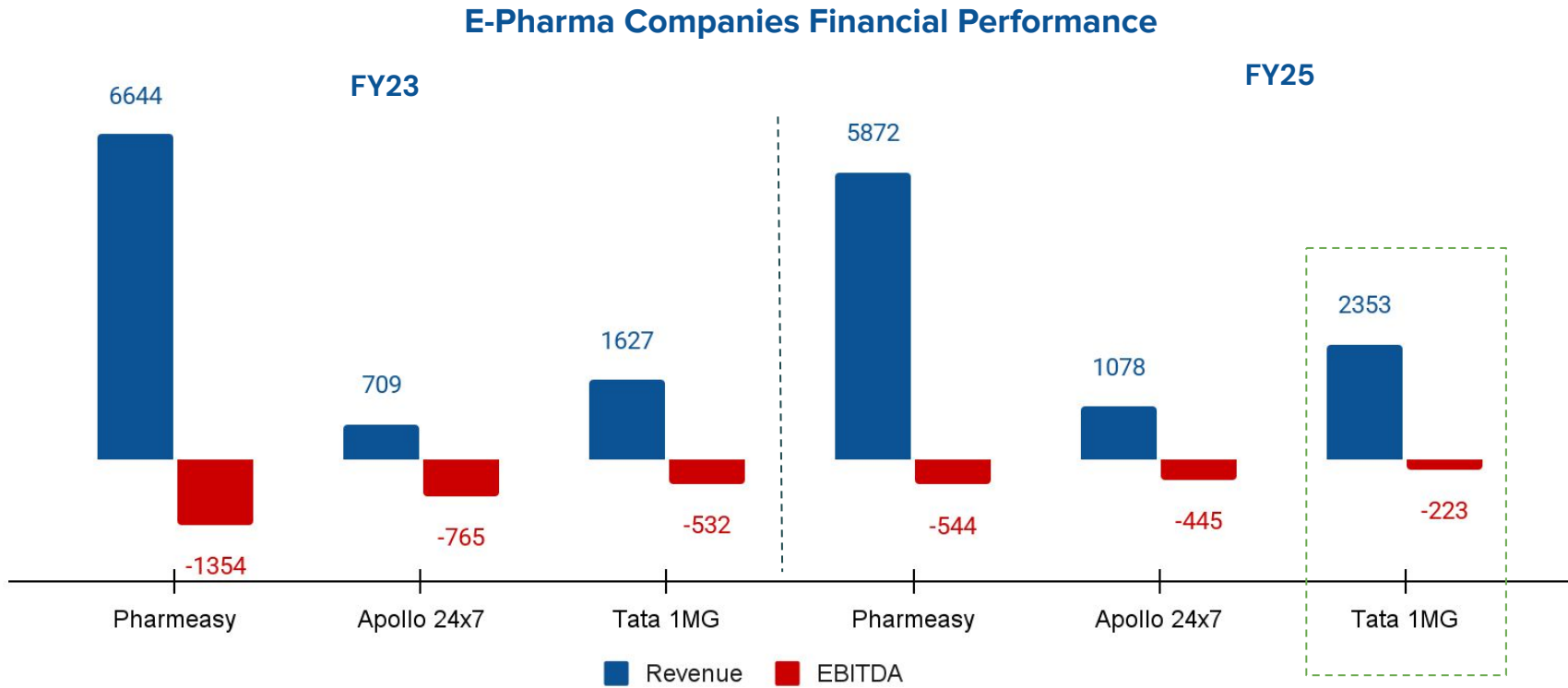
Increasing Supply

E-Pharma: Profitability challenge is illustrated by Apollo Offline vs. Online Pharmacy Margins

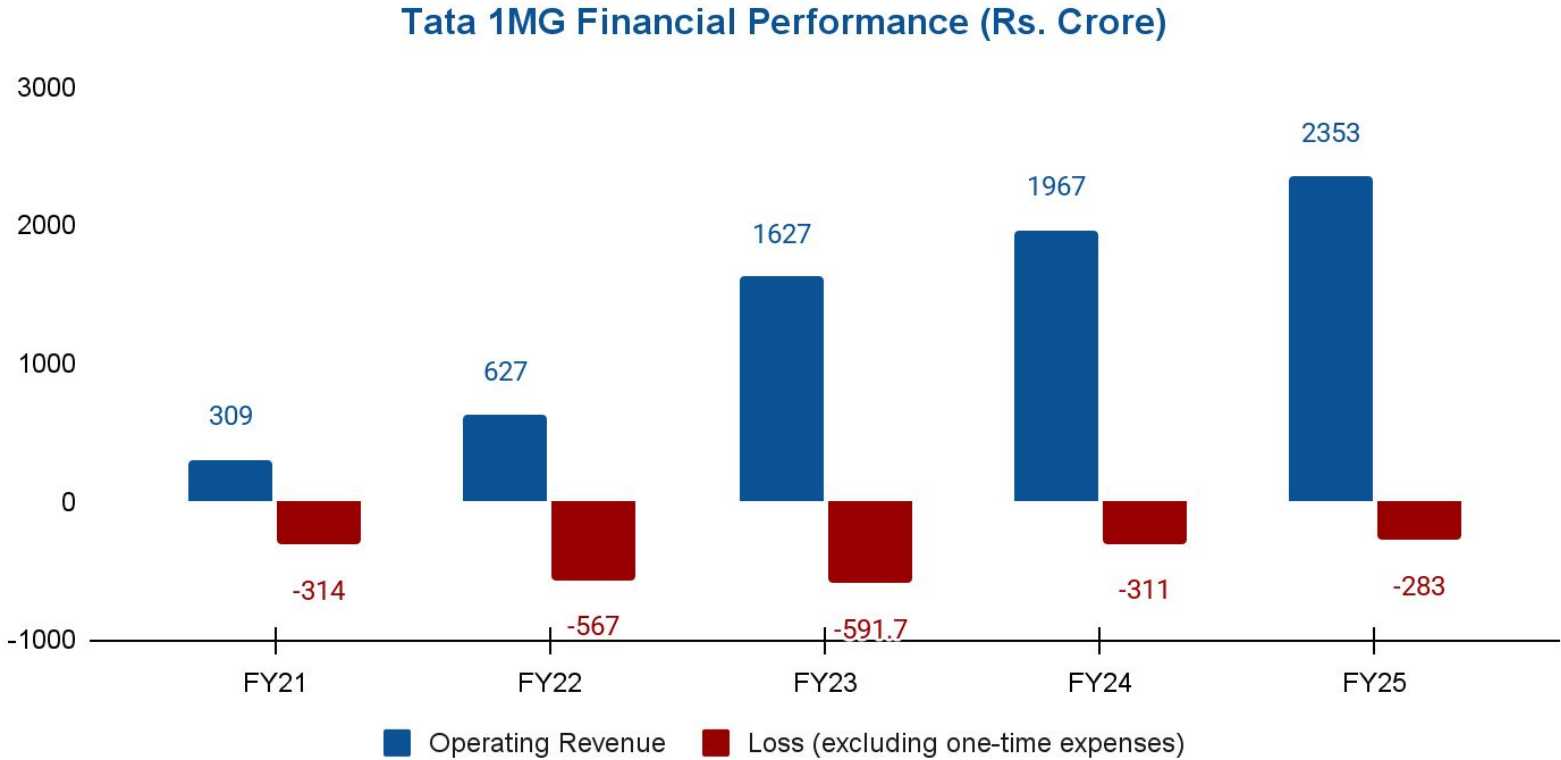
Apollo Offline and Online Pharma Segment Performance (Rs. Crore)



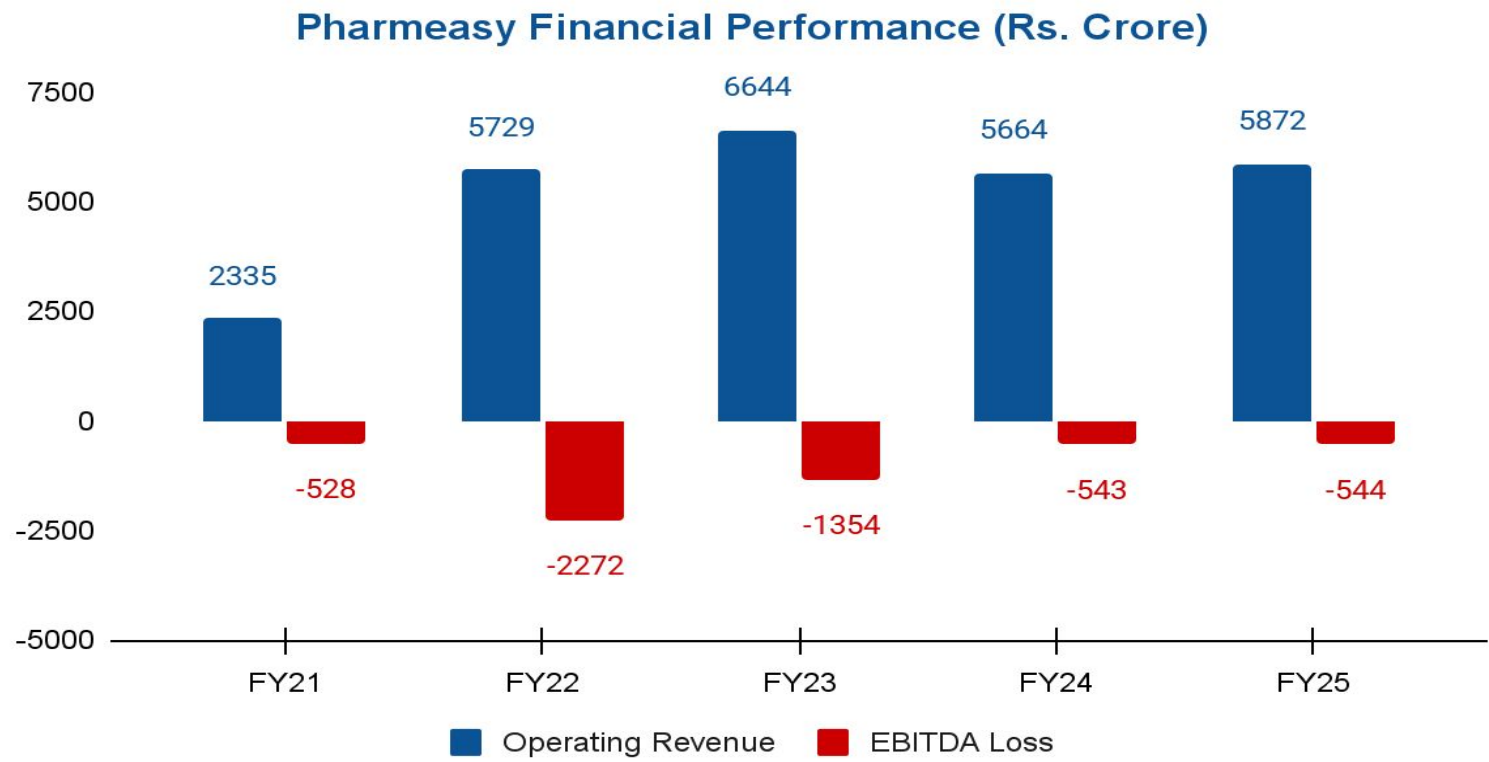
But profitability is improving. Tata 1MG especially is posting strong performance on both growth and profitability



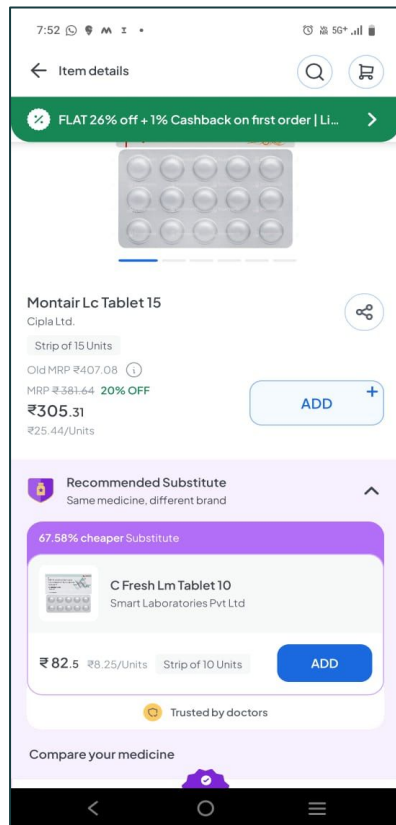
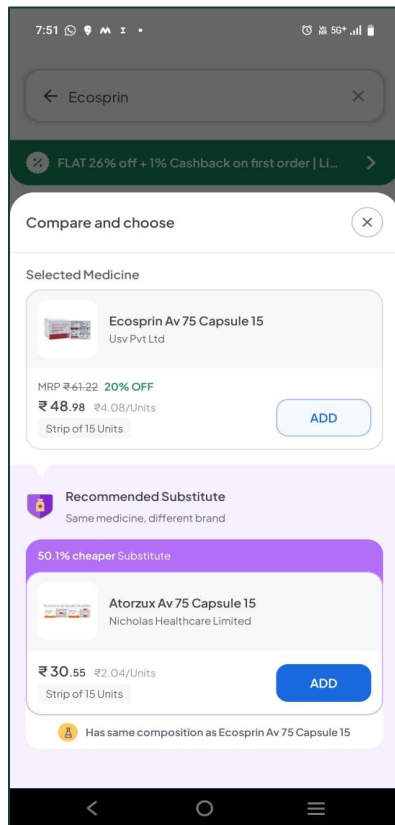
Tata 1MG performing well with strong growth and improving profitability



Market leader Pharmeasys growth has stagnated



E-Pharma Startup Watch – TrueMeds (Generics Pharma)



What the startup does: ePharmacy that does algorithmic nudging of generics substitutes that enables huge savings for customers. Heavily focused on generic substitution and brand has become known for that.

Market and Target Customer Segment:

- Very focused on generic substitutions to branded pharma. Customers can buy branded if required
- Crowded market with players like 1mg, Pharmeasy, Apollo. But Truemeds stands out with generic substitutions wedge
- Target customer segment is chronic patients who want to save money on monthly medicines

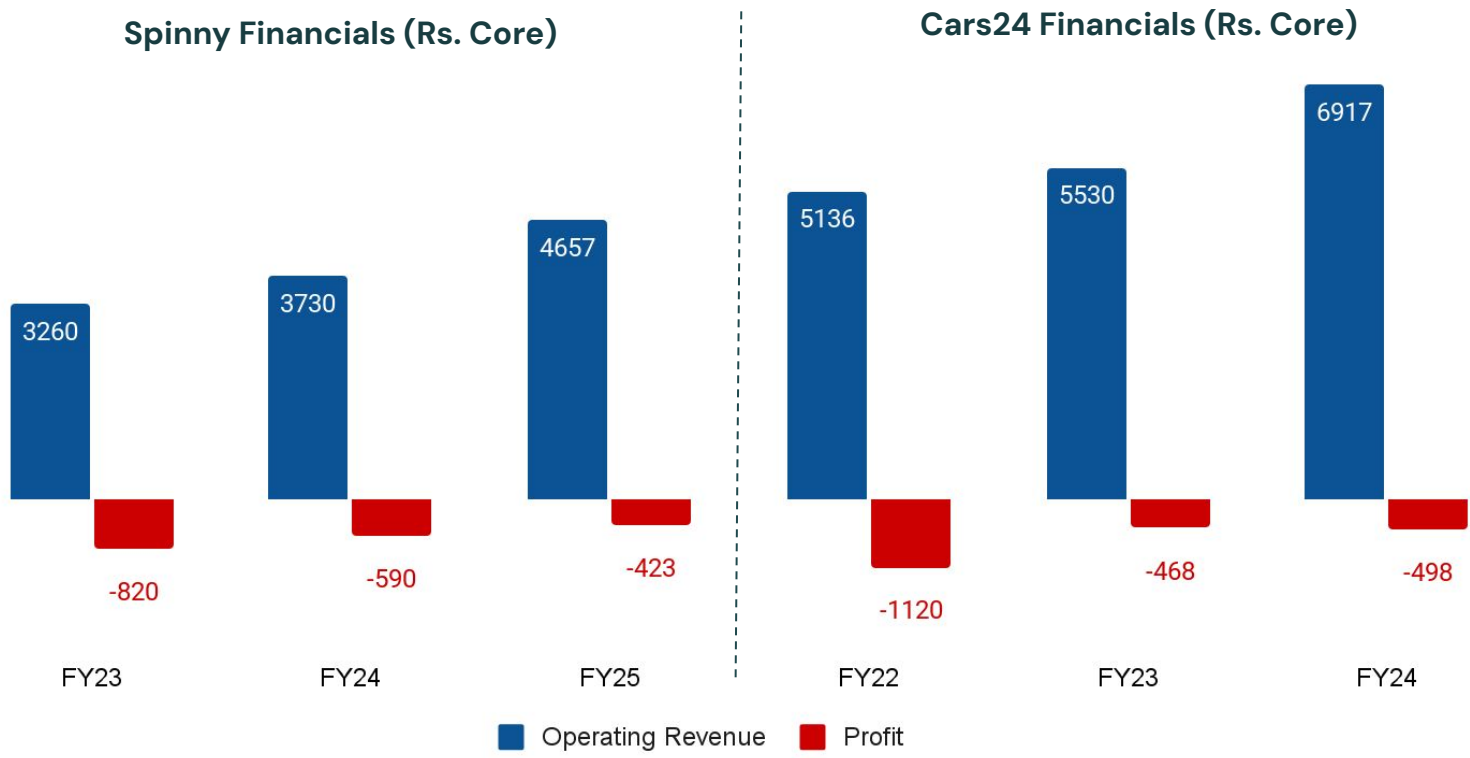
Where do they stand out:

- Known for generics wedge
- Wide reach – 19 fulfillment centers and 18,000+ pincodes
- Very visible savings and able to build trust

Visible Traction: 320Cr (~37mn\$ revenue) in FY24 with fast growth

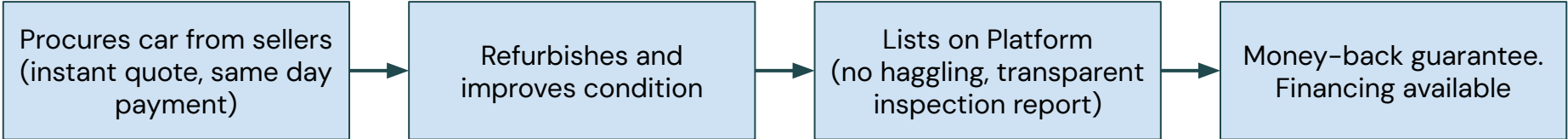
Watchout: Retention rates and traction in different geographies

Auto: Used Car Platforms Spinny and Cars24 are seeing strong growth and improving profitability



The Full Stack business model for Spinny and Cars24 has helped in building Trust among customers

Full stack model of Spinny and Cars24



Quality report

Car condition >

Based on 200 points inspection

Core structure intact

Non-tampered odometer

Non flooded

Engine

Drivetrain

Body structure

Mechanical

Interior

Minor dent

Minor scratches

Fixes done >

Quality-driven fixes and upgrades

Repaired & repainted 3

Customised accessories >

This car comes with additional customised features beyond original specifications.

Audio/stereo console

Floor carpet

Tyre life remaining >

Front	Rear	Spare
L-70% R-55%	L-70% R-65%	95%

Next service due after 12 months or 10,000 km
(whichever comes first post delivery)

View full report

Drive-away price: Save time, no surprises

Base price	₹2,92,000
RC transfer price	₹8,000
Seamless RC transfer services with RTO assistance To facilitate the transfer of ownership of this car with the Regional Transport Authority(RTO). These charges are specific to the car and transfer location. Additional charges might be applicable based on the documents submitted for the RC transfer.	
Third party insurance	₹3,796
Govt mandated insurance against third party damages The Motor Vehicles Act of 1988 requires all motor vehicles in India to have valid third-party insurance.	
Car Servicing Charges	₹11,000
One-time fee for pre-sale car maintenance to ensure safe drives One-time servicing fee for your car to ensure safe drive, covering oil change, filter replacements, brake fluid, coolant top-up, battery check, wheel alignment, and balancing before sale.	
Total car price	₹3,14,796

Unit Economics improving significantly (illustrative – Cars24)

Unit Economics per Car (Net of Taxes)

Sell-through	50 days
Net income	₹54,500 (metal margin + financing + VAS – reconditioning- procurement – GST)
Manpower	₹15,000
Ops	₹24,500 (inventory holding costs, RTO, logistics)
Marketing / CAC	₹7,500
➔ Contribution margin: ₹7,500 per car	

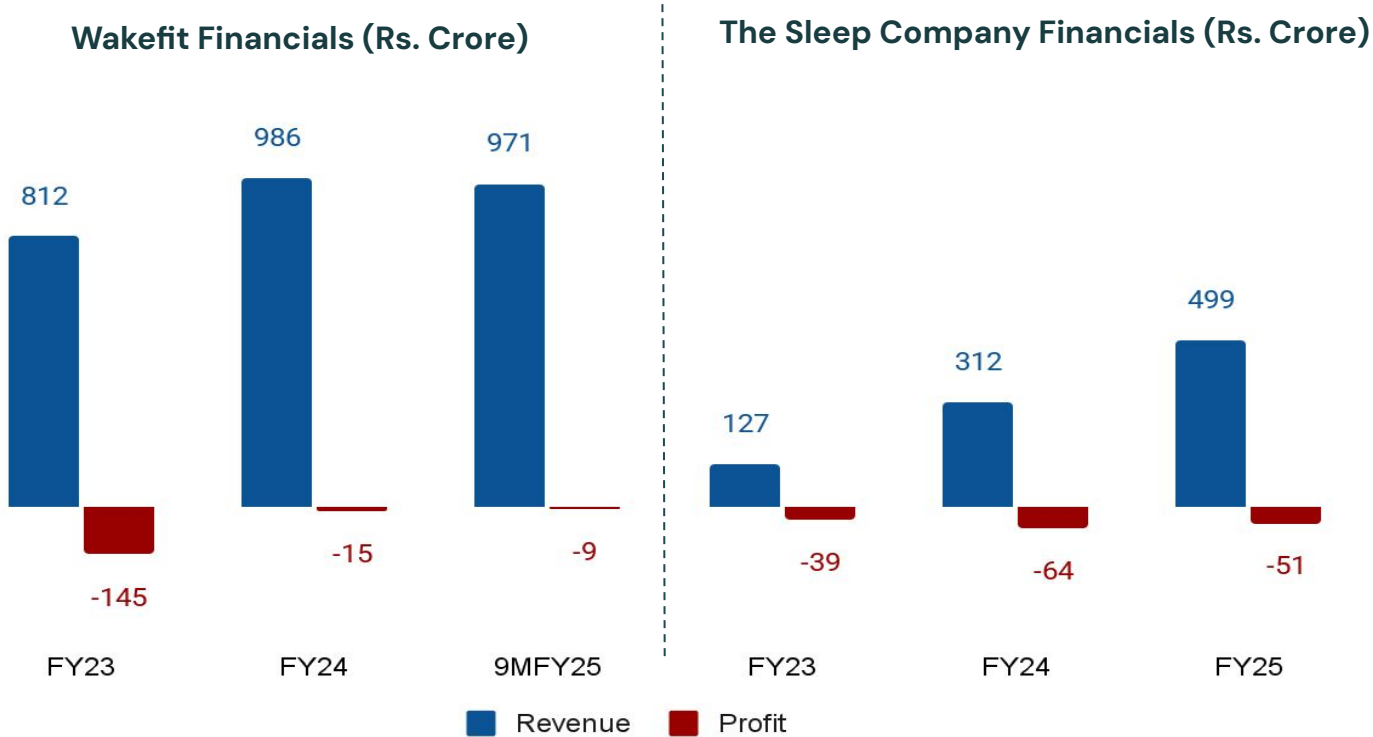
Other operating revenue (Rs. 484 Cr)

Sale of products
Rs. 6433 Crore
(93%)

Likely high margin revenue via Lending, Insurance and other add-ons

Cars24 Revenue Split FY24
Rs. Crore

Furniture: Vertical players do well in Mattress Segment. Bigger categories like Sofa, Beds etc. yet to get meaningful scale in Vertical E-commerce



Mattress contributes to 60%+ revenue for both Wakefit and The Sleep Company

Other vertical players like Pepperfry have struggled to do well

Horizontal Marketplaces like Flipkart continue to lead Furniture category

Why Vertical commerce does well in Mattress and not other Furniture

Wide selection of 4+ rated Sofas on Flipkart

Home > Furniture > Sofas

Showing 1 – 40 of 1,711 results for "sofa"

Sort By **Relevance** Popularity Price -- Low to High Price -- High to Low Newest First Discount



Sponsored

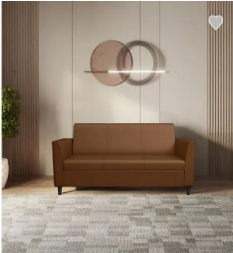
RM HOME Oliver RHS Fabric 6 Seater Sofa

Finish Color - Dark Teal, DIY(Do-It-Yourself)

4★ (196)

₹22,999 ₹38,000 **39% off**

Bank Offer



Sponsored

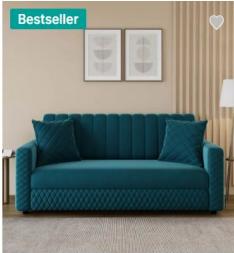
Godrej Interio Emperor Leatherette 3 Seater Sofa

Finish Color - Toffee, Knock Down

4.3★ (131) **Assured**

₹18,990 ₹42,500 **55% off**

Bank Offer



Bestseller

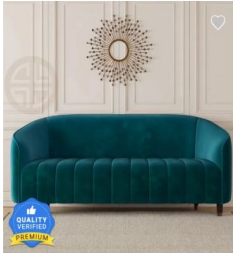
RM HOME Oliver Fabric 3 Seater Sofa

Finish Color - Dark Teal, DIY(Do-It-Yourself)

4★ (196)

₹10,990 ₹22,000 **50% off**

Bank Offer



QUALITY VERIFIED PREMIUM

CARLTON LONDON Olivia Fabric 3 Seater Sofa

Finish Color - Dark Teal, DIY(Do-It-Yourself)

4★ (503)

₹16,311 ₹44,999 **63% off**

Bank Offer

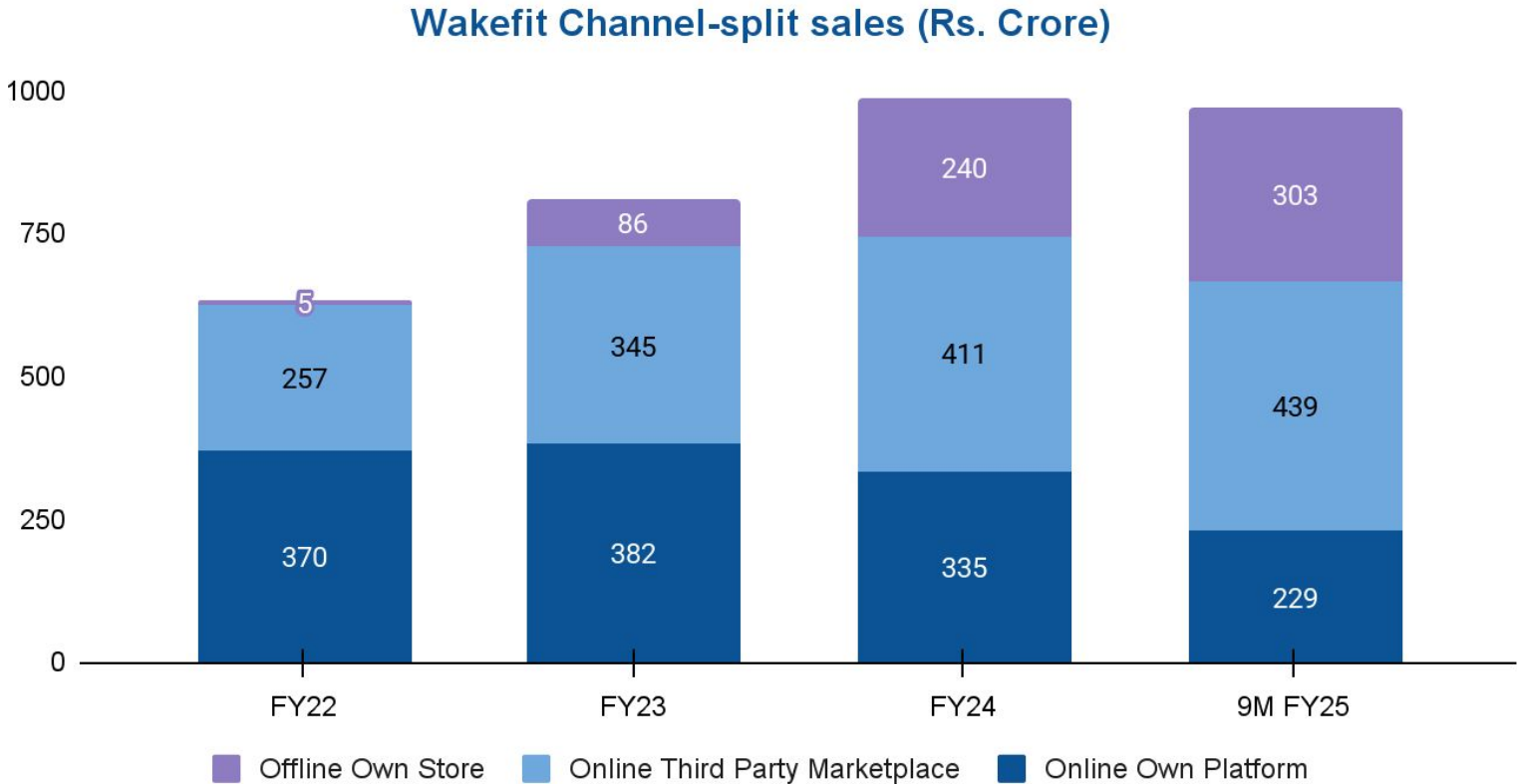
Need for very high selection or variety favours marketplaces like Flipkart with tens of thousands of furniture sellers

Mattress is a unique category

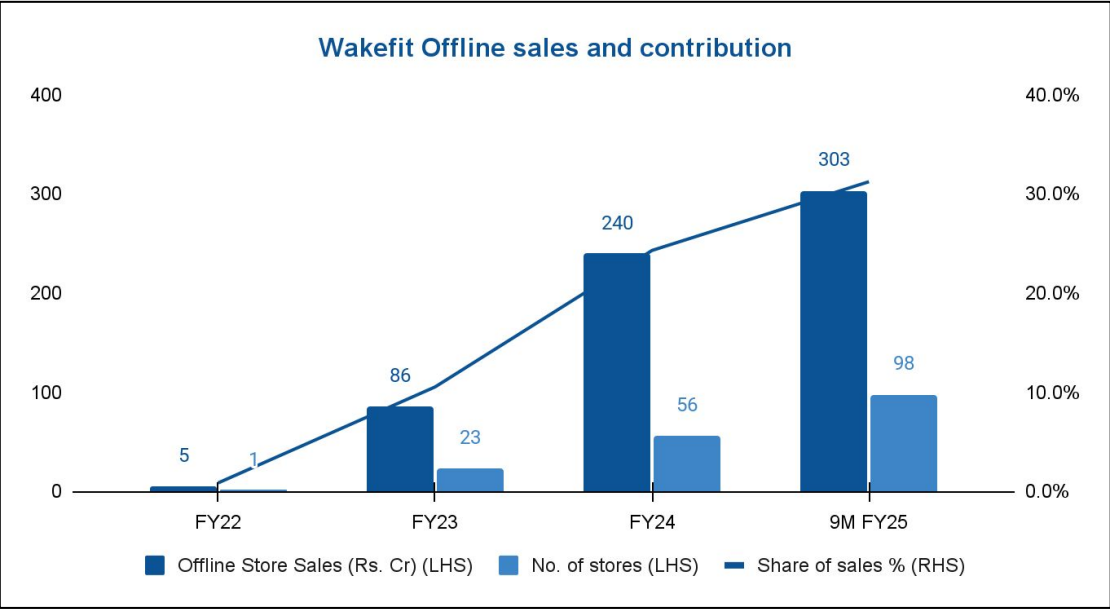


The selection need in mattress is less. Also a fully vertically integrated model like Wakefit with owned manufacturing can help in lowering costs

Even Wakefit is dependent on online marketplaces. Own online channel for Wakefit is declining in sales



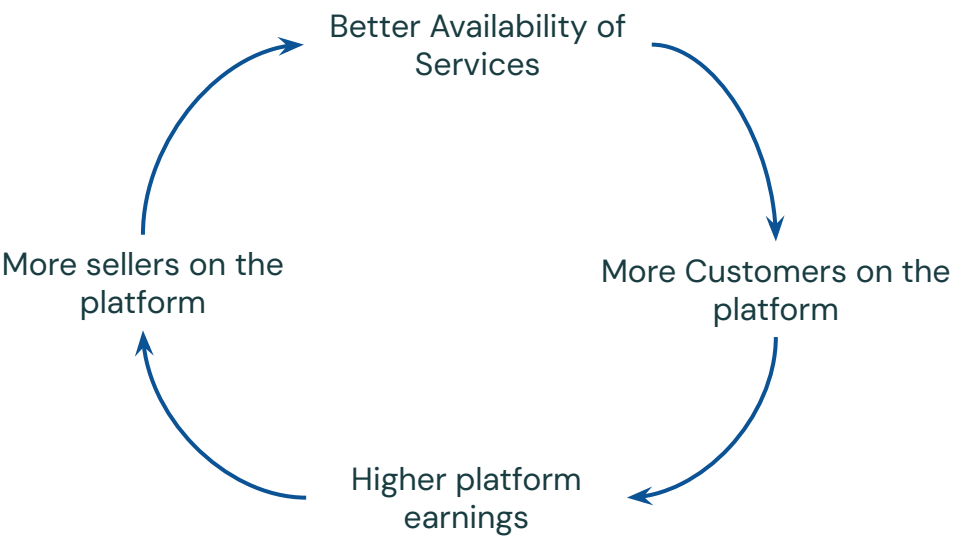
Wakefit expanding Offline stores which are contributing to most of its growth. The Big Challenge: Is it scalable?



Reportedly, the economics of stores are better than marketplaces. It also comes with other advantages like higher transaction sizes and lower return rates while allowing customer to experience the product

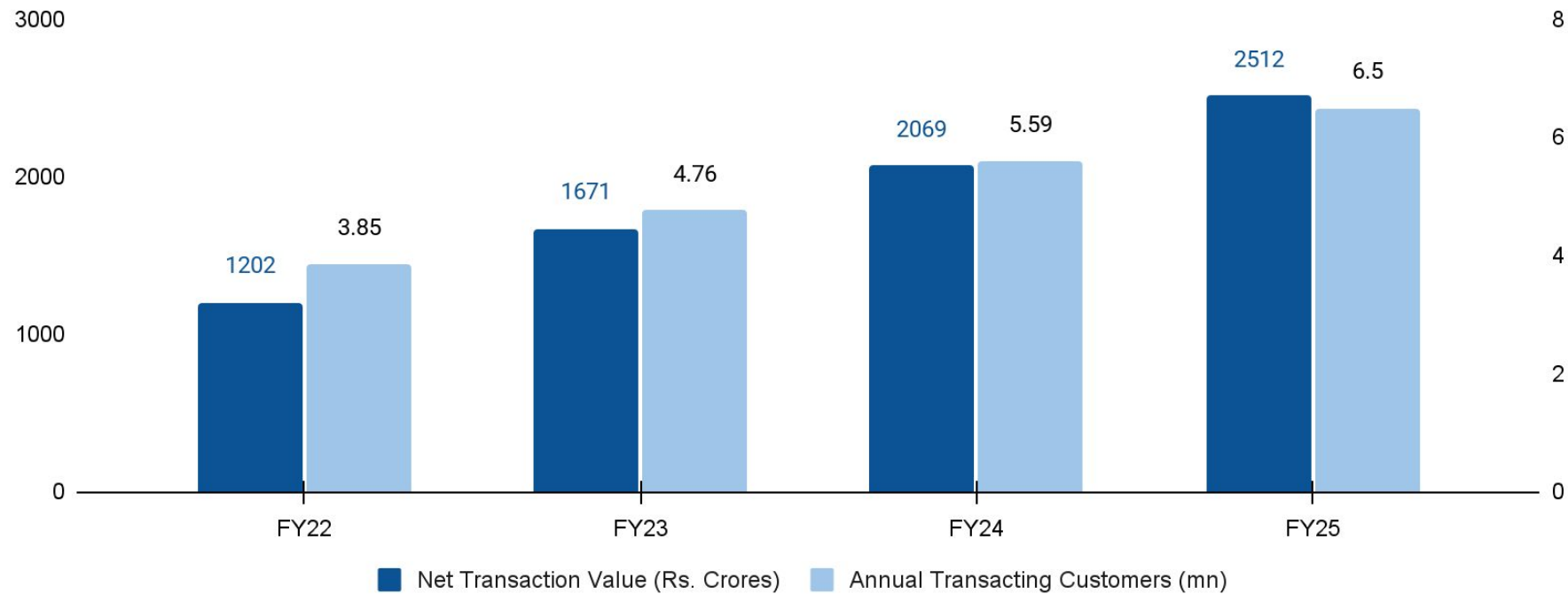
Home Services: The online value proposition for partners (providers) as well as customers is quite good vs. offline

For Partners	For Customers
Access to Demand (higher earnings)	Better Availability
Premium rates	Standardized Rates
Complementary channel	Verified Quality



Urban Company is the biggest player and has grown its Net Transaction Value at CAGR of ~20% last few years. Currently in 51 cities

Urban Company Operating Performance



Sources: Urban Company IPO Prospectus, Annual Report. Note: Only India services revenue

More supply = More Growth; Biggest contributor to growth for Urban Company is adding more supply

Growth CAGR FY25 vs. FY22

Growth in Net
Transaction Value



Growth in Spend per
customer



Growth in Customers
per Professional



Growth in Number of
Professionals

20.2%

5.5%

3.1%

10.6%

Solving for the service provider is critical. Urban Company claims to provide significant earnings to its professionals/partners

Details	Unit	All professionals	Professionals delivering > 30 services in a month	Top 20% of service professionals by order count	Top 10% of service professionals by order count	Top 5% of service professionals by order count
Percentage of monthly active service professionals	%	100%	64%	20%	10%	5%
Gross earnings (average)	In INR per month	50,022	61,999	76,424	84,550	91,719
Urban Company fee %	%	28.00%	27.50%	27.60%	27.40%	27.30%
Indirect taxes borne by professionals	In INR per month	511	622	735	783	815
Travel costs	In INR per month	1,829	2,391	2,814	3,185	3,523
Product costs and additional personnel costs	In INR per month	7,245	8,316	11,139	12,157	13,258
Net average earnings	In INR per month	26,407	33,599	40,677	45,256	49,066

Contents

- | | | | |
|-----------|--|------------|---|
| 4 | Lessons from an Internet Commerce Operator
Strategic Realities and Challenges in Internet Commerce | 127 | Food Delivery
Growth, Unit Economics, Global Takeaways and more |
| 23 | India Macro and Consumption
Tailwinds, Challenges, Credit and Consumption and more | 143 | Mobility
Rapido Disruption, Profitability and more |
| 52 | Quick Commerce
Growth, Profitability, Unit Economics, Blinkit, Instamart and more | 154 | Vertical E-Commerce
Fashion, Beauty, Travel, Pharma, Auto, Home Services and more |
| 97 | Horizontal E-Commerce
Trends, Categories, Meesho, Unit Economics, Challenges and more | 196 | D2C Brands
Challenges, Trends and more |

Why there has been an explosion of D2C Brands in India

Lack of Sufficient Brands

The development of new brands had not kept up with rise in disposable incomes of customers and the subsequent need for variety

Viability and Feasibility of Scaling new brands

Scaled marketplaces like Flipkart, Amazon

Potential to reach hundreds of millions of customers across India from a single channel

Wide adoption of Instagram, Youtube

Potential for customer discovery via ads and through influencer tie-ups

Plug and Play logistics

Potential to fulfill through own online channel via 3rd party logistics

D2C Brands have proliferated across categories

Electronics

Only Accessories



Only Wearables



Audio + Accessories



Audio + Wearables



Audio + Accessories + Wearables



Others*



Beauty

Men's Grooming



Men's Wellness



Women's Grooming (Cosmetics)



Personal Care



Fashion

Apparel



Accessories



Footwear



Jewelry



Grocery/Food

Meat / Meat Alternatives



Dairy / Dairy Alternatives



Beverages



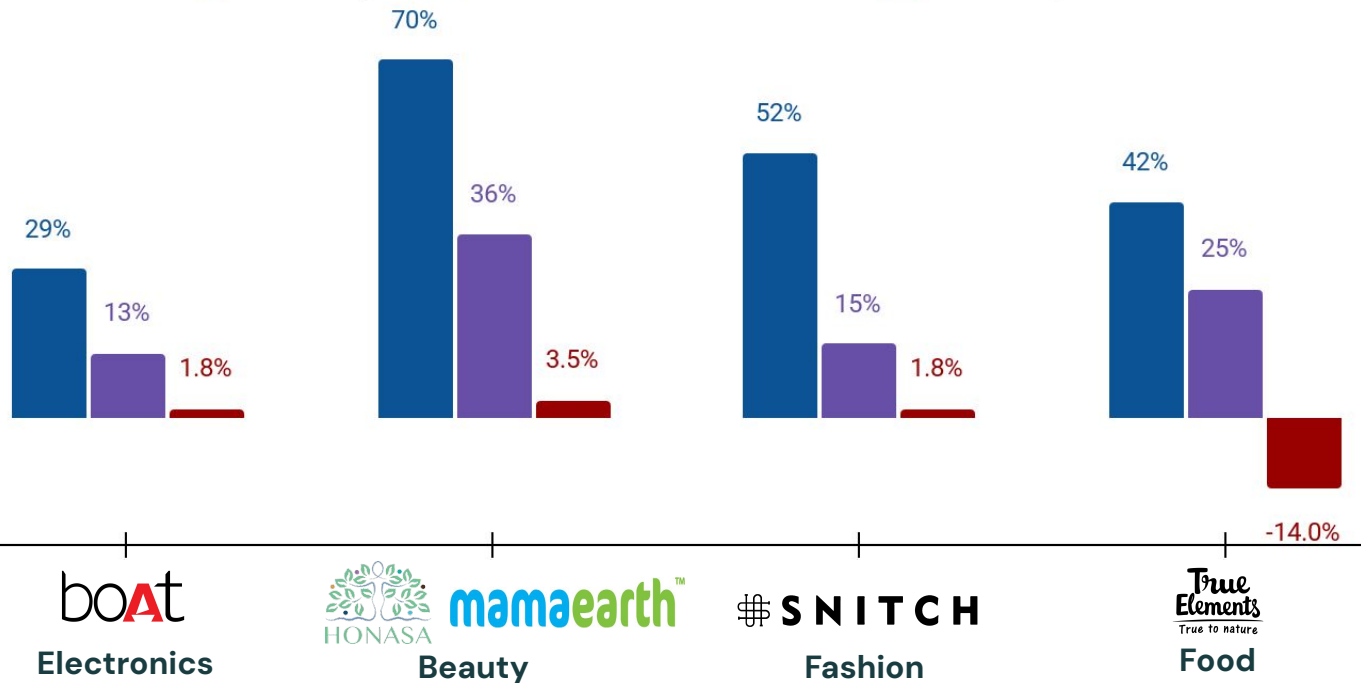
Packaged Foods



Illustrative Economics of Different Categories of D2C Brands; Beauty has highest Gross margins but also has typically very high ads expenditure

D2C Brand Financials Share of Revenue

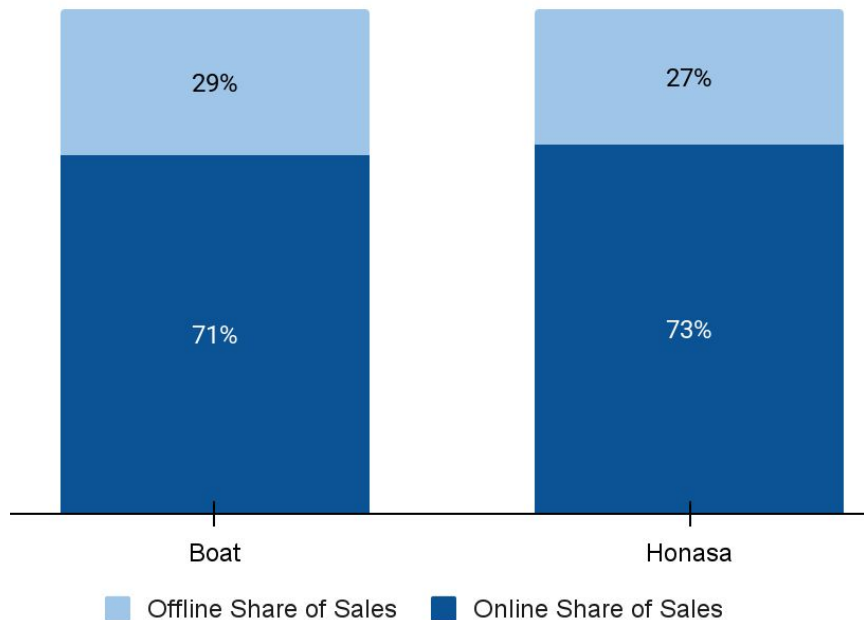
■ Gross Margin ■ Ads and Promotion % of Revenue ■ Profit margin



D2C Brands need to have high enough gross margins to cover for their advertising expenses which are typically on the higher side.

Even for mature brands, there is high dependence on online channel especially dependence on top marketplaces like Flipkart and Amazon

Share of Sales by Channel



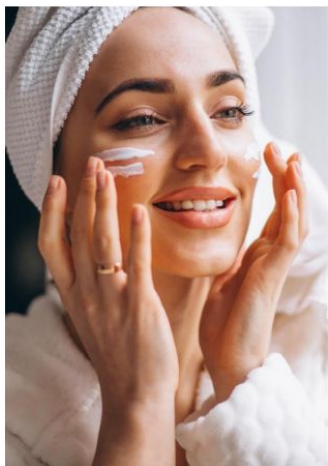
Among online sales, the dependence on top marketplaces is very high.

For example, Boat notes that 55% of its total sales comes from its "top two marketplaces" – very likely Flipkart and Amazon

Acquisitions like that of Minimalist (by HUL) can help legacy FMCG majors to drive growth

From Hindustan Unilever Investor Presentation on strategic rationale for acquisition

Minimalist is a good strategic fit for HUL B&W



Plays in fast growing affluent beauty market



Complementarity in portfolio



Efficacious products with a distinct and sharp positioning



Strengthens our eCommerce & masstige presence

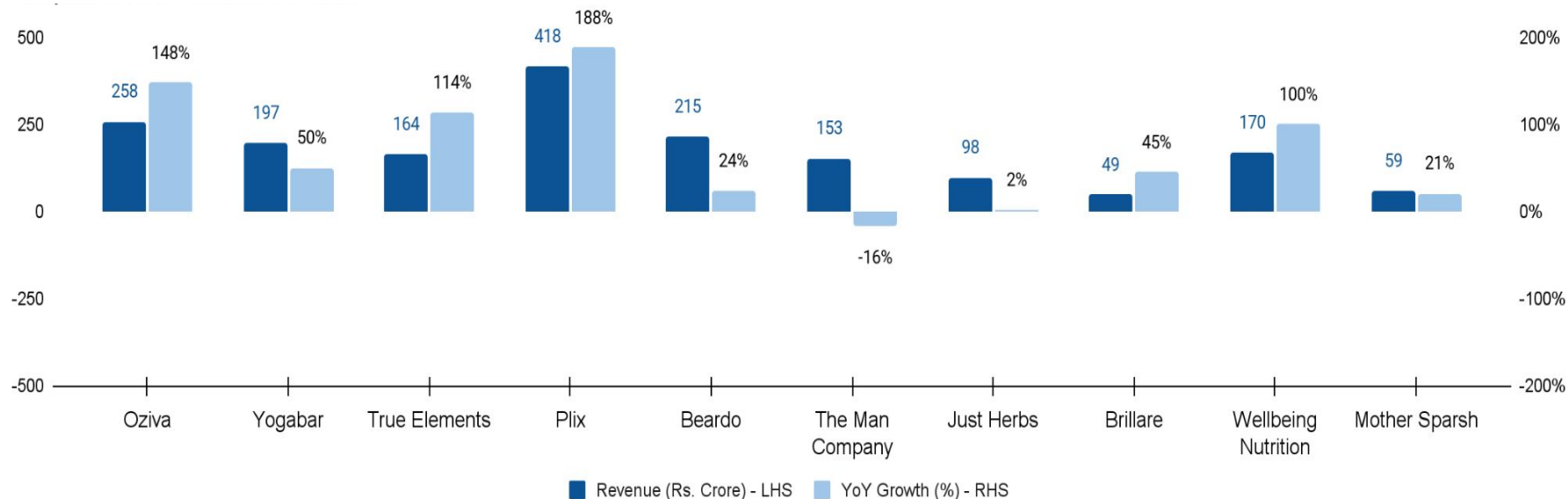
HUL can leverage entrepreneurial talent to drive zero → one brand building



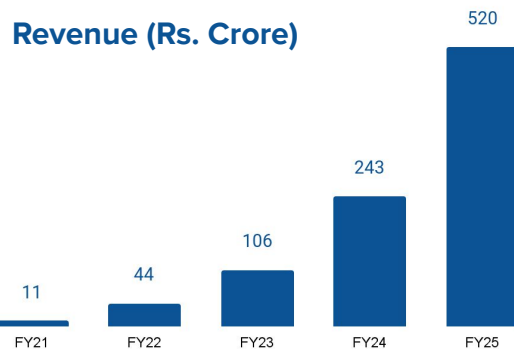
one → n scaling is HUL's prowess and forte

Many acquired D2C Brands are posting well above market growth though on a smaller base

Acquired D2C Brands Performance – FY25¹



Startup to Watch: Snitch – Men's Trendy Fashion Brand



Snitch has seen very good growth since inception

What the startup does: Trendy men's fashion (mainly apparel) with an omni-channel approach and with faster refresh cycles. Has stores and sells own online channel and marketplaces. 65% is from online.

Traction and Progress:

- Strong growth and is profitable at PAT level. Revenue Rs. 520Cr (\$60mn) in FY25 and Rs. 243Cr (\$28mn) in FY24
- 52% gross margins
- Category expansion in progress – perfumes, accessories, footwear etc.

Thank You!

[LinkedIn Profile](#)

Email: joelrockfort@gmail.com